

Swiggy (SWIGGY)

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Swiggy Limited
Q3 FY25 Earnings Conference Call
February 05, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Swiggy Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head of Investor Relations from Swiggy Limited. Thank you and over to you, sir.

Abhishek Agarwal: Hello everyone and welcome to the third quarter FY2025 earnings call for Swiggy. Our financial results and shareholders' letters have been published on the exchanges and the information pack has been placed in the Investor Relations section of our website www.swiggy.com slide. We

would like to inform you that the management may make certain comments on this call that one could deem forwarded and stated.

Specifically, the financial guidance and pro forma information that we will provide on this call , our management estimates based on certain assumptions and have not been subjected to any audit, review or examination procedures. Swiggy does not guarantee these statements and is not obliged to update them at any time.

Joining me on the call today are Sriharsha Majety, our MD and Group CEO, Rahul Bothra, our CFO ; Rohit Kapoor, CEO of Food Marketplace and Amitesh Jha, CEO of Instamart.

With this brief preamble, let us start the Q&A, operator, you can please go ahead.

Moderator: Thank you very much. We will now begin the question-and- answer session. We have the first question from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar: Hi. Thank you for the opportunity. I have three questions. First question is regards competition.

Clearly, in 3Q, competition was high. I just wanted to get a sense that, you know, are you sighting? Are you seeing signs of competition abating? Or the general thought process is competition might remain high for a foreseeable future because some of the platforms are not even launched fully out here ?

Amitesh Jha: Okay. Hi, Amitesh here. I will take the first question. It's very difficult to crystal ball gaze in terms of what is going to happen in the market. The way we essentially look at it is that the total addressable market size is big. The opportunity is extremely high. And for any this size of the market, the interest rate part will be more, and competition essentially will be there. So, the way we look at it is that the competition will always exist. Intensity is very hard to get or gauge immediately right now. But at least for some time, we see it being at the level that we are seeing right now.

Sachin Salgaonkar: Got it. So, intensity is almost same in Jan and Feb . all right. Second question, wanted to understand a bit on the impact on contribution margin, what we saw ; now clearly there are two big parts to it, right ; One, store expansion, replacement of store. Second, how consumer incentives are given, customer acquisition, between these two levers, can you highlight?

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Because, you know, when we look at the numbers, at least one gets a sense that it's the customer incentives and acquisition cost are the ones which is relatively higher into this quarter. Is that a fair assessment? And how should we directly think about, you know, these two levers going ahead?

Amitesh Jha: Yeah, see, if you think about it, even store expansion in a way is getting into new markets and acquiring new customers. So, the way we look at it is that effectively investments are being made to expand the market overall, okay.

And in that expansion of the market, you know, for customer acquisition, expanding of stores are important as well, going into new cities as well.

So, we look at it in the same way that we are spending to get more customers onto e-commerce. And that expansion, that includes acquiring new customers and in existing pods -- as stores, as well as adding more stores is essentially leading to that investment as well. So, it is -- we don't look at it separately in terms of how much it is expansion versus this.

But the way we look at it, we are expanding the market. It will be in the same store. It will be in the new stores as well. And which is the reason why this extra investment has been made.

Rahul Bothra: Yeah. And maybe if I may just add; Rahul here, that yes, there are two parts to this equation, right? One is the overall investment that we are making in both densification in existing cities as well as new city addition and the store expansion that's happening. And the other part is really around the structural P&L that continues to improve.

Now, if you look at the levers and some of the KPIs that we have already demonstrated, average order value has grown by 14% on a year-on-year basis. Now, this is an important determinant of our medium-term guidance on contribution margin, as well as if you see our take-rate has expanded and continues to expand sequentially.

Our cost of delivery continues to go south with the densification of the network. So structurally, the P&L of the mature stores continues to get better. And that's the other part, right? So, you have to look at it in two parts. One is the growth investments. The other is the structural P&L and our continued ascendancy on the levers at play.

Sachin Salgaonkar: Rahul, just to clarify, when you say in a shareholder letter that contribution margin will be range bound, is it in the range of 4 to 5% or any other numbers we are thinking?

Rahul Bothra: No, so it's hard to crystal ball, as I said. At the same time, if you've seen our store addition growth, like previous quarter, we added 96 stores. Just in the month of January, we've added, you know, close to 86 stores, right? So, our store count is already close to 800 stores. Our guidance from, you know, for H2 was doubling our square footage coverage from 2 million to 4 million. We are sticking to that guidance.

As you can see that this means that there is a back-ended growth in quarter 4 and we are on track to achieve that.

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Sachin Salgaonkar: And my last question is on the same point what you said is, what we are seeing is some of your competitors are super aggressive in terms of expanding our number of stores out there. Any incremental guidance you want to give beyond the 4 million square feet, what you intend to achieve in March '25? Is there a target in terms of stores on Megapods that we could expect Swiggy to have in the medium term?

Rahul Bothra: No, it's hard to, again, say that. I think, see, our near-term, you know, store expansion was both geography-led as well as densification into satellite areas in the existing towns, right, and managing growth.

So, I think we are going to take it, you know, as we see. I think currently we are focused on delivering on the current guidance of expansion. It's also fair to assume that a lot of growth from here on store addition is going to be to manage the overall category growth and not necessarily entering newer areas. So that's how you should think from a medium-term perspective.

Sachin Salgaonkar: But is it also fair to say that if we see your competition going and adding more stores, there will be a sort of response from you guys also in terms of looking to narrow the gap?

Rahul Bothra: So again, as I said, our strategy is more towards densification in our existing cities, managing growth, as well as the cities that we have chosen to expand as part of the current expansion phase. And then we are going to, you know, wait, and see how the performance has been.

Amitesh Jha: So, the way to think about it is that

we look at where the consumers are who are more likely to come on to the quick commerce platform and build stores according to that. So, it will require things like densification, going into specific locations where it will make more sense.

So, it's more look at the market what it is, what's the time where we are working at? And we won't necessarily be looking at competition growth to basically drive our strategy. Our strategy

is very clear. We know what our time is. We know what kind of market we are, what kind of consumers we are looking for and we are very focused to make sure that we do deliver them in the right experience as well. And which is the reason we are focused on doing this particular part extremely well.

Sachin Salgaonkar: Thank you both.

Moderator: Thank you. The next question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra : Hi, thank you. The first question is on, you know, starting with the quick commerce side, you mentioned the actual additions were quite strong, user activation has been quite high. But if I look at the order growth this quarter, it seemed a bit soft at about 7% sequential only, which was softer than both the MTU growth and the increase in the real estate footprint you mentioned , the growth largely from AOV expansion.

Can you help describe what's happening here within the business? Is there any issue with retention of customers or is the order frequency falling for you?

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Amitesh Jha: Yeah, no, no. So, I see the way to really think about it is that a lot of these growth also happens because of the new customers that we acquire is because of the new areas that we entered as well. The headwind that we saw in terms of our overall growth in both customer and in terms of unit was mostly because of expansion, which we saw.

To look at it from the right perspective, the way that we look at it is that what's the size of the wallet that we are taking from the end consumer. And we are steadfastly focused on that. If that size of the wallet from every consumer is increasing, we are effectively being more relevant to them, and which is the number that we'll be looking for.

So, the other thing that we look at and which is also very important for is that when we are acquiring customers, is the retention high or not? And all our spends are based on that. We see this retention number being essentially very high. And we are effectively saying that our MTU, which was -- and if you look at our increase as well, and this is something that we have spoken in our Shareholder Letter as well, that MTU -- the monthly transaction user base has also increased a lot lately.

So, what we are doing is focusing on trying to get our strategy right on expansion as well as acquiring new customers. The later-on increase is happening because of that particular spend.

The headwind that we saw was mostly because of not increasing the rate of the stores as much as we essentially wanted.

Ankur Rudra: No, I appreciate the fact MTU has grown a lot. My point, Amitesh, was in terms of the order growth was only 7% sequentially. If you had about 12% growth in MTU, you should have ideally had -- if the frequency of ordering is broadly similar, you should have had a stronger overall headline number of order growth given footprint is rising. I was just wondering if there's anything specific which you faced during the quarter, which may have held the order growth back? Or is there anything seasonal in your business, which you may have seen?

Rahul Bothra: Yes. I think one of the things that we saw was the store expansion was also a bit back-ended, which is the reason why you see that MTU and orders. So, what happens is when you acquire a customer, their orders won't increase immediately. And if the store expansion is a bit back-ended, new customers are going to come later in the quarter and which leads to these particula

r
numbers as well.

So, to really think about it is that in general, our growth is related to what is the percentage of new customers that we are essentially having ...If those percentages are higher, it will lead to a lower order frequency as well. And that is what we are seeing right now.

Ankur Rudra: Understood. Just maybe moving on. In terms of the food delivery business quickly, we did see margins improve quite a bit. I was -- just if you can give us a sense of what drove the overall unit economics over there. How much of this was moderating delivery costs versus any changes in take rate because it didn't seem like take rate expanded meaningfully on the food delivery side?

Rahul Bothra: Yes. On the food delivery side, contribution margin has expanded meaningfully for us. It's a continuous effort from our side on the monetization across levers that we have had through the

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year. And some of that has meant that we continue to see the operating leverages start to play out. Now, specifically to this quarter, if you've seen, the average order value has expanded, which means there's a denominator impact with our cost of deliveries continuing to getting more and more efficient. So, there are factors around both monetization as well as the delivery costs having a bit of leverage with the expanded basket sizes.

Ankur Rudra: Okay. Just a quick question on the demand on food delivery consumption. In general, your growth did slow down a bit. Your peer also saw the same thing. They made a comment about

consumption softness. Did you see any of that? Are you seeing any change in growth momentum or consumption trend on food delivery in the current quarter?

Rohit Kapoor: This is Rohit here. I think if you look at the MTU growth quarter-on-quarter, we actually saw MTU growth. So, MTU for the quarter was 14.9 compared to 14.7 in the previous quarter. Also, we did have growth. This was a quarter, which was slightly softer than other quarters, but that's a -- I think overall, year-on-year, we are growing 19.2%, which is within the range of what we have guided the market at about 18% to 22% growth for the category.

Our pace of innovation and execution on food continues to be pretty strong. We've launched Bolt, scaled it up to 425 cities within 3 months to 4 months and a bunch of other -- of other launches that you would have seen from us coming in the last quarter. I think even if there are some headwinds which are there in the economy per se in certain segments, the present budget, which has on the tax cuts, we do believe gives an impetus to a large section of the tax paying segment below INR 12 lakhs and that does constitute -- many of them will be consumers of our services.

So, we do feel at this point in time, as facts stand today, reasonably that the guidance that we've given is operating in the range. I think food will be -- is a little bit of a seasonal business. So, quarter-on-quarter variations are not unlikely. But secularly, over the short term to medium term, we do not see a significant headwind.

And of course, we have our job cut out in terms of innovating, developing new use cases and creating more opportunities for the consumers to use us. But structurally, we don't see any big change from last quarter dialogue and guidance that we've given first time after listing.

Ankur Rudra: Just a last question on working capital. There appears to be an increase in receivables for the last 2 quarters. In fact, the 9-month period and almost a positive working capital cycle for 9 months '25 versus negative working capital cycle last year. Is there any change in the business which is driving this? If you can highlight what's driving this in general?

Rahul Bothra: Sure. So, as you can see, with the overall advertising pie increasing in -- specifically in the quick commerce business, where typically the FMCG companies and the brands pay us with a certain credit

cycle. So, that's been the large determinant of the increasing working capital on that line.

Ankur Rudra: Okay. So only that in both the quarters?

Rahul Bothra: That's right.

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Moderator: The next question is from the line of Aditya Soman from CLSA.

Aditya Soman: I'm sorry to dig a little bit more on this contribution for quick commerce, but I see that the contribution has actually gone down by about INR 14 per order. This has gone down from sort of a contribution loss of INR 10 per order to INR 24. Now if I see the drop for Zomato, while it was also there in the quarter, it was much lower from INR 25 to INR 21, and they added almost 2x the number of stores.

And you also indicated that your stores were more back-ended towards at the end of the quarter. So, I'm just trying to understand where this incremental cost has gone in because you also saw a significant jump in AOV and take rates also improved. So, I'm just trying to understand how this contribution per order actually worsened so much?

Rahul Bothra: Yes, thanks, Aditya. I think if you have seen some of the reasons that we have mentioned, specifically around the investments that have gone into the contribution margin line includes the elevated expansion activity that we have done in terms of adding stores. It's also got to do some bit of the heightened competitive action that we have seen in acquisition of new users as well as some of the dormant reactivations. So, we have seen an investment increase overall due to these 2 factors.

Aditya Soman: But I mean, I'm just comparing like-for-like because even if you compare with your competitors, I mean, they also seem to have similar growth, but the take -- and your take rates actually improved. And so, I'm just wondering on a like-for-like basis, why should it be that different where they have seen a INR 3 drop per order and you're seeing almost INR 14. I mean, I'm just trying to understand in more detail. Is there -- is it because we expanded in more cities? Or is there something more to it that we don't see from the Shareholder Letter?

Rahul Bothra: Sure. See, I can respond for our kind of trajectory. And we have mentioned in the past that there are a few determinants of the overall profitability of the business and getting into contribution margin positive. So, one of them is average order value. We do believe that there is room for us to grow also looking at some of the category AOVs that we see in the public domain, which means that the task is cut out for us. So, we are in a trajectory of getting to that place where a lot of these mature stores start spinning out cash, which then has a portfolio impact on the overall margin delivery.

So, for us, we are slightly behind the curve from that perspective in terms of maturity of stores and the profitability profile, which is led by some of the average order value line as well as the advertising revenues, which have started to move up meaningfully. So, as we have mentioned,

structurally, the P&L continues to improve on a quarterly basis.

Some of the mature stores are starting to reflect what steady-state unit cost should look like with both operating leverage kicking in and some of these monetization levers also kicking in. So, it is a path. It is a trajectory that we are guiding to, and we are also staying committed to delivering a contribution margin positive by the O&D quarter in the current year.

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Aditya Soman: That's very clear. And that's heartening to know. I'm just trying to understand again in terms of the path that you indicated. So, would this be just a function of the number of orders obviously going up and then a lot more stores hitting maturity? Would that be the best way to look at this?

Rahul Bothra: Absolutely, right. So, as you've seen both in quarter 3 and the quarter 4, the number of store additions that we are doing, we are almost doubling

in a span of 6 months. And by the time of

our guidance that we have given, we do expect a lot of that stores to start hitting breakeven volumes and meaningfully contribute to reduction of the overall contribution margin loss. But more importantly, the mature stores will start getting into the trajectory of close to that 4% to 6% positive trajectory, which then means at an overall portfolio level, we expect to breakeven.

Moderator: The next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company.

Sudheer Guntupalli : My first question is on food delivery. It looks like we have gained some market share in food delivery. So, is this primarily driven by the incremental demand that is being generated by Bolt offering, which is the 15- minute delivery offering? Or is it more of a broad-based market share gain across the existing portfolio of food delivery as well?

Rohit Kapoor: Sudheer, this is Rohit here. I think we don't talk about market share in our numbers. Our numbers are out there, and other numbers are out there, you can do the comparison for yourself. I think just in terms of our own growth, it is, I will say, a factor of 3 or 4 things. One is we have been working on execution and strengthening our execution all across, whether it is on the restaurant

side, the consumer side or the delivery partner side, and that started to show up. Second is there's been a constant theme of innovation at pace coming out of Swiggy over the last few months, including something like Bolt. And I think we took a bet on Bolt, and it's been now about a quarter. So, what we -- the result, the 9% order contribution on Bolt is only from a service which is barely a quarter old, a quarter or thereabouts. And there's a lot of room for further innovation or growth on top of this is what we believe.

We remain excited about the space. We are also seeing good response from consumers, as well as the restaurant partner ecosystem because this is one offering where the restaurant partner ecosystem -- people are coming forward and they are saying that let's partner, let's create more and let's see what we can do more on this front. I do think this combination of factors, definitely, the pace of innovation and the pace of execution is a factor behind the growth that we are seeing in MTU and year-on-year volume growth and AOV growth.

Sudheer Guntupalli : Sure, Rohit. Just on the food delivery, just a follow -up.

Rohit Kapoor: And that is also coming on the back of no compromise in terms of margins. So, if you see, the margins have expanded about 90 basis points. The EBITDA has expanded by another 90 basis points. So, it's starting to flow through and the operating leverage you can see in the business appear. We remain reasonably confident of guiding towards the 5% EBITDA number that's been there in public domain, yes.

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Sudheer Guntupalli : Sure, Rohit. So, my follow -up question is actually on margins. So, given the impressive expansion in margins this quarter in food delivery, is it fair to assume that Bolt as an offering is not dilutive at a unit economics or a margin level?

Rohit Kapoor: I think given that this is a fairly competitive scenario, right, I will refrain from talking on Bolt margins. But overall, at a platform level, I think through multiple levers, we are in a good position to balance out any investment that we have to do, right? Because genuinely, this has been the way the margins have expanded over time is not one single silver bullet or one investment taking down margins. Whenever we have invested in any area, we have been able to juice out other areas in terms of whether it is delivery costs or efficiencies. So, I personally don't think that I'd like to comment on the Bolt numbers at this point in time or specifics beyond this. But even if Bolt grows from here, which we expect it to, we do continue to see our margins expand

both on contribution side and the operating leverage kicking through to EBITDA.

Sudheer Guntupalli : Sure, Rohit. And one question to Rahul. So, you are maintaining your contribution margin breakeven timeline of OND quarter. Despite calling out a bit of a heightened competition and also that very back-ended store additions even next 2 months, you have 100 stores per month kind of an addition. Despite all of this, you are talking about contribution positive by OND quarter. So, what gives you that confidence? Firstly, on adding 100 stores per month, what gives

you the confidence? Secondly, despite these factors getting contribution positive by the same timeline, what gives that confidence?

Rahul Bothra: Sure. Thanks, Sudheer. I think in parts of it, I've addressed it, right? See, what's happening in our business is that structurally, if you look at all the levers, right, whether it's on monetization or costs, they have to move in a certain trajectory, right?

And AOV being a large determinant, we have seen pretty strong growth on that, both as a combination of our added footprint as well as the coverage in terms of the SKUs, right, where a lot more customers are getting access to a lot more categories and SKUs. So, that continues on a very positive trajectory. We maintain our guidance of delivering double-digit Y-o-Y growth for the near future, and that is a meaningful change.

The other thing what happens is, as I mentioned, any new store takes anywhere between 6 months to 9 months to what we call hitting the breakeven volumes, right? And towards the end of our guidance quarter, we do expect a lot more stores to be in that zone. And also, the pace of store expansion may not necessarily continue at the current level, right?

Because one of the things that we have done through our megapod expansion is also get users a lot more access to categories without necessarily having to add a lot more number of stores itself, right? And at the same time, delivering the customer experience. So, there is a strategy that we have to be able to get many of these stores mature by the time our guidance is currently given.

Sudheer Guntupalli: Fair enough, Rahul. One last question is a follow-up of what Ankur has asked earlier, is the transacting user growth of 12% sequentially looks very good, but the order growth being slightly lower. Is there any intervention from our side in terms of increasing the minimum order value for free delivery, so on and so forth, which has led to a slightly -- which has led to an increase

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in AOV, but a bit of a reduction in the frequency? Or is it completely led by, let's say, more new users and new geographies coming in with the lower frequency?

Amitesh Jha: Yes. This is Amitesh here. For Instamart, yes, the MTU growth is largely led by new users. New users typically take some time for them to mature and be sticky to the platform. The larger part of the headwind is that only. And that's the right investment to make as well because that leads

to a better, larger market for the platform. We believe that doing that investment earlier is better than doing it later, which is what Rahul was also speaking about. So yes, the main reason is that.

Moderator: The next question is from the line of Swapnil Potdukhe from JMFL.

Swapnil Potdukhe: So, I had 2, 3 questions. First on Instamart side. So, there was a launch of a standalone Instamart app in this particular quarter. Have you guys seen any incremental adoption because of the app? And do you see any benefit of having a segregated app going forward? And will you see any changes in the strategy?

Sriharsha Majety: Swapnil, this is Harsha. Honestly, the app only launched last month and it's very early. And we are closely watching and understanding user behavior, and we'll be able to share more information once we've seen the progress over a period of time. And definitely, I think the intent is

on, as we've written in the report as well is that as the user base expands and goes into a lot more cities and categories, I think we are definitely curious to understand user behavior and how it progresses. And when we have more information, we'll be sure to share it.

Swapnil Potdukhe: Okay. No worries. The second question is with respect to your fixed cost on the quick commerce side, especially because they seem to have gone up meaningfully. Now, I understand there were some branding-related expenses increase and there was also some new hirings that happened in the quick commerce business. But my question then is like have we seen all those costs -- are they in the base of this particular quarter? Or we could see some of this incremental cost coming in next 1 or 2 quarters as well?

Rahul Bothra: Sure. Rahul here. So, I think as we mentioned, a lot of that additional cost has gone into both performance marketing as well as brand marketing, which is to get higher number of customers onto our platform. We do expect, as we had mentioned that in the near -- at least the next 1 or 2 quarters, this heightened activity to continue because there is a slightly competitive environment at play right now.

Swapnil Potdukhe: So just to extrapolate that, is that the reason why you've mentioned -- you reiterated your guidance for contribution margin profitability by 3Q FY '26. But for some reason, your guidance at an adjusted EBITDA level is missing this time around, which was there last quarter.

Rahul Bothra: No. So, at the corporate level, our guidance stays. See, at the corporate level, which is a combination of food and quick commerce, we still stay put with our guidance of getting to profitability by the Q4 quarter. Now coming to quick commerce specifically, I think we still have to -- the picture has to still play out. We are still in early stages of the category evolution. We don't know how deep the customer funnel can be. And therefore, there could be certain marketing investments that we want to continue to make depending on how the category

continues to grow. So, we will come back to you with more specific guidance around below contribution margin cost as we see the category evolves.

Swapnil Potdukhe: Okay. Got it. And the last question is on food delivery. Now, you have very clearly indicated that Bolt is something, which seems to be helping you grow faster than the other competitor.

Now, my question to is like, is Bolt -- I mean, what percentage of that is 9% orders from Bolt were already there in the system? You're already delivering between 10 minutes to 15 minutes earlier versus right now, you're doing 9%. So, what is the incremental order that you have been able to do because of Bolt, specific Bolt standalone marketing?

And the second question is what kind of an impact does Bolt orders typically have on your delivery cost? Because my sense is like you need higher penetration when you're doing a higher penetration of delivery riders, when doing orders within a certain specific period of time?

Rohit Kapoor: Yes. So, this is Rohit here. Let me take the second question first because that's easier. Actually, that assumption is not correct that if you're trying to deliver in a shorter period of time, your delivery cost is actually higher because one of the key components of Bolt is a shorter delivery last mile. That's how the model works.

And in that model, and our payment to delivery riders is linked to a large extent to the last mile they travel. So, actually, without getting to the actual numbers, that assumption is incorrect. In fact, we do expect Bolt to actually lower overall delivery cost even now and over a period of time. So that -- I just want to clarify that from a model standpoint.

On incrementality, first, I think now or in future, it will be -- I don't think we'll be sharing these numbers because, again, it's very competitive in nature.

But the one thing I can tell you is that it

is a service we launched 3-4 months back. We scaled it to 450 cities, and it is just a quarter old.

So, the version of Bolt that you're seeing today is probably version 1. As we expand, we'll obviously try and use Bolt to do 3 things. One is deliver new use cases. B, to the consumers who care about a faster delivery, we cater more frequency to them. And C, I think we'll also see innovation from the restaurant ecosystem coming on the back of Bolt because we have created what is called a platform or chassis and for the restaurant ecosystem to also come and put their innovation on top of this.

So, a lot has to play out here. So, it's too early to say that what we -- we do know the numbers.

And I think the reason we are continuing to bet on it is we are confident to see incrementality.

How much of it is, as you can imagine, competitive in nature for us to disclose on this call.

Swapnil Potdukhe: Understood. Just one last, if I can squeeze in. The fixed cost from the food delivery side seems to be stable for the last 4, 5 quarters. So, part of the margin expansion benefit that you've been able to drive is because this cost not growing. How do you see this cost going forward? I mean, should we expect them to be around INR 360 crores, INR 370 crores of range quarterly expenses? Or we may see some increase on that side as well?

Rahul Bothra: Sure. Rahul here. So, I think what we have delivered is roughly, say, 80 basis points on a yearly basis on operating leverage. Now with a period of time, I think the impact will reduce. However,

it will still be meaningful contributor to our overall guidance of getting to the 5% EBITDA mark.

So, it is going to be modulated.

The overall investments, as you have seen, we have had a few cost efficiency programs. Our overall marketing budgets as well as the talent budgets have been in a very tight range, and we have been able to deliver. I think there is going to be some incrementality to it, but a lot of that will flow through back into operating leverage.

Moderator: The next question is from the line of Vijit Jain from Citi.

Vijit Jain: My first question is, so you added 96 stores in Jan, which is a pickup versus the entire of quarter 3Q. So, how much of the contribution margins in the quarter is due to stores not yet active as of December '24? And if you can separately just talk a little bit about between when you start to see expenses on a store and when it gets activated on the platform, what is the kind of time horizon are we looking at? That's one.

And second, is there some element of advanced expenses on the performance marketing spending as well, where you've seen expenses or you've incurred expenses, but it hasn't resulted into a conversion into MAU or MTU?

Rahul Bothra: Right. So, the first question around the store cost or the fixed cost that we incur before the stores become operational. So typically, that lasts for roughly 30 days to 45 days, and that's already factored into the current margins that we have delivered. The second question around the digital marketing and whether that's given the results, by the nature of it, performance marketing is meant to give immediate results.

Now due to heightened competitive action, the CACs can go up or down depending on how much of investments are going into it by the category. So, that's something that we do see some bit of headwind there. But over time, we are also getting a lot more efficient. The overall

category growth is pretty stellar. And we do expect CACs to continue to go south.

Vijit Jain: Got it. So, Rahul, just to clarify on the first part, when you say 30 days to 45 days, so there will be some expenses related to these 96 -odd stores in January above the contribution line as well for quick commerce?

Rahul Bothra: That's correct. That's correct. So, that's already factored into the QND quarter

Moderator: The next question is from the line of Gaurav Malhotra from Axis Capital.

Gaurav Malhotra: I just wanted to check, coming back to the contribution margin for quick commerce. Now the aggression in the market, I think so probably started mid-quarter in 3Q. It was obviously not there for the entire quarter. So, the full impact of that will be probably seen in the fourth quarter, the Jan to March.

And we are also sort of ramping up the store additions during the same quarter. So, just wanted to get some understanding as to then how should we think about the -- being in the similar range, the contribution margin, when the competitive intensity will be for the full quarter and there will

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be also accelerated store count? So how do we sort of reconcile this along with the margins being in the same ballpark?

Rahul Bothra: So, see, it's hard for us to give a specific number in terms of how this will play out. I think, however, we do believe that it will be in a tight range, right? So, the overall, say, margin contraction that happened sequentially, we don't expect the same level of margin contraction to continue. So, it will be in a tight range.

Moderator: The next question is from the line of Garima Mishra from Kotak.

Garima Mishra: First question, again, competitive intensity on the quick commerce business, right? I mean, one aspect is discounting. The second aspect is also on elevated costs that you might see for expenses such as rental, delivery agents, et cetera. So, can you comment a little bit on the latter part? Are you seeing high rentals and other costs in general as your competition also is expanding quite rapidly?

Amitesh Jha: See, one of the things that we also spoke about is that we are looking at our P&L in a very structural manner. And in that, obviously, costs are an extremely important part of it. So, there is absolutely no impact on rentals. Our cost efficiencies are actually becoming better because we are seeing more densification of orders also because of which the last -mile cost also goes down. The AOV is also going up. That also helps in better operating leverage as well. So generally, to answer your question at a very high level, no, that competition intensity is not going. And we are also being very committed to our discipline to costs to make sure that we are not letting go on areas, which are very, very structural to any kind of retail business.

Garima Mishra: So, Amitesh, that's the contradiction, right? Because those areas would be important to others as well. So, how does one take a call that this is the right cost structure to operate in that area? And on the same lines, have you closed any stores at all because of cost structures or competition?

Amitesh Jha: Sorry, I didn't understand the question clearly. But if the question is on that, are we making sure that whenever we are opening a store, we are not putting it in the -- no, for -- we have not shut down any pods for any kind of competitive reason at all, nor we have taken up any pods.

Whatever shutdown of stores happens is basically because we want to relocate the stores, move to certain other regions. We have a very fair idea of what is the structural cost to run a store, and we are making sure that whatever we do, we don't really deviate from there. But I didn't understand your question clearly. If there is something else, please do help me understand.

Garima Mishra: No, that answers the question. Second question on Q3 is that you have given out your target of achieving contribution margin eventually in this business. So, does that sort of assume that the addition of stores -- the pace of addition of stores starts coming off? Because if this addition just remains very high, achieving that target becomes that much more difficult. So, just trying to understand how to read that?

Rahul Bothra: Yes. So Garima, maybe I can come in here. So, as we have

mentioned that, as a combination of the average size store as well as the megapods, we do expect to increase the overall coverage in terms of categories, as well as selection available to consumers without necessarily having to

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add that many number of stores, right? So, most of the store addition expansion after the current, say, guidance is going to be growth led and not necessarily to service unserved areas hitherto.

Amitesh Jha: And one more thing that you have to look at that even if the store addition is constant per month, because of the number of additions that we are doing over the first half of the year, the percentage contribution that is going to come from new stores will consecutively go down all the time, even at a flat addition of stores. So, when we are thinking about contribution margin, think about it is

that there will be more percentage of mature stores than with the non-mature stores at the quarter where we are speaking about, that will be the contribution here.

Garima Mishra: Got it. And last question from me. This quarter, you've mentioned that non-food categories contributed to roughly 86% of your GMV. So, how much more can this number go up till? Sorry, food contributed to 86%. So, non-food was 14%. Yes.

Amitesh Jha: See, I think last time also we spoke about it. The customers are asking for more and more categories, and are also willing to have a bigger share of the wallet. And that is the reason why we are expanding our megapods as well, having a lot more assortment in place, which will be mostly electronics, appliances, general merchandise, all those categories.

So, to think about it, yes, it will continue to go up. We believe that the -- in terms of essentially category growth, the new categories will far outstrip the growth of existing categories. And we see that as a secular trend going forward for at least a year, if not more.

Moderator: The next question is from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary: Just want to probe a little bit more on the contribution margin comment that the store expansion was back-ended. So, is it fair to assume that the impact on contribution margin from new stores actually gets to fully come and that will happen in next quarter? And contribution margin dip also happened for our existing 609 stores, which we had in Q2. Is it fair assumption?

Rahul Bothra: So, there are 2 parts to it, right? One is, as I said, certain investments that we have had to make. And the second part is really the structural P&L continuing to improve, right, with all the levers at play. So, it's a combination of these 2, which gives us the portfolio level margin. Now specifically on quarter 4, as I said, we can't put a number there, but it's on a tight range is how we think of it, with stores continuing to add on the positive trajectory as well as some of the new stores also contracting margins. But overall, at the portfolio level, it will be on a tight range.

Nikhil Choudhary: Got it. Just wanted clarity if we have seen decline in contribution margin, material decline for existing 609 stores, which we had in Q2. Is it fair assumption?

Rahul Bothra: No. So, as I said, it's a combination, right? So, it's a combination of us investing in new users as well as the store expansion. So, it's not necessarily to do with the 609 stores because many of those stores would actually also turn profitable because they would have hit a certain maturity profile. But it's not that the investments are happening across the portfolio.

Nikhil Choudhary: Got it. Just one clarity on your guidance of achieving adjusted EBITDA breakeven by Q3. Are we assuming that competitive intensity will be materially lower by then and that will lead to

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losses in Q3 be much lower? Or we are assuming that despite of current level of competitive intensity, we will be able to achieve the breakeven in our

retail business?

Rahul Bothra: So, you see, it's hard to really put a crystal ball in terms of how the competition intensity is going to be, how many new players are going to enter, what will be the overall spending pattern. I think the current guidance is based on what we know today. This is our internal plan that we had signed up for. And we remain confident of achieving that.

Now if there's any new information about new heightened competitive activity or it accelerating or decelerating, we will come back to you with more specifics. But as of now, we stay committed to our current trajectory. The adjusted EBITDA breakeven is at the corporate level and the CM breakeven for the Instamart business.

Moderator: The next question is from the line of Aditya Suresh from Macquarie.

Aditya Suresh: I had 2 questions. First, maybe for Harsha. Harsha, obviously, market dynamics are fairly fluid. What in your vantage point are the top 3 financial priorities for Swiggy? And are you drawing any boundary condition of the losses you're willing to fund in Instamart over the next, say, 12 months, 24 months?

Sriharsha Majety: I think if you look at the overall business, I think the only big investment area happens to be Instamart. But at the same time, we're also looking at a \$40 billion to \$50 billion opportunity in 3 - 4 years. So, our eyes are all about how can we execute, serve customers well and invest to be a dominant player at the end of this investment cycle.

But given the overall trajectory of different businesses, food continues to grow and increase profitability, etc. At an overall level, we feel comfortable investing as long as we are going to ensure greater success for us in Instamart business when it plays out over the next few years.

Aditya Suresh: And in terms of the financial priorities, Harsha, are you able to rank sort of what the priorities are for Swiggy?

Sriharsha Majety: I probably can't give you like a specific rank sort each of them. Each of the businesses have different trajectories and the sum together is how we look at it. So, it will be hard to do a rank sort of, to be honest. But obviously, given the investment level are heightened, the market landscape is the most dynamic in Instamart. Obviously, all our eyes are on ensuring that we navigate that really, really well over the next 2 quarters.

Aditya Suresh: Is the Board putting any kind of cap in terms of the funding of losses, maybe that \$250 million, \$500 million, any absolute numbers, which the Board is kind of curtailing to spend on?

Sriharsha Majety: No such conversations have been had. I think the Board conversations have always been and continue to be on how to make Instamart successful, how to make each business successful.

Aditya Suresh: Got it. And maybe if I can just like try to ask a different question then, right? So, on ESOPs, can you probably help us understand what the financial metrics kind of associated with this or

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attached to this? Maybe that will help us kind of understand the priorities here a bit better as well in the next 12 months, 24 months.

Rahul Bothra: Right. I think we had shared specific, the ESOP terms, especially for the senior team. There are back-ended ESOPs that have been given. They're also linked to both share price appreciation, 30% unlock at specific price and all. So, there are specific guidance that we have given in our Shareholder Letters, which is related to share price appreciation, which is linked to the management incentives on ESOP. So that's the philosophy.

Moderator: The next question is from the line of Abhisek Banerjee from ICICI Securities.

Abhisek Banerjee: Congratulations on a good show in food delivery. I had a few questions on quick commerce. First, so you have mentioned the 96 store additions in Q3 FY '25, which is obviously the net addition number. But what would be the gross addition number, if you could let us

know, please?

Rahul Bothra: Yes. So, we roughly had 110 or so which are at gross level. The 15 stores that we may have closed is mostly towards either changing the specific pin or making it into a larger store. So, we have been on a continuous journey of expanding the average size of these stores. So, some of that store additions have happened. But on a net level -- at the gross level, they would be roughly 15% higher.

Abhisek Banerjee: Right. So therefore, when you move from a smaller store to a larger store, that also has an inflationary effect on your fixed expenses, right, which comes before contribution. So therefore, that also has an impact on the contribution margin going down?

Rahul Bothra: That's right. For the very short term, yes. But over time, we get a lot more operating leverage because of the expanded AOVs as well as the ability to service a larger customer base and order base.

Abhisek Banerjee: Absolutely, absolutely. But in terms of where are you in this journey of extending the number of stores -- extending the size of existing stores because I saw that the average area per square feet has moved to about 3,475. So, are you mostly done with that journey?

Amitesh Jha: No. So, Amitesh here, Abhisek. So, the way we look at it, there are 2 parts of our store expansion that we are doing. One is more deterministic, which is the megapods that we will keep on expanding and that significantly increases the square foot area, which is there. The other part is more essentially dynamic in nature, where we keep on relocating and moving towards a larger pod. That's a continuous journey. So yes, it will keep on going, but I don't see that as a big drag on our overall square feet area in the future. Is it done? No. That journey will actually continue and -- but it's not going to be a big drag on our fixed cost in general.

Abhisek Banerjee: Understood. Now if we are looking at the ordering frequency per customer, obviously, there has been a later ramp-up. But can you give us some idea of what is the average number of days that the 96 stores have done in the quarter?

Amitesh Jha: Sorry, I didn't understand the question. Can you just repeat that?

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Abhisek Banerjee: What would be the blended average number of days that the new 96 stores have done in this quarter?

Amitesh Jha: I don't think we can answer that question specifically. But if there's any other question related to that, we can continue on that.

Abhishek Agarwal: Abhisek, all we can say is that the store additions were slightly back-ended because that's something that Amitesh had already mentioned, which is why obviously you see a drag on the same, while the overall number has gone up by 96, but they've obviously been slightly more back-ended.

Abhisek Banerjee: Okay. Fair enough. Now if I come to your -- the KPIs, which, say, the customer sees, for example, say, the difference between the time shown as it -- I mean, so when say somebody places an order, you show, say, 15 minutes for delivery. And what is the actual time of that order being delivered? Is there some metrics you can share on that, which kind of explains how you are doing operationally?

Amitesh Jha: Yes. I will take the Instamart question, but Rohit can speak about food as well. So, in terms of promised SLA, that we track very, very closely because that is something that customer sees. We are the industry best. It has been also seen in some of the benchmark studies as well. We continue to improve on that as well, and that will always be one of the top priorities that we are looking for.

The other thing is that our -- the delivery times will be considered to that particular SLA is also

extremely close. So, we also ensure that the promises that we are doing to the consumer and the actual SLAs that we are also having is also extremely close. At a national level, our average in terms of actual SLA is around 12 minutes.

And we see that going south as well as, as and more the orders will be more denser. So, more dense orders mean that my SLAs will go down, if that question was specific to Instamart. But...

Abhisek Banerjee: Yes. And one more part, what is the promised time?

Rohit Kapoor: Sorry, Abhisek, please go on then.

Abhisek Banerjee: So, I was just trying to understand what is the promised time for delivery in Instamart vis-a-vis the 12 minute of actual delivery time?

Amitesh Jha: Yes. So, promised will be extremely close to that. It's not going to be...

Rohit Kapoor: Yes. Maybe I'll take that. This is Rohit here. I think on both food and Instamart, in terms of -- from our understanding, we operate at near industry standards on the promised versus actual gap, right? And the promise will be, in most cases, within a very tight range. Maybe for Instamart maybe 1 or 2 minutes. In food, maybe 2 to 5 minutes in that range, right? So -- and that's a very important metric because we don't think of the consumer response as a one-shot response where you show something and the actual in that particular episode, but trust builds over a period of time. And so, this is a very important metric we track regularly, and the range is very, very tight is what I'd tell you.

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Abhisek Banerjee: Understood.

Rohit Kapoor: And if your question is that is there a very aggressive time being shown and the delivery is something else, that's incorrect.

Abhisek Banerjee: Yes. Exactly. So, I was just trying to understand how you stand versus the overall industry, if there's any way of tracking that?

Rohit Kapoor: Yes, we track compliance, and we do mystery ordering reports, which are third-party in nature, where third parties actually study across players and come back and give us a range of guidance.

So, this is a very closely watched metric at the management level. I track it. Harsha tracks it.

Amitesh tracks it. So, it's a very important metric we track. And our philosophy is to keep the promised versus actual quite tight.

Moderator: We have the next question from the line of Samarth Patel from Equirus Securities.

Samarth Patel: Now, on the quick commerce side, there has been significant increase in fixed costs, both like semi-fixed cost as well as overall fixed cost, ex of marketing, right? So, how much of it would be, let's say, A, we are replacing existing darkstores with the larger darkstores; B, we are opening darkstores, but within existing city and the third, we are just opening the new city? So, any flavour on that would be really helpful.

Rahul Bothra: So, we unfortunately cannot give specific information in these cuts.

Samarth Patel: Yes. But any, like, flavour would be really helpful for us to understand.

Rahul Bothra: The largest component in below contribution margin cost is the marketing investments, right, which are slightly more discretionary in nature, which we decide to invest or hold back depending on the category growth that we see.

Moderator: The next question is from the line of Gaurav Malhotra from Axis Capital.

Gaurav Malhotra: I just had one question. Right now, from an industry perspective, right, everyone is really going out and aggressively expanding and also providing reasonable discounting for gaining subscriber share. But what is the risk that at least in some of the markets, we are sort of overestimating the demand because that demand is basically coming from providing higher discounting of products. Any thoughts on that?

Amitesh Jha: Yes. I'll speak about the market in general, and I think which is the question around this as well.

See, everyone is expanding. We are also expanding, and we are seeing a latent demand for quick commerce across the cities. So, wherever we are going, I think this is one of the standard metrics also that we look at is that how long does it take for a store to mature. The trajectory for any new store that

we are launching in new cities are also following the same trajectory.

So, the way to look about it is that it really -- if you are comparing a metro to a T2 city, every store, even at this particular point of time are behaving in the exact same way. So, the way to think about it is there is a latent demand. It is important for the quick commerce space to go and serve that demand. We want to be in the forefront of that, which is the reason why we are

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investing in expansion of stores, cities, as well as on to marketing. And we believe that particular thing will be safe. There is a big reason of why people are coming in is because they want it.

Moderator: Ladies and gentlemen, we will now take one last question, which will be from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Just one question on the subsidies. You mentioned that, that's sort of gone up. Could you maybe clarify what is the nature of the customer incentives that is happening in the market right now, especially from your side? Are these headline subsidies on the MRP from your side as opposed to what you get from brands? Or is this targeted for customer acquisition or reacquisition for the first few orders? Is it on delivery charges? So, just some clarity on what's happening there? Because the concern I have is, is this potentially changing the customer perception to a very, very subsidy-seeking behavior, which could be harmful for your brand and the market in the long term?

Amitesh Jha: See, the way we are looking at it is that there is a customer acquisition cost that we have to pay, right? We'll have to do performance marketing, and we have to make sure that they have the right tools in place for them to be sticky to a platform. And that stickiness to a platform is a program that we essentially run. That is the same program that we used to run also earlier, and we are also doing that essentially right now. So, the way to think about it is the more number of new customers you acquire, the amount of investment spent on those programs will essentially go up. The customer acquisition cost, obviously, because of heightened competition is also up. But as they mature, okay, generally, these customers are becoming more and more productive. So, one thing that we track very closely, that's exactly what you said, that is the customer behavior changing because of the way we are acquiring those? We don't see any kind of change in that at all. We see that when we do it over a longer period of time, that stickiness remains and the propensity to higher retention, higher GOV only increases. We haven't seen correlation between the customer acquisition cost that we are providing and the retention. Generally, they are independent of each other.

Ankur Rudra: If I can, I just want to clarify, this is the point about excluding performance marketing, what's spend on customer acquisition outside performance marketing?

Amitesh Jha: Yes. We look at it really together because ultimately, it's a full customer acquisition cost. The purse is for acquiring a customer and the incentives are also related to that. So, integrated cost is what we look at.

Moderator: Thank you. On behalf of Swiggy Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Dec 2024

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REF: SWIGGY /SE/2024 -25/13

December 09, 2024

To
The Deputy Manager
Department of Corporate Services BSE
Limited
PJ Towers, Dalal Street Mumbai -
400001
Scrip Code: 544285 To
The Manager
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai 400051
Symbol: SWIGGY

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on December 03, 2024 .

Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts and Investors conducted on Tuesday, December 03, 2024 .

Enclosed is the transcript of the Earnings Conference Call , which is also hosted on the website of the company . The link to access the transcript is provided below:

<https://www.swiggy.com/corporate/investor-relations/financial-results/>

This is for your information & records.

Thanking you,

Yours faithfully,

For SWIGGY LIMITED

Sriharsha Majety
Managing Director & Group CEO
DIN: 06680073

MANAGEMENT :

SRIHARSHA MAJETY – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SWIGGY LIMITED
RAHUL BOTHRA – CHIEF FINANCIAL OFFICER – SWIGGY LIMITED
ROHIT KAPOOR – CHIEF EXECUTIVE OFFICER OF FOOD MARKETPLACE – SWIGGY LIMITED
AMITESH JHA – CHIEF EXECUTIVE OFFICER OF INSTAMART – SWIGGY LIMITED
ABHISHEK AGARWAL – HEAD, INVESTOR RELATIONS – SWIGGY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Swiggy Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head of Investor Relations from Swiggy Limited. Thank you and over to you.

Abhishek Agarwal : Thank you, operator. Hello everyone and welcome to the second quarter FY 2025 Earnings Call for Swiggy, our first ever after we recently went public. Our financial results and shareholder's letter have been published on the exchanges and the information pack has been placed in the investor relations section of our website, www.swiggy.com/corporate.

We would like to inform you that management may make certain comments on this call that one could deem forward-looking statements. Specifically, any financial guidance and proforma information that we will provide on this call are management estimates based on certain assumptions and have not been subjected to any audits, review or examination procedures. Swiggy does not guarantee these statements and is not obliged to update them at any time. Joining me on the call today are Sriharsha Majety, our MD and Group CEO, Rahul Bothra, our CFO, Rohit Kapoor, the CEO of Food Marketplace and Amitesh Jha, the CEO of Instamart. Over to you, Harsha.

Sriharsha Majety: Thanks, Abhishek. Good evening and warm welcome to everyone. We're excited to join the ranks of listed companies after a decade's journey of growth and consumer love. I'm sure since this is our first call, there'll be lots of questions, not just on the quarter gone by but maybe also on our journey until here.

We have our business leaders on the call today to answer your queries on our performance and our IR team will be available to post a call for more details. I invite Rahul to kick off today's event with some key highlights for Q2 and then we can straightforwardly get into the Q&A.

Rahul Bothra: Okay, thanks, Harsha. So, folks, the key highlights for the quarter gone by - Our B2C GOV clocked a little over INR11,300 crores, which was up 11% on a sequential basis. This was our second straight quarter of 11% sequential quarterly growth.

On a Y-o-Y basis, our growth accelerated to 30% as the business mix also continued towards a shift on the quick commerce side. We saw strong MTU growth with our platform MTUs going up by 18% to 17.1 million users and our consolidated adjusted EBITDA loss shrunk by 30% to INR341 crores in the B2C businesses. The food delivery GOV grew by 5.6% on a quarterly basis. After having achieved profitability last year in this business, margins continue to ramp up to 1.6% and we have doubled our adjusted EBITDA on a quarterly basis.

Our quick commerce GOV also grew at 24% on a sequential quarterly basis, driven by a 21% volume growth. Our orders per day per store also grew by 10% on a quarterly basis and we added close to 52 stores during the quarter.

Despite continued investments amidst significant competitive intensity, our CM margins improved from negative 3.2% to negative 1.9% in Q2. With this brief introduction, let's start the question and answer session. Over to you, operator.

Moderator: Thank you very much. We will now begin the question and answer session. We'll take our first question from the line of Garima from Kotak Securities. Please go ahead.

Garima: Hi. Congratulations, Swiggy team for a stellar listing and thank you for the opportunity. My first question is on Swiggy Bolt. Now, of course, media has reported that you've expanded this program to 400 cities now. My question is, how is th

is model different from the regular food

delivery model and how do you really incentivize the restaurant to prioritize your order over those of others?

Rohit Kapoor : Garima, thank you very much. This gives an opportunity to explain this very exciting launch.

So, the model works on two simple premises. One is that this serves restricted last miles. So, just for example, it serves roughly within anything up to two kilometers. And the second thing is that it is the same menu. So, the one big clarification that we want to give out is it's the same menu, but if you look at their entire assortment, roughly 30 %-40% menus are under four -minute prep time. And we've worked a lot with the restaurant partners to ensure that they are not only adhering to the prep time, but also giving it out to our riders without any delay. Plus, on the rider side, I think what has really benefited is that we have run the quick commerce business now for several years and we have some of the fastest speeds in the market in that business. The same principles have been drawn here.

So, net -net, I think, three things operating. One is lower last mile. Second is definite consumer love because it unlocks new use cases for consumers. Just an example, if you don't have coffee, you may not wait for 40 minutes, but if you're getting in 10 minutes, you're on for the order. And lastly, from the restaurant side, they are seeing it as a big unlock for increasing volumes. So, they are coming forward and not just participating, but sitting down with us and problem solving on what kind of menus, what kind of offerings, how do we get to it faster. So, all this has happened in the last 45 days of launch. This is also one of the fastest launch business we did, like from concept to launch event in 30 days. And it fit a scale of 5% of our order volume within eight weeks. We scaled it up to 400 plus cities, which I think is pretty much all the cities it needs to be and maybe we'll add a few more. And I think we're very optimistic about the potential it holds for not just this offering, but the future of food delivery itself.

Garima: Thanks for that explanation. Now, my question is in terms of average order value, should we regard this concept or this offering as inherently low AOV? Because you are just catering to the very quick need that a customer has, which may be largely unplanned?

Rohit Kapoor : So, by the way, this is Rohit Kapoor. I forgot to mention my name. I just assumed that since the world has understood, I'm answering this question Garima. Inherently not low AOV, for the simple reason that except pizzas, every cuisine is on it now. So, whether it's biryani, or a gourmet restaurant. So, even let's take an example of Bombay. One of the best bakeries of Bombay, the top five in terms of not just the popularity, but also the quality and the name they command, is on Bolt. Because for them also to serve croissants, which could be INR300-400 individually

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with a coffee with the cost INR200 is very much part of the Bolt offering. So, we are actually seeing AOVs quite comparable to platform AOVs and there's a lot of work that still can happen on that front.

So, this is not inherently a low AOV business. And that's one thing which is a very interesting question because you can assume it to be just top -up purchase or coffee or immediate items. It can be pretty much anything. The only category which we haven't been able to bring fully on, but there's work to do so in the next quarter is pizzas.

Garima: Understood. Rohit, and maybe last question from my side on this is, if you see your shareholder's letter mentioned some of these new value propositions, Bolt is one. There are some affordability and user experience initiatives as well. What do you think is going to be the impact of all of these new initiatives on the growth of the food business?

Rohit Kapoor : See, if you look, R

ohit again answering this question ... if you look at growth, growth can happen in this business from three or four different vectors. One is geographic, right? That you simply go into new cities. We believe that we are close to, in the food business, we are close to now operating in the number of cities we need to operate because anything beyond that is actually a vanity metric where we can expand out of 50 cities, 100 cities. There's not much business to be had there. So that vector is sort of not what we are betting on.

The second is what we think is definitely a lot more emphasis on existing cities where a migrant population, new colonies are coming up. Just to give you an example, we are quite clear, it's becoming quite increasingly clear that places like NCR, Bangalore, you take the top 50 cities, it's not just the core of the city. Today, if you come to Bangalore and you go to Devana halli or

you go to the outskirts, probably it looks like you drive all the way to Hosur and still looks like Bangalore all the way through. If you're in NCR, you're driving towards Jaipur, like it used to end at Manesar, you can go all the way up to Rewa ri and it feels like you're sitting in Gurgaon. So, I think what we call the new growth area, that's one. And there the kind of consumers who are coming in also are looking for affordability and rentals are going up in core cities. So, you see that there's a lot of new people who come to the city for employment or work actually go and stay in the peripheral cities. And that's where the affordability initiative has become very important. Unlocking new use cases, like Daily, a big use case for corporate lunches. Speed by Bolt by itself transfers a lot of orders which would have come from either sometimes like going down to a canteen or your own kitchen can be unlocked because Bolt exists. And the interesting part is that now we have seen this in quick commerce as well, that we assume that 10 minute or fast delivery will only unlock a certain kind of order assortment. That's not true. In quick commerce, we started by assuming this will be Coke, chips and things like that. But today you're buying headphones, cosmetics, you're buying pretty much a wide range of items, and same is true for food delivery. Consumers just love things faster. It doesn't matter what the cuisine is. So, I think Bolt is a big bet here. If you look at user experience, I think that's something we have always prided ourselves on in terms of the UI/UX of the app. And we continue to believe that there's a lot of headroom for us

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to keep improving that, whether it's Eatlist, whether it is new features that you see, the clear product evolution on the bulk delivery side; it's not just the vehicle, but fundamentally the core products and the restaurant experience in bulk delivery has changed in October. A bunch of work on the restaurant partner side, self-serve advertising at scale.

I think if you just look at our advertising revenues and what's happening there, I think it's a very exciting story. So overall, we believe all this is bringing through GOV growth, which is in line with what we have been forecasting, revenue growth which is faster, and profitability unlock which is actually much faster. So that's the overall framework we are trying to operate growth with rising profitability in the food business.

Moderator: We'll take our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Congrats on a good IPO and also a good set of numbers. A few questions from my end. Firstly, on food delivery, you're guiding for outpacing the category growth. Given there are only two players in the category, what gives you confidence now that you will be able to grow faster than competition?

Rohit Kapoor: Look, I think we are guiding towards the category growth and faster growth because numbers are

out for both the companies and you can see what happened last quarter, right? I think it is very hard to say, and I won't bet this will be continued in this way or that way. But frankly, what we are bullish about is the pace of innovation in food delivery, the number of new launches we are doing, the kind of work happening in the company, the kind of success we are seeing with the new initiatives; all that definitely gives us confidence on two things. One is our ability to think through new unlocks for the category itself. And it's not a two-player market, we have never agreed to that definition of a two-player market because frankly, we compete with everyone. We compete with people who go out and eat. We compete with all kinds of options which people have to eat. So, I think it's not our definition of the market. And in the world where we see as a food service market, we definitely see online delivery outpacing that, that's there in data. And the set of initiatives that we launched in the last quarter and what we have in the pipeline gives us some confidence to say that we have a realistic chance of growing in line with what our predictions are and hopefully outpacing them in the future quarters.

Sriharsha Majety: Hi, Sudheer. Harsha here. In addition, I think I also would like to emphasize that if you look at our trajectory over the last two years, I think we've also been able to get a lot of progress on the overall contribution and the indirect cost that is given as operating leverage. And overall, with a lot of that work behind us, it also means that there's a disproportionate amount of management bandwidth going on the growth agenda versus we've been able to in the past. It is intangible, but I did think it was important to mention to have a huge impact on how our mind share and how we spend time energy and resources on the growth agenda.

Sudheer Guntupalli: Fair enough, Harsha. And we are guiding for 4 million square feet of dark store area by March '25. That's almost doubling our dark store capacity in let's say four to six months, maybe assuming you're following this out from September. So, what gives you confidence on the pace of addition, number one, and also the demand uptake at let's say 2x our current capacity?

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Sriharsha Majety: Sudheer, so, yes, we have mentioned that we're going to be close to doubling the store count while increasing even the footprint size by -- I mean the average store size by 30%. The average store size by 30% is largely also because we did have smaller stores to begin with in the past

and to be able to meet the growing demands of assortment, it was important for us to do this and that's the transformation that's underway.

As for doubling the stores itself, I think, I mean, as you can see in our Q2 results, we've seen some strong order volume growth and we do believe that from an overall penetration standpoint, I think we're still relatively early in the overall game. With that coupled with, let's say, increased competitive intensity, I think we may see some acceleration in overall category growth versus originally planned and that's kind of why you see us going aggressively behind store expansion in the forecast.

Sudheer Guntupalli: And just one last question. I think it's great to see it looks like on the Instamart side there is some market share gain, especially on the MTU front. A quick clarification based on the internal metrics that you may be tracking, what is our order market share in quick commerce category right now and what might be our market positioning by number of orders? Are we second or third?

Rahul Bothra: Yes, so, honestly, we don't have that data. Sudheer, Hi, Rahul here. We do believe that we are striving for a certain growth in the category. We are seeing acceleration of that growth and I think market, we are seeing also some bit of heightened competitive activity from both existing and new

players. So, it's hard to take down a certain market share number. It also changes during the day and the week and the month. I think we are well poised from the expansion, you know, ambition that we have laid out that we are going for category leading growth.

Moderator: We'll take our next question from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Congratulations on the listing and a strong quarter and good to see the growth pick up across both the core businesses. Maybe on the Bolt initiative, if I could focus on that a bit more again, how is this impacting consumer behavior, this launch, because it's a clear innovation that we've seen for the first time in the last 10 years of food delivery in India? Is this creating new demand or at the moment are you just seeing existing demand, what was probably lower order value, shift to this? And if you can give us some color in terms of, I think you gave us some color in terms of average order value, but also in terms of how the unit economics will work here versus the core food delivery offering.

Rohit Kapoor: Rohit here, I'll take that question. On a lighter note, I think one of the reasons we launched Bolt was Harsha also wanted Starbucks in 10 minutes, right? But no, don't take that seriously. It's just a joke between me and Harsha. But I think clearly three or four things. One is use cases which would have not gone to delivery. Simply saying, I want a coffee immediately. I'm in a hurry, I'm leaving home, I need something in 10 minutes. I've come back home and I'm hungry, right? Not ready to wait for 30 to 40 minutes. Craving late night dessert, like I want to have an ice cream before I sleep. So just the fact that you decompress the time of delivery from 30, 40 minutes to 10 minutes, unlock human emotions and needs and use cases in disproportionate ways. That's point number one.

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The second thing which we sort of went against was saying that, can it be only delivered by a captive cloud kitchen? The answer is no, because there's enough density in Indian cities and we are so dense in all our markets that we can get an agglomeration of restaurants and consumer points within 2 kilometers of each other, right? So that creates positive flywheel on the restaurant side because they see more demand, positive flywheel on the consumer side, they get the -- when you first time get coffee in eight minutes or nine minutes, it feels like magic, right? And you just get hooked onto that thing that this is something that is so cool. Let me just go and try it again, right?

Third, on economics, we can't share due to competitive reasons right now, but frankly I will say that that's something which is not worrying us at all on this initiative. And we're fairly confident on managing the economics of this business as we scale up.

Ankur Rudra: Just one clarification on Bolt. You mentioned in the prepared remarks that it's grown to 5% of the volume in the 8 to 10 weeks of launch. Is this adjusted for the locations where it's launched or is it increased to 5% of overall volume?

Rohit Kapoor: This is platform, overall platform.

Ankur Rudra: Overall food platform, right?

Rohit Kapoor: Yes, it isn't adjusted. Food platform, correct.

Ankur Rudra: No, that's great. And that's creating significant impact then. Okay, fair enough. Super. Just maybe a quick question on quick commerce too. You highlighted there is incremental competition or heightened competition. And you're clearly upping your dark store targets which are doubling over the course of the year and from here also doubling the footprint. How has the competition impacted your growth plans more recently? And what does the doubling of the footprint over the next six -odd months impact medium-term profitability?

Sriharsha Majety: Hi, Ankur. Harsha here. At a high level, I think what happens when obviously there is increased competition is

there is typically stress on a few line items. Of course, I think marketing spends, there is bound to be some stress. I think like there is continuous store expansion in various cities that happens. And there's also like incremental, small increases even in let's say pricing that do come up for the day. Now, as you rightly pointed out, we actually are, you know, from a point of where we are today, we're going to add a significant number of stores in the next four months. And our guidance as we have given even in our letters is that we're gunning for overall contribution margin breakeven of Instamart to be hit by OND (Oct-Dec) '25. So, the reason why we believe that is in the short term, we will need to modulate our investments to stay competitive. We have our eyes on the price, which is the \$30 billion to \$50 billion market that we're all playing in three, four -year time frame. And we will need to be competitive and be dynamic, in the landscape to be able to ensure that we have a good journey to long-term sustainability. As for, that journey itself, as we play this whole competitive intensity and market out, there are still however, things that are in our control. And some of them will be like, let's say the AMV, which we have talked about as we increase our assortment on the Instamart platform, we do expect the AMV to go up from where it is, we have some opportunities in our advertising

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business as a percentage of the overall business. And then this rapid expansion of stores that we're going to do in the next few months, will also lead to some increasing maturity of the overall store profile as we approach OND 2025. Now, when you take all of that and pricing, whatever we can price in with the information we have available about competition, we feel, the guidance that we want to give is CM0 for OND '25. In the interim, as we mentioned, we will have to modulate and be responsive in the market based on what we are seeing.

Ankur Rudra: Very clear. Thank you so much. Just one clarification, because this is an evolving situation, an evolving market, if there will be growth versus margin trade -offs in the short to medium term, would you always focus on the long term and growth as opposed to medium term margin, especially in this business?

Sriharsha Majety : I think, like with all things, we have to keep, constantly keep our eyes on the long term, Ankur. In today's market, we will have to be dynamic and react to make sure that we don't become less competitive beyond a point like in the short term, but we firmly have our eyes at the same time on the things that we can do to differentiate in the long term. Spoken about it in the past, we want to make a big push on assortment to do a great job over there to create some meaningful differentiation.

In addition, you've also seen us start experimenting with categories like pharma, where we are getting consumer feedback, and we want to learn more and see what we can do. So, the answer is, firmly have our eyes on the price for the long term and modulate in the short term based on the intensity that we see.

Moderator: Thank you. We'll take our next question from the line of Samarth Patel from Equirus Securities. Please go ahead.

Samarth Patel: Thank you so much for providing me the opportunity ...

Moderator: We have a question from the line of, the current participant's line is disconnected. I request Mr. Bijal Jitendra Shah from RTL Investments to go ahead with this question, please.

Bijal Jitendra Shah : Yes, hi. Thanks for the opportunity and congratulations on a great listing during turbulent times. My question is with respect to your announcement that you decided to get into sports business or owning sports teams. So, can you just elaborate on that and with respect to that, what kind of investments you are looking at and how would it impact the guidance which was given during this in the shareholder

letter?

Rohit Kapoor : Hi, this is Rohit here. Let me take this question. First of all, I think just to clarify, we are not getting into the sports business or in any significant way. I think that headline which has appeared in one of the press articles is slightly, we'd like to clarify on top of that. What we have done is we believe that our consumers, especially in the top metros, are seeing pickleball as a very fast -growing recreational activity. In fact, pickleball is one of the fastest -growing sports, not just in India, in metros, but all over the world. In some countries, it has outpaced even tennis ; and there was an opportunity for us to be very early in the game, acquire the rights to own one of the teams in the world, Pickleball League, which will be launched very soon. We have gone and acquired the Pickleball team rights for the city of Mumbai and that's a very limited

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play that we have there. The company has been formed because this is a sub -course, so it had to be formed for that reason.

Again, clarifying very clearly, we are not getting into sports business or sports events, etc etera . Very specifically, it is about acquiring the rights to the team at this point in time and I think that is what it is all about – not into sports events or anything of that nature .

Bijal Jitendra Shah: Can you confirm it will be limited to this single investment or you would be exploring more things going forward? As of now, it might be one investment, but later on.

Rohit Kapoor : At this point in time , it is purely restricted to owning rights of owning the Mumbai Pickleball

team. There is no other plan at this point in time to expand into sports at all.

Moderator: Thank you. We'll take our next question from the line of Swapnil Potdukhe from JM Financial.

Swapnil Potdukhe : Hi everyone, thanks for the opportunity and congrats on your listing. I have two or three questions starting with delivery first. In this quarter, what I noticed is that take rates have come off on a quarter -on-quarter basis and that is about 30 -40 basis points of decline.

In particular, the reason you want to call out given that we have also mentioned that our ad income continues to improve and how do you see the take rate going ahead? So, if you can start with that.

Rahul Bothra: Hi Swapnil, Rahul here. So, if you look at it sequentially, there is a small decline largely to do with some of the affordability initiatives that we have run, including the subscription program where we continue to see the expansion of the subscriber base and as a result, there is lower delivery fee income that gets recorded. I think from a medium -term guidance, we do believe that there is another 150 basis points improvement that can be made from here on in our guidance to steady state to build out 5% and we are positive to be able to achieve that.

Swapnil Potdukhe: Got it, Rahul. The other question is with respect to the investment that we have been discussing till now, Cafe, Bolt, Daily, those kind s of things, just wanted to understand how they get, where are these investments exactly coming from ? Are they coming into segmental segments for them, or they are getting captured in Platform Innovations

Rahul Bothra: Sure. So, depending on the specific initiative, most of the ones which are at scale today are being run on the food delivery platform. So, whether it is Bolt or whether it is Cafe, they are housed under the food delivery business. So, these are not carved out as separate innovations.

Swapnil Potdukhe: Okay. And there was another partnership with the HDFC Bank that we have been running for some time now. Any positive impact of this partnership on your order volumes? Anything that you want to call out on that side? And a related question to that, there is also a significant benefit that a consumer gets in terms of cashback. So, just wanted to understand how does the unit

economics work there because that 10% cashback i s meaningful. So, how much do you bear out of that on your own P&L?

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Rahul Bothra: Sure. So, the co -branded card that we run along with the HDFC Bank is one of the marquee co -branded credit cards out there in the market today. It has significant benefits that consumers get access to across the Swiggy platform.

As we have a single app and across the services, consumers get a 10% cashback on the spending across the platform. The good news for us is that all of this is funded by our partners and there is no economic loss that we have on account of this cashback pro position. So, this is a very, very strong program and we are very happy with the initial take -up that this program has given us.

Swapnil Potdukhe: Anything you would like to call out in terms of percentage volumes coming from this card or number of users, something like that?

Rahul Bothra: No, specifically, we won't be able to share any specifics around this due to it being competitively sensitive.

Swapnil Potdukhe: On the quick comme rce side, I had one question. So, obviously, your contribution margins have improved meaningfully partly due to ad income and then you would also have got some operating leverage on the dark store level. But one thing that I am not able to reconcile is that there have been meaningful increases in your supply chain business.

If I were to look at it from a Q -on-Q basis or a Y -on-Y basis, the losses in those businesses have increased meaningfully whereas your top line continues to grow. My understanding was like there would be some operating leverage in that business given that initial investments we are done with. So, I just wante d to see if there is any overlap between your Inst amart business and the supply chain business in terms of cost as well as revenue and how should we read that , going ahead?

Rahul Bothra : Sure. Thanks for the question again. So, on the supply chain and distribution business, as we have mentioned in our letter, it is a B2B business where we are servicing wholesalers, retailers, and kiranas, including housing of the Lynk business that we acquired last year, which is into technology -led urban distribution for the FMCG companies.

So, here, most of our near -term effort has been in expanding the overall capacities by introducing warehousing as well as logistic s services , and that investment has been made. And we do believe that sequentially from here on, we will see continued improvement in our profitability trajectory for that business segment. So, most of the near -term investments are behind us. And sequentially, we should see an improvement in the business going forward. Also, to note that today, if you have seen in our business, we have already crossed 1 lakh unique customers that this busines s segment directly invoices to. And we expect to continue increasing the share of the kirana business in this segment.

Swapnil Potdukhe : But the related question to that was like, what are the overlaps in terms of cost with your Instamart business? I mean, do you use the same warehouses? So, do you use the same mid-mile logistics? How does it work? Or do you have separate teams altogether?

Rahul Bo thra: So, as we have mentioned, the Instamart sellers today use certain services of our platform. Now

warehousing is not one among st them. But as we have increased our overall capacities and

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increased the warehousing infrastructure, we do expect to make the Instamart sellers also utilize some of the warehousing space that will have a consequent increase in our take rate in the business. So, as we expand our overall service offerings in this segment, we do expect to leverage or make use of the capabilities that are built in this business for the Instamart sellers also.

Swapnil Potdukhe : And just one last one, if I can squeeze in . So, while we saw a meaningful im

provement in your

contribution margin this quarter in Instamart from -3.2% to -1.9%, your guidance seems to be a bit conservative for breakeven. Any particular reason that you want to call out over there?

Because if take rates are expected to increase, one would have expected most of that benefit to flow through your contribution margins .

Rahul Bo thra: So, Swapnil, you are right that we have been able to showcase an improved trajectory in our contribution margin profile , with better utilization and cost reduction in the business, as well as increasing take rates . I think Harsha talked about some of the near -term competitive intensity we have seen. We are also expanding significantly our dark store infrastructure network in the near term. And so, all of that is factored in our overall guidance of CM breakeven in another, say, four quarters or the December quarter of 2025.

Swapnil Potdukhe : Got it. Rahul, thanks a lot for taking my questions and all the best.

Moderator: Thank you. We will take our next question from the line of Vivek M. from Jefferies India. Please go ahead.

Vivek M: Hi, good evening team. A couple of questions. The first question is, your food delivery business I know still is at an early stage, but you are a sizable player with sizable GMVs, GOVs. What is the trend that you are seeing on the ground? Because a lot of consumer companies are talking about slowdown. The quick service restaurant industry has been dealing under pressure with the SSS number negative. If you can just quick ly talk about how the landscape is on the consumption side, that will be very useful.

Rohit Kapoor: Hi, this is Rohit here. So, while I think obviously, we have also read about overall slowdown and some sectors slowing down, it looks like we happen to be in three categories where we are not seeing that impact lay out, at least in the last quarter, even at present. So, if you see, food delivery has grown about 5.6% quarter on quarter. Instamart is growing 24% quarter on quarter. Dineout , which is the out -of-home category, has grown about 11 %-12% quarter on quarter. And even if I reflect on what's happening , right now we don't see this pattern playing out. So, one of two things, it could be that these sectors are more insulated from some of the slowdown discussions happening or within the food space itself, online delivery is slightly pacing ahead of overall food market growth. Could be that playing out as w ell.

Vivek M: Got it. And just as a follow -up, because beyond your numbers, you will be let's say, meeting the restaurant partners, talking to them. Do you think there is a or do you get a sense that the partners are, let's say, going through a bit of a slowdown pressure right now, on the dining side of things?

Rohit Kapoor: Actually, on dining side, that's what is reflected from our business, because that's what we concentrate on. We are not seeing that happen. The Dineout business or the Going Out business,

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large part of which is actually Dineout , has grown about 11 % to 12% last quarter and seeing pretty strong momentum there. So, it looks like at least the segments we are exposed to at present, at this point in time, are pacing well.

Vivek M: Right. But my question to you is, when you talk to restaurant partners, do they complain about things being slow on the ground or you also don't get that sense from their side?

Rohit Kapoor: Again, very segmental, because there's nothing called a restaurant partner. There are QSRs, there are chains, there's a kachori shop, everybody's a partner, we have a few la kh partners on the platform. I think maybe a few, it depends, a few segments are definitely, they talk about some slowdown happening in the category, but also the slowdown at the individual player level may not happen because the category is slowing down , but also new competition is coming up. So, for example, there are cities

where, I think there was one pizza player, two pizza players used to dominate, now they're like 20 pizza players at the market. So, it's also the slicing of share, which is happening, interstate between those players, which could be reflecting on individual player discussion as you speak to them, versus the overall category being impacted per se.

Vivek M: Okay, got it. And the second question is on the quick commerce business, and apologies, I joined a bit lat e so, in case if this has already been asked ; but there's a tremendous amount of activity that we have seen in this space. And now that the new players who have entered the space, I mean, anecdotally, it looks like that they are discounting far more than, let's say, the incumbents, at least two out of the three. What is your sense on how things are on the ground, whether you have to retaliate or you have to match some of the discounts ?

And also the assortment in case of, let's say, Flipkart and Big Basket BB, I think they are far more, so let's say, my understanding is you started more so as incumbents with grocery and gradually pivoting and going into other adjacencies, whereas those guys are, it looks like, appears that they are far more heavy on the, let's say, the electronic side of things. Does that also require you to rework your assortment and what kind of discounts and, let's say, promotions you will also have to run?

Amitesh Jha: Hi, this is Amitesh here. See, the way this overall business is essentially growing is basically consumers coming in and asking for if they can purchase more from the faster delivery platforms. The way we are looking at it, the time that was earlier, maybe only a distress TAM, is now expanding to a more holistic TAM of saying that there are items that I can purchase around my area, which I can get, for example, in the next one, two hours, I would want to get all of them in the next say, 10 to 15 minutes.

So, our view is that that expansion will keep on happening. The growth will be largely essentially fueled by that. Now, in this market, obviously, more players will essentially come in. The overall intensity on players' ability to spend more money in the market will essentially grow. If you look at any business long term, and especially the retail aspect of the business, there are fundamentals of business that is what makes it a success or a failure. The fundamentals are what kind of assortment you have, what kind of service that you give, and ultimately, what kind of value that you essentially pass to the end consumer. We believe that there is a combination of that that will essentially work for the end consumer, specifically, because of the nature of business being that,

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that you can't have unlimited assortment. So, the way to look about this business is there are people who will come here and try to grow the business by expenditure.

There are three kinds of expenditures which are there. One is infrastructure, you have to grow the business, you have to have the infrastructure in place. The second is essentially marketing, convincing more people to come on the platform and experience it. And third is essentially discounting. Infrastructure and marketing will pay for itself. Ultimately, customers come in, they get sticky with the platform, and that actually solves the problem.

Discounting can only work to a limit, because what we have also seen is that unlike other businesses, example, like in food, it's not an unlimited discount business, because ultimately, you're not trying to create a market, the market already exists, people buy at essentially a certain price that are various channels that serve the right kind of purpose for the end consumer as well. The ecosystem will not allow it to move beyond a certain limit of the discount that we are speaking about. So, there is a limit to the amount of money that can be spent on as a discount. The way

we look at it, that if you get this combination of these three right, ultimately, we will be able to find out the right answer and the discount or whatever you're doing in terms of those will essentially be a limited play. The long-term play is can you expand geographies, have the right infrastructure in place and convince more customers. Convincing of more customers is both essentially - are you informing more customers, as well as do you have the right value proposition. Harsha spoke about pharma, we spoke about increased assortment, all those are the right kind of value proposition that is essentially going to come in.

Vivek M : Got it. And just a small follow up. Do you think in the interim, therefore, because of this, let's say heightened competitive activity, the profitability can be far more volatile than the steady state level that you or whatever the break even that you target to reach, can there be a bit of volatility and you may actually see discounts and you also need to retaliate with more discounts and promotions in the shorter term, at least or you think that would affect the short-term profitability?

Sriharsha Majety: Actually, that is the reason why we've chosen the guidance for the CM break-even to happen in the QND25 quarter. In the interim, it is really hard to predict how the competitive environment will play out and it is extremely important for us to stay close to the ground and stay competitive and be agile and make sure that we preserve our competitive position for the long term.

Vivek M : So, Harsha, on that point, does it remind you of 2018, I think, when there were like seven or eight food delivery players and there was again a similar heightened competitive activity. Are we somewhere there in Quick Commerce right now or getting there?

Sriharsha Majety: I think there are many, many differences, of course, between the food delivery category and the Quick Commerce category. I think if you look at, let us say, how the overall cost, supply chain, etc, constructed they're very different from what they were because even those were being figured out as we grew the food delivery category. I think there were three, four players even then. So, to that extent it does feel similar, but the businesses are very different. And for the stage that we are in, that was year 4, year 5 of food delivery. I think this is year 4.

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Overall, I feel like it's a lot better constructed than food delivery. But beyond that, these are different businesses with different modes and differentiation that was all together. So, the

differences end there. The similarities end there, but there are just three, four players and competition will be here forever.

Abhishek Agarwal : And Vivek, just to add, this is Abhishek. Obviously, food delivery, a lot of the investments in terms of the competitive pressures that were in the early times of food delivery were because the category creation in itself implied that people had to be gotten into the habit of ordering in food, whereas the need state for this on the Quick Commerce side already exists. You don't have to create that market. So, that is a fundamental difference between the two and hence, slightly different.

Vivek M : Interesting. Thank you very much. Wishing you all the best, team.

Moderator: We'll take our next question from the line of Abhishek Banerjee from ICICI Securities. Please go ahead.

Abhishek Banerjee: Hi. Congratulations on a great set of numbers. So, I have a couple of questions, but before I get to those, just to clarify a point that was raised previously. So, with regards to the warehousing that you're saying that your supply chain business will do for your sellers on your network. So, as of now, you are not earning that revenue either, right? So, it's not like – so basically you're missing out on some revenue because your sellers are warehousing outside. Is

that understanding correct?

Rahul Bothra: Hi Abhishek, Rahul here. Yes, that's correct. As I said, as we have expanded our overall supply chain infrastructure investment, we do expect to leverage this capability to also be able to provide this service to our Instamart sellers, which will help us to increase our take-rate.

Abhishek Banerjee: Super. So, obviously, that rules out any question of inflation of margins. So, now just to come to the point of the take rates going up which you have spoken about from 15% to about 20 %-22%. So, what do you think will be the primary lever for this take rate expansion? I mean, among your portfolio, whatever assortment improvement you do and the other things. So, if you could give us some sense of that, that would be very helpful?

Rahul Bothra: Sure. So, I think I'll give you some flavor around what the sources of some of them are. And we've talked about the advertising business being the key lever for take rate expansion as well as the EBITDA margin. I think we are seeing increased take-up from the FMCG industry in this segment of the business. And our overall steady state, we expect it to be in the zip code of 6% to GOV. So, that's one area of improvement.

The second would be the overall delivery fee construct. We think that today there is a certain amount of subsidy that goes into the business, both through the subscription program as well as getting users acquainted to this new service. Over time, there is expectation that there will be a certain increase on the delivery fee.

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The third is the business enablement services that we talked about. We continue to expand the bouquet of services that we provide to our partner and that will help us to also increase. So, these are the three sections of where the revenues will get to a steady state of 20% to 22%.

Abhishek Banerjee: Understood. That's very helpful. Now, if I look at your orders per day per dark store metric, that has gone up very sharply over the last one quarter. Now, obviously, the first thought process was efficiency improvement. But in the shareholder letter, we also read that you have been increasing the size of some of your existing dark stores. So, would it be possible to give a sense as to, I mean, how much is for the efficiency improvement, and do you also track a metric like orders per day per square feet? So, that will give us some clarity on that aspect?

Rahul Bothra: Abhishek, I think it's too early for us to start measuring that as a KPI, considering the fact that we are in a growth investment phase. I think some of these numbers will also have denominator impacts with the pace of expansion. So, I think we are seeing very good take-ups. I think if you look at some of the mature stores, which do anywhere between 2,000 to 3,000 orders per day. So, that's like a good indication of what the overall sustainable GOV per square feet will be in this business. So, we are seeing and therefore as a KPI to start reporting that may likely be tricky in the near term, but over the medium to long term, you should start factoring more closer to 2,000 orders per day per store to be the steady state guidance for this business.

Abhishek Banerjee: Understood. That is, again, very helpful. Now, if I were to try to understand the assortment piece now you're still trailing a little bit on the average order values for the Quick Commerce business and what are your thoughts on expanding this from here on? And I would really love to hear some of Amitesh's thoughts on the assortment part, given he has also done this in great detail in one of your competitors.

Amitesh Jha : Yes. See, again, the way we look at it is that consumers have a monthly purchase requirement. That purchase requirement, obviously, has the biggest element of groceries and then obviously there are other categories in place. So, the way to think about it is that how deeply penetra

ted

you can be in their monthly purchase bucket and that is how every e-commerce company in world also looks at it. How does that really translate to the way we do business is in terms of what

assortment you have in those specific essentially categories. In India, obviously, grocery really dominates in terms of the monthly baskets as well as an increased assortment in the grocery basket is also a very, very important asset because that allows for the kind of choices that makes a heavier basket in general.

When you compare it with offline where the number of units per order are higher, a part of that is also driven by some of the level of choices that they are looking at the micro market level. Non-grocery, one of the bigger movers is always that when you increase the assortment of that, the higher AMV essentially comes in place which is the case in case of small home appliances, electronics. All those items are the pieces that generally move towards a higher AMV as well as the rupee gross margin that you earn on all of these items are also higher. So, if you look from the perspective of a consumer, there is a specific basket that the consumer has to offer that constitutes multiple levels of AMVs. And that AMVs have essentially a different level of rupee gross margin that they can give. Ability to get into all those AMVs that have a higher rupee gross margin will be the key to success and which is where the market is also moving towards.

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The other thing that we are also doing Harsha spoke about that is that we are also looking at other categories like pharma, that generally has a good use case in the sense that they are more repetitive and it also gives a very high recall value as well because it is one of the things that you essentially need. The idea being that again I will come back to my whole view of there is an offline market around you ; it moves from a hardware store to a pharma to an FMCG store. The idea being that in the assortment that you have, can you essentially cover all of them or not and when you cover all of them, AMV increases, and the rupee gross margin also increases per order.

Abhishek Banerjee: So, just a follow up...

Moderator: Abhishek, I request you to join back the queue please as we have other participants waiting for their turn.

Abhishek Banerjee: Okay, perfect, thanks.

Moderator: Thank you. We'll take our next question from the line of Abhishek from Nomura. Please go ahead.

Abhishek: Thank you for the opportunity and congrats to the management on the listing . I have two questions. First one, on the food side you explained multiple times that innovations are one of the pillars for your sustained growth and maybe market share gains.

Could you explain how sticky are the benefits of innovations like Bolt? And if you can talk about some past experiences, how they helped you in terms of MTU , for example, in this quarter, you have seen 5% increase in MTU sequentially. But what prevents the other listed companies from coming up with a similar product?

Rohit Kapoor: So, look on Bolt, frankly, I can't comment on the other listed companies and what their plans are or could be, that's not my limit. This is Rohit here. I feel that this is a very hard to execute product as a launch, because it is not coming from a single store. Even that is a lot harder to execute and now scaling up. It's coming from a set of partners who are used to operating in a certain way. There is all the complexity of urban and metro India operating here.

There is the complexity of 10 -minute promise to the consumer being executed. There are some past launches which have not worked in the category before. I think in light of all that, the complexity itself is a sort of a time mode by itself. Now, who does it when? Very hard to comment. The consumer love is clear.

And it's an extension of what we are seeing across India, where category after category,

including food, consumers are voting with their feet and wallet saying, if you deliver to us great quality at speed, and speed is defined, now almost 10 minutes has become sort of a benchmark. There is more usage, more use, and we are seeing definitely more new to category consumer, new to our platform consumers coming in, as well as repeats going up. And not just in what could have been expected as snacks or breakfast slot, but even other slots as well, either classically peak slots like dinner or lunch.

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Abhishek: All right. Thanks, Rohit, for that. And then second and last question is on your loyalty program Swiggy One. If you could share some numbers.

Moderator: Okay. May I request you to join back the queue, please, as we have other participants waiting. Thank you. We'll take our next question from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi. Good evening. So, a quick question from me. So, on one of your competitors, they obviously have a cafe business within quick commerce. Now, is there sort of an imminent plan to sort of have something along those lines within quick commerce? And do you see that as a business that will allow for higher AOVs and profitability or not?

Rohit Kapoor: Yes, this is Rohit here. I'll take that question right now. If you look at one of the options we have is Swiggy Daily and Swiggy Cafe, which caters to a certain use case. And also, I think, frankly,

we see that as a complementary to the Bolt offering itself, where similar services are available to the customer. I think what we are concentrating on two things. One, on Swiggy Daily and Cafe, we're working with our partners to get the pod configurations right, get the economics right, and it looks like they're shaping in the right direction.

Same on Bolt, I think we have scaled up to 400 cities. So, we can light up the 10-minute delivery in 400 cities now. I don't think there's any other player in the market, which is even there in more than 5 or 10 cities, or maybe 15. That's the range you're talking about. We're already in 400 cities. I think that's a mountain to climb for anybody who wants to come in and will take a little bit of more time for sure.

Now, with the backend in place with Cafe and Daily, the choice of lighting it up in Food or Instamart remains with us. And that we will see over time what makes more sense to do and what the consumer is looking for. So, I do think the whole architecture is in place for us to serve a 10-minute food delivery ecosystem from multiple angles. And that's what we've been building.

Aditya Soman: Totally understandable. Thanks for that .

Moderator: And just - Aditya, I request you to join back the queue, please, as we have other participants waiting. Thank you. We'll take our next question from the line of Gaurav Malhotra from Axis. Please go ahead.

Gaurav Malhotra: Yes, hi. Thank you for the opportunity. Just one question on the dark store size and delivery times. Now, you mentioned in the prepared remarks that there are also large size dark stores of almost 10,000 square feet where maybe the assortment size number is more and possibly the delivery times could be longer. Now, obviously, number one daily needs anything in 10 -15 minutes, but that's where the business has shifted, whether it's food or it's quick commerce. So, then aren't we sort of moving away from that construct? So, yes, just thoughts on that please.

Sriharsha Majety : Hi, I think what we're trying to do . Hi, Gaurav. So, I think if you look at, let's say, what is clear, it is clear that consumers want more selection. It is also clear that we can't have an infinite selection in 10 minutes. And I think it will mean that we'll have to keep adding selection at the right density and the right speed levels to be able to meet customer needs, as well as build a

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viable business over here. Of course, I think consumer

s would love it if they could get hundreds

of thousands of items in 10 minutes. I think the operating model that we all have in the Quick Commerce category today, that paradigm allows us to get close to 15,000 -20,000 items at best in 10 minutes. And if you want to go higher than that, then you will have to take a small trade - off on the overall density and therefore the speed. So, the assortment that will be extended from, let's say, 10k will be at a higher delivery time than the 10 minutes, it could be 10 to 30 minutes. And we do this seamlessly through what we call a split cart feature that we have, where for a consumer, we abstract out the complexity and allow them to add the items that they want. And they come in two deliveries.

Moderator: We'll take our next question from the line of Prateek Maheshwari from HSBC. Please go ahead.

Prateek Maheshwari: Hi, guys. Thank you for taking my question. Since the time of DRHP, if you look at the city expansion for the quick commerce business, I think it was mentioned earlier 43 and this time it's 53 cities that you guys are at. We had the understanding that probably you guys would have reached the number of cities that you wanted. I would now expand or lower your already spent cost in terms of other infrastructure and expand it to other dark stores. So, just wanted to understand if you guys have reached somewhere in the optimum cities and now you guys will spread those investments, or we could probably see further addition of cities as well.

Amitesh Jha: One of the strategies and Rohit was also speaking about this is always to keep on expanding to the markets that are essentially relevant for us. So, with that context, we'll keep on expanding. That expansion means deeper into the cities that we essentially have and also going into cities where we see clearer opportunities exist.

We look at a target of around 75 cities for our growth, which is something that we believe is the market very clear and essentially present. Obviously, we will keep our ears close to the ground. We'll try to understand how the markets are behaving.

There have been cities that we have entered where the orders per day have reached half of what we thought it will do in essentially three months within two weeks. So, from that perspective, I think there are a lot of places that we will get a surprise. So, the way to think about it, there is a plan in place, but we will keep our ears close to the ground, see what is happening and then move forward according to that.

Prateek Maheshwari: And Amitesh, could you also comment in these new cities that you have entered and been surprised, is there the mix of GMV different than you would have thought earlier or maybe it's different from the top eight cities that you guys would have already expanded a lot in? Could you also comment on that?

Amitesh Jha: I can't go into specifics, but at a very high level, the customer, the way they are responding to the platform is actually quite similar across the board. It generally depends on the segment of the consumer rather than the city.

Prateek Maheshwari: Okay, and in terms of again...

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Moderator: Ladies and gentlemen, due to time constraints, we'll take our last question from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, team. Thanks for the opportunity. Congrats on a good listing. Just one question pertaining to Quick Commerce. The nature of the recent fund raise by the competitors suggest that perhaps the Quick Commerce model is gradually opening up or gravitating towards inventory ownership model. So first of all, how do you assess the shift and how do you perceive threats and opportunities in this model, if at all, if we have to participate?

Rahul Bothra: Hi, Rahul here. So I think the business model is well -established, which is an inventory -light model ; it's a low on investmen

t model. I think while there is the opportunity to do an inventory - like model, we don't believe the economics of it justifies for us to be able to invest in that business expansion. So for now, the model is well -established. We see pretty good benefits not only on the numerator, but also on the denominator savings coming through the current marketplace model.

Tejas Shah: Perfect. Very clear. Thanks and all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of Swiggy Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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REF: SWIGGY /SE/2024 -25/34

February 07, 2025

To

The Deputy Manager
Department of Corporate Services BSE
Limited

PJ Towers, Dalal Street Mumbai -
400001

Scrip Code: 544285 To

The Manager

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai 400051

Symbol: SWIGGY

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on February 05, 2025.

Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts and Investors conducted on Wednesday, February 05, 2025.

Enclosed is the transcript of the Earnings Conference Call, which is also hosted on the website of the company. The link to access the transcript is provided below:

<https://www.swiggy.com/corporate/investor-relations/financial-results/>

This is for your information & records.

Thanking you,
Yours faithfully,
For SWIGGY LIMITED

Sriharsha Majety
Managing Director & Group CEO
DIN: 06680073

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Swiggy Limited
Q3 FY25 Earnings Conference Call
February 05, 2025

MANAGEMENT :

SRIHARSHA MAJETY – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SWIGGY LIMITED
RAHUL BOTHRA – CHIEF FINANCIAL OFFICER – SWIGGY LIMITED
ROHIT KAPOOR – CHIEF EXECUTIVE OFFICER OF FOOD MARKETPLACE – SWIGGY LIMITED
AMITESH JHA – CHIEF EXECUTIVE OFFICER OF INSTAMART – SWIGGY LIMITED
ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS – SWIGGY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Swiggy Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head of Investor Relations from Swiggy Limited. Thank you and over to you, sir.

Abhishek Agarwal: Hello everyone and welcome to the third quarter FY2025 earnings call for Swiggy. Our financial results and shareholders' letters have been published on the exchanges and the information pack has been placed in the Investor Relations section of our website www.swiggy.com slide. We

would like to inform you that the management may make certain comments on this call that one could deem forwarded and stated.

Specifically, the financial guidance and pro forma information that we will provide on this call , our management estimates based on certain assumptions and have not been subjected to any audit, review or examination procedures. Swiggy does not guarantee these statements and is not obliged to update them at any time.

Joining me on the call today are Sriharsha Majety, our MD and Group CEO, Rahul Bothra, our CFO ; Rohit Kapoor, CEO of Food Marketplace and Amitesh Jha, CEO of Instamart.

With this brief preamble, let us start the Q&A, operator, you can please go ahead.

Moderator: Thank you very much. We will now begin the question-and- answer session. We have the first question from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar: Hi. Thank you for the opportunity. I have three questions. First question is regards competition.

Clearly, in 3Q, competition was high. I just wanted to get a sense that, you know, are you sighting? Are you seeing signs of competition abating? Or the general thought process is competition might remain high for a foreseeable future because some of the platforms are not even launched fully out here ?

Amitesh Jha: Okay. Hi, A mitesh here. I will take the first question. It's very difficult to crystal ball gaze in terms of what is going to happen in the market. The way we essentially look at it is that the total addressable market size is big. The opportunity is extremely high. And for any this size of the market, the interest rate part will be more, and competition essentially will be there. So, the way we look at it is that the competition will always exist. Intensity is very hard to get or gauge immediately right now. But at least for some time, we see it being at the level that we are seeing right now.

Sachin Salgaonkar: Got it. So, intensity is almost same in Jan and Feb . all right. Second question, wanted to understand a bit on the impact on contribution margin, what we saw ; now clearly there are two big parts to it, right ; One, store expansion, replacement of store. Second, how consumer incentives are given, customer acquisition, between these two levers, can you highlight?

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Because, you know, when we look at the numbers, at least one gets a sense that it's the customer incentives and acquisition cost are the ones which is relatively higher into this quarter. Is that a fair assessment? And how should we directly think about, you know, these two levers going ahead?

Amitesh Jha: Yeah, see, if you think about it, even store expansion in a way is getting into new markets and acquiring new customers. So, the way we look at it is that effectively investments are being made to expand the market overall , okay.

And in that expansion of the market, you know, for customer acquisition, expanding of stores are important as well, going into new cities as well.

So, we look at it in the same way that we

are spending to get more customers onto e-commerce. And that expansion, that includes acquiring new customers and in existing pods -- as stores, as well as adding more stores is essentially leading to that investment as well. So, it is -- we don't look at it separately in terms of how much it is expansion versus this.

But the way we look at it, we are expanding the market. It will be in the same store. It will be in the new stores as well. And which is the reason why this extra investment has been made.

Rahul Bothra: Yeah. And maybe if I may just add; Rahul here, that yes, there are two parts to this equation, right? One is the overall investment that we are making in both densification in existing cities as well as new city addition and the store expansion that's happening. And the other part is really around the structural P&L that continues to improve.

Now, if you look at the levers and some of the KPIs that we have already demonstrated, average order value has grown by 14% on a year-on-year basis. Now, this is an important determinant of our medium-term guidance on contribution margin, as well as if you see our take-rate has expanded and continues to expand sequentially.

Our cost of delivery continues to go south with the densification of the network. So structurally, the P&L of the mature stores continues to get better. And that's the other part, right? So, you have to look at it in two parts. One is the growth investments. The other is the structural P&L and our continued ascendancy on the levers at play.

Sachin Salgaonkar: Rahul, just to clarify, when you say in a shareholder letter that contribution margin will be range bound, is it in the range of 4 to 5% or any other numbers we are thinking?

Rahul Bothra: No, so it's hard to crystal ball, as I said. At the same time, if you've seen our store addition growth, like previous quarter, we added 96 stores. Just in the month of January, we've added, you know, close to 86 stores, right? So, our store count is already close to 800 stores. Our guidance from, you know, for H2 was doubling our square footage coverage from 2 million to 4 million. We are sticking to that guidance.

As you can see that this means that there is a back-ended growth in quarter 4 and we are on track to achieve that.

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Sachin Salgaonkar: And my last question is on the same point what you said is, what we are seeing is some of your competitors are super aggressive in terms of expanding our number of stores out there. Any incremental guidance you want to give beyond the 4 million square feet, what you intend to achieve in March '25? Is there a target in terms of stores on Megapods that we could expect Swiggy to have in the medium term?

Rahul Bothra: No, it's hard to, again, say that. I think, see, our near-term, you know, store expansion was both geography-led as well as densification into satellite areas in the existing towns, right, and managing growth.

So, I think we are going to take it, you know, as we see. I think currently we are focused on delivering on the current guidance of expansion. It's also fair to assume that a lot of growth from here on store addition is going to be to manage the overall category growth and not necessarily entering newer areas. So that's how you should think from a medium-term perspective.

Sachin Salgaonkar: But is it also fair to say that if we see your competition going and adding more stores, there will be a sort of response from you guys also in terms of looking to narrow the gap?

Rahul Bothra: So again, as I said, our strategy is more towards densification in our existing cities, managing growth, as well as the cities that we have chosen to expand as part of the current expansion phase. And then we are going to, you know, wait, and see how the performance has been.

Amitesh Jha: So, the way to think about it is that

we look at where the consumers are who are more likely to

come on to the quick commerce platform and build stores according to that. So, it will require things like densification, going into specific locations where it will make more sense.

So, it's more look at the market what it is, what's the time where we are working at? And we won't necessarily be looking at competition growth to basically drive our strategy. Our strategy is very clear. We know what our time is. We know what kind of market we are, what kind of consumers we are looking for and we are very focused to make sure that we do deliver them in the right experience as well. And which is the reason we are focused on doing this particular part extremely well.

Sachin Salgaonkar: Thank you both.

Moderator: Thank you. The next question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra: Hi, thank you. The first question is on, you know, starting with the quick commerce side, you mentioned the actual additions were quite strong, user activation has been quite high. But if I look at the order growth this quarter, it seemed a bit soft at about 7% sequential only, which was softer than both the MTU growth and the increase in the real estate footprint you mentioned, the growth largely from AOV expansion.

Can you help describe what's happening here within the business? Is there any issue with retention of customers or is the order frequency falling for you?

Amitesh Jha: Yeah, no, no. So, I see the way to really think about it is that a lot of these growth also happens because of the new customers that we acquire is because of the new areas that we entered as well. The headwind that we saw in terms of our overall growth in both customer and in terms of unit was mostly because of expansion, which we saw.

To look at it from the right perspective, the way that we look at it is that what's the size of the wallet that we are taking from the end consumer. And we are steadfastly focused on that. If that size of the wallet from every consumer is increasing, we are effectively being more relevant to them, and which is the number that we'll be looking for.

So, the other thing that we look at and which is also very important for is that when we are acquiring customers, is the retention high or not? And all our spends are based on that. We see this retention number being essentially very high. And we are effectively saying that our MTU, which was -- and if you look at our increase as well, and this is something that we have spoken in our Shareholder Letter as well, that MTU -- the monthly transaction user base has also increased a lot lately.

So, what we are doing is focusing on trying to get our strategy right on expansion as well as acquiring new customers. The later-on increase is happening because of that particular spend.

The headwind that we saw was mostly because of not increasing the rate of the stores as much as we essentially wanted.

Ankur Rudra: No, I appreciate the fact MTU has grown a lot. My point, Amitesh, was in terms of the order growth was only 7% sequentially. If you had about 12% growth in MTU, you should have ideally had -- if the frequency of ordering is broadly similar, you should have had a stronger overall headline number of order growth given footprint is rising. I was just wondering if there's anything specific which you faced during the quarter, which may have held the order growth back? Or is there anything seasonal in your business, which you may have seen?

Rahul Bothra: Yes. I think one of the things that we saw was the store expansion was also a bit back-ended, which is the reason why you see that MTU and orders. So, what happens is when you acquire a customer, their orders won't increase immediately. And if the store expansion is a bit back-ended, new customers are going to come later in the quarter and which leads to these particula

r
numbers as well.

So, to really think about it is that in general, our growth is related to what is the percentage of new customers that we are essentially having ... If those percentages are higher, it will lead to a lower order frequency as well. And that is what we are seeing right now.

Ankur Rudra: Understood. Just maybe moving on. In terms of the food delivery business quickly, we did see margins improve quite a bit. I was -- just if you can give us a sense of what drove the overall unit economics over there. How much of this was moderating delivery costs versus any changes in take rate because it didn't seem like take rate expanded meaningfully on the food delivery side?

Rahul Bothra: Yes. On the food delivery side, contribution margin has expanded meaningfully for us. It's a continuous effort from our side on the monetization across levers that we have had through the

year. And some of that has meant that we continue to see the operating leverages start to play out. Now, specifically to this quarter, if you've seen, the average order value has expanded, which means there's a denominator impact with our cost of deliveries continuing to getting more and more efficient. So, there are factors around both monetization as well as the delivery costs having a bit of leverage with the expanded basket sizes.

Ankur Rudra: Okay. Just a quick question on the demand on food delivery consumption. In general, your growth did slow down a bit. Your peer also saw the same thing. They made a comment about consumption softness. Did you see any of that? Are you seeing any change in growth momentum or consumption trend on food delivery in the current quarter?

Rohit Kapoor: This is Rohit here. I think if you look at the MTU growth quarter-on-quarter, we actually saw MTU growth. So, MTU for the quarter was 14.9 compared to 14.7 in the previous quarter. Also, we did have growth. This was a quarter, which was slightly softer than other quarters, but that's a -- I think overall, year-on-year, we are growing 19.2%, which is within the range of what we have guided the market at about 18% to 22% growth for the category.

Our pace of innovation and execution on food continues to be pretty strong. We've launched Bolt, scaled it up to 425 cities within 3 months to 4 months and a bunch of other -- of other launches that you would have seen from us coming in the last quarter. I think even if there are some headwinds which are there in the economy per se in certain segments, the present budget, which has on the tax cuts, we do believe gives an impetus to a large section of the tax paying segment below INR 12 lakhs and that does constitute -- many of them will be consumers of our

services.

So, we do feel at this point in time, as facts stand today, reasonably that the guidance that we've given is operating in the range. I think food will be -- is a little bit of a seasonal business. So, quarter-on-quarter variations are not unlikely. But secularly, over the short term to medium term, we do not see a significant headwind.

And of course, we have our job cut out in terms of innovating, developing new use cases and creating more opportunities for the consumers to use us. But structurally, we don't see any big change from last quarter dialogue and guidance that we've given first time after listing.

Ankur Rudra: Just a last question on working capital. There appears to be an increase in receivables for the last 2 quarters. In fact, the 9-month period and almost a positive working capital cycle for 9 months '25 versus negative working capital cycle last year. Is there any change in the business which is driving this? If you can highlight what's driving this in general?

Rahul Bothra: Sure. So, as you can see, with the overall advertising pie increasing in -- specifically in the quick commerce business, where typically the FMCG companies and the brands pay us with a certain credit

cycle. So, that's been the large determinant of the increasing working capital on that line.

Ankur Rudra: Okay. So only that in both the quarters?

Rahul Bothra: That's right.

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Moderator: The next question is from the line of Aditya Soman from CLSA.

Aditya Soman: I'm sorry to dig a little bit more on this contribution for quick commerce, but I see that the contribution has actually gone down by about INR 14 per order. This has gone down from sort of a contribution loss of INR 10 per order to INR 24. Now if I see the drop for Zomato, while it was also there in the quarter, it was much lower from INR 25 to INR 21, and they added almost 2x the number of stores.

And you also indicated that your stores were more back-ended towards at the end of the quarter. So, I'm just trying to understand where this incremental cost has gone in because you also saw a significant jump in AOV and take rates also improved. So, I'm just trying to understand how this contribution per order actually worsened so much?

Rahul Bothra: Yes, thanks, Aditya. I think if you have seen some of the reasons that we have mentioned, specifically around the investments that have gone into the contribution margin line includes the elevated expansion activity that we have done in terms of adding stores. It's also got to do some bit of the heightened competitive action that we have seen in acquisition of new users as well as some of the dormant reactivations. So, we have seen an investment increase overall due to these 2 factors.

Aditya Soman: But I mean, I'm just comparing like-for-like because even if you compare with your competitors, I mean, they also seem to have similar growth, but the take -- and your take rates actually improved. And so, I'm just wondering on a like-for-like basis, why should it be that different where they have seen a INR 3 drop per order and you're seeing almost INR 14. I mean, I'm just trying to understand in more detail. Is there -- is it because we expanded in more cities? Or is there something more to it that we don't see from the Shareholder Letter?

Rahul Bothra: Sure. See, I can respond for our kind of trajectory. And we have mentioned in the past that there are a few determinants of the overall profitability of the business and getting into contribution margin positive. So, one of them is average order value. We do believe that there is room for us to grow also looking at some of the category AOVs that we see in the public domain, which means that the task is cut out for us. So, we are in a trajectory of getting to that place where a lot of these mature stores start spinning out cash, which then has a portfolio impact on the overall margin delivery.

So, for us, we are slightly behind the curve from that perspective in terms of maturity of stores and the profitability profile, which is led by some of the average order value line as well as the advertising revenues, which have started to move up meaningfully. So, as we have mentioned, structurally, the P&L continues to improve on a quarterly basis.

Some of the mature stores are starting to reflect what steady-state unit cost should look like with both operating leverage kicking in and some of these monetization levers also kicking in. So, it is a path. It is a trajectory that we are guiding to, and we are also staying committed to delivering a contribution margin positive by the Q&D quarter in the current year.

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Aditya Soman: That's very clear. And that's heartening to know. I'm just trying to understand again in terms of the path that you indicated. So, would this be just a function of the number of orders obviously going up and then a lot more stores hitting maturity? Would that be the best way to look at this?

Rahul Bothra: Absolutely, right. So, as you've seen both in quarter 3 and the quarter 4, the number of store additions that we are doing, we are almost doubling

in a span of 6 months. And by the time of our guidance that we have given, we do expect a lot of that stores to start hitting breakeven volumes and meaningfully contribute to reduction of the overall contribution margin loss. But more importantly, the mature stores will start getting into the trajectory of close to that 4% to 6% positive trajectory, which then means at an overall portfolio level, we expect to breakeven. Moderator: The next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company.

Sudheer Guntupalli : My first question is on food delivery. It looks like we have gained some market share in food delivery. So, is this primarily driven by the incremental demand that is being generated by Bolt offering, which is the 15- minute delivery offering? Or is it more of a broad-based market share gain across the existing portfolio of food delivery as well?

Rohit Kapoor: Sudheer, this is Rohit here. I think we don't talk about market share in our numbers. Our numbers are out there, and other numbers are out there, you can do the comparison for yourself. I think just in terms of our own growth, it is, I will say, a factor of 3 or 4 things. One is we have been working on execution and strengthening our execution all across, whether it is on the restaurant side, the consumer side or the delivery partner side, and that started to show up.

Second is there's been a constant theme of innovation at pace coming out of Swiggy over the last few months, including something like Bolt. And I think we took a bet on Bolt, and it's been now about a quarter. So, what we -- the result, the 9% order contribution on Bolt is only from a service which is barely a quarter old, a quarter or thereabouts. And there's a lot of room for further innovation or growth on top of this is what we believe.

We remain excited about the space. We are also seeing good response from consumers, as well as the restaurant partner ecosystem because this is one offering where the restaurant partner ecosystem -- people are coming forward and they are saying that let's partner, let's create more and let's see what we can do more on this front. I do think this combination of factors, definitely, the pace of innovation and the pace of execution is a factor behind the growth that we are seeing in MTU and year-on-year volume growth and AOV growth.

Sudheer Guntupalli : Sure, Rohit. Just on the food delivery, just a follow -up.

Rohit Kapoor: And that is also coming on the back of no compromise in terms of margins. So, if you see, the margins have expanded about 90 basis points. The EBITDA has expanded by another 90 basis points. So, it's starting to flow through and the operating leverage you can see in the business appear. We remain reasonably confident of guiding towards the 5% EBITDA number that's been there in public domain, yes.

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Sudheer Guntupalli : Sure, Rohit. So, my follow -up question is actually on margins. So, given the impressive expansion in margins this quarter in food delivery, is it fair to assume that Bolt as an offering is not dilutive at a unit economics or a margin level?

Rohit Kapoor: I think given that this is a fairly competitive scenario, right, I will refrain from talking on Bolt margins. But overall, at a platform level, I think through multiple levers, we are in a good position to balance out any investment that we have to do, right? Because genuinely , this has been the way the margins have expanded over time is not one single silver bullet or one investment taking down margins. Whenever we have invested in any area, we have been able to juice out other areas in terms of whether it is delivery costs or efficiencies. So, I personally don't think that I'd like to comment on the Bolt numbers at this point in time or specifics beyond this. But even if Bolt grows from here, which we expect it to, we do continue to see our margins expand

both on contribution side and the operating leverage kicking through to EBITDA.

Sudheer Guntupalli : Sure, Rohit. And one question to Rahul. So, you are maintaining your contribution margin breakeven timeline of OND quarter. Despite calling out a bit of a heightened competition and also that very back-ended store additions even next 2 months, you have 100 stores per month kind of an addition. Despite all of this, you are talking about contribution positive by OND quarter. So, what gives you that confidence? Firstly, on adding 100 stores per month, what gives you the confidence? Secondly , despite these factors getting contribution positive by the same timeline, what gives that confidence?

Rahul Bothra: Sure. Thanks, Sudheer. I think in parts of it, I've addressed it, right? See, what's happening in our business is that structurally, if you look at all the levers, right, whether it's on monetization or costs, they have to move in a certain trajectory, right?

And AOV being a large determinant, we have seen pretty strong growth on that, both as a combination of our added footprint as well as the coverage in terms of the SKUs, right, where a lot more customers are getting access to a lot more categories and SKUs. So, that continues on a very positive trajectory. We maintain our guidance of delivering double -digit Y -o-Y growth for the near future, and that is a meaningful change.

The other thing what happens is, as I mentioned, any new store takes anywhere between 6 months to 9 months to what we call hitting the breakeven volumes, right? And towards the end of our guidance quarter, we do expect a lot more stores to be in that zone. And also, the pace of store expansion may not necessarily continue at the current level, right?

Because one of the things that we have done through our megapod expansion is also get users a

lot more access to categories without necessarily having to add a lot more number of stores itself, right? And at the same time, delivering the customer experience. So, there is a strategy that we have to be able to get many of these stores mature by the time our guidance is currently given.

Sudheer Guntupalli : Fair enough, Rahul. One last question is a follow-up of what Ankur has asked earlier, is the transacting user growth of 12% sequentially looks very good, but the order growth being slightly lower. Is there any intervention from our side in terms of increasing the minimum order value for free delivery, so on and so forth, which has led to a slightly -- which has led to an increase

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in AOV, but a bit of a reduction in the frequency? Or is it completely led by, let's say, more new users and new geographies coming in with the lower frequency?

Amitesh Jha: Yes. This is Amitesh here. For Instamart, yes, the MTU growth is largely led by new users. New users typically take some time for them to mature and be sticky to the platform. The larger part of the headwind is that only. And that's the right investment to make as well because that leads

to a better, larger market for the platform. We believe that doing that investment earlier is better than doing it later, which is what Rahul was also speaking about. So yes, the main reason is that.

Moderator: The next question is from the line of Swapnil Potdukhe from JMFL.

Swapnil Potdukhe: So, I had 2, 3 questions. First on Instamart side. So, there was a launch of a standalone Instamart app in this particular quarter. Have you guys seen any incremental adoption because of the app?

And do you see any benefit of having a segregated app going forward? And will you see any changes in the strategy?

Sriharsha Majety: Swapnil, this is Harsha. Honestly, the app only launched last month and it's very early. And we are closely watching and understanding user behavior, and we'll be able to share more information once we've seen the progress over a period of time. And definitely, I think the intent is

on, as we've written in the report as well is that as the user base expands and goes into a lot more cities and categories, I think we are definitely curious to understand user behavior and how it progresses. And when we have more information, we'll be sure to share it.

Swapnil Potdukhe: Okay. No worries. The second question is with respect to your fixed cost on the quick commerce side, especially because they seem to have gone up meaningfully. Now, I understand there were some branding-related expenses increase and there was also some new hirings that happened in the quick commerce business. But my question then is like have we seen all those costs -- are they in the base of this particular quarter? Or we could see some of this incremental cost coming in next 1 or 2 quarters as well?

Rahul Bothra: Sure. Rahul here. So, I think as we mentioned, a lot of that additional cost has gone into both performance marketing as well as brand marketing, which is to get higher number of customers onto our platform. We do expect, as we had mentioned that in the near -- at least the next 1 or 2

quarters, this heightened activity to continue because there is a slightly competitive environment at play right now.

Swapnil Potdukhe: So just to extrapolate that, is that the reason why you've mentioned -- you reiterated your guidance for contribution margin profitability by 3Q FY '26. But for some reason, your guidance at an adjusted EBITDA level is missing this time around, which was there last quarter.

Rahul Bothra: No. So, at the corporate level, our guidance stays. See, at the corporate level, which is a combination of food and quick commerce, we still stay put with our guidance of getting to profitability by the Q4 quarter. Now coming to quick commerce specifically, I think we still have to -- the picture has to still play out. We are still in early stages of the category evolution. We don't know how deep the customer funnel can be. And therefore, there could be certain marketing investments that we want to continue to make depending on how the category

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continues to grow. So, we will come back to you with more specific guidance around below contribution margin cost as we see the category evolves.

Swapnil Potdukhe: Okay. Got it. And the last question is on food delivery. Now, you have very clearly indicated that Bolt is something, which seems to be helping you grow faster than the other competitor.

Now, my question to is like, is Bolt -- I mean, what percentage of that is 9% orders from Bolt were already there in the system? You're already delivering between 10 minutes to 15 minutes earlier versus right now, you're doing 9%. So, what is the incremental order that you have been able to do because of Bolt, specific Bolt standalone marketing?

And the second question is what kind of an impact does Bolt orders typically have on your delivery cost? Because my sense is like you need higher penetration when you're doing a higher penetration of delivery riders, when doing orders within a certain specific period of time?

Rohit Kapoor: Yes. So, this is Rohit here. Let me take the second question first because that's easier. Actually, that assumption is not correct that if you're trying to deliver in a shorter period of time, your delivery cost is actually higher because one of the key components of Bolt is a shorter delivery

last mile. That's how the model works.

And in that model, and our payment to delivery riders is linked to a large extent to the last mile they travel. So, actually, without getting to the actual numbers, that assumption is incorrect. In fact, we do expect Bolt to actually lower overall delivery cost even now and over a period of time. So that -- I just want to clarify that from a model standpoint.

On incrementality, first, I think now or in future, it will be -- I don't think we'll be sharing these numbers because, again, it's very competitive in n

ature. But the one thing I can tell you is that it

is a service we launched 3- 4 months back. We scaled it to 450 cities, and it is just a quarter old.

So, the version of Bolt that you're seeing today is probably version 1. As we expand, we'll obviously try and use Bolt to do 3 things. One is deliver new use cases. B, to the consumers who care about a faster delivery, we cater more frequency to them. And C, I think we'll also see innovation from the restaurant ecosystem coming on the back of Bolt because we have created what is called a platform or chassis and for the restaurant ecosystem to also come and put their innovation on top of this.

So, a lot has to play out here. So, it's too early to say that what we -- we do know the numbers.

And I think the reason we are continuing to bet on it is we are confident to see incrementality.

How much of it is, as you can imagine, competitive in nature for us to disclose on this call.

Swapnil Potdukhe: Understood. Just one last, if I can squeeze in. The fixed cost from the food delivery side seems to be stable for the last 4, 5 quarters. So, part of the margin expansion benefit that you've been able to drive is because this cost not growing. How do you see this cost going forward? I mean, should we expect them to be around INR 360 crores, INR 370 crores of range quarterly expenses?

Or we may see some increase on that side as well?

Rahul Bothra: Sure. Rahul here. So, I think what we have delivered is roughly, say, 80 basis points on a yearly basis on operating leverage. Now with a period of time, I think the impact will reduce. However,

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it will still be meaningful contributor to our overall guidance of getting to the 5% EBITDA mark.

So, it is going to be modulated.

The overall investments, as you have seen, we have had a few cost efficiency programs. Our overall marketing budgets as well as the talent budgets have been in a very tight range, and we have been able to deliver. I think there is going to be some incrementality to it, but a lot of that will flow through back into operating leverage.

Moderator: The next question is from the line of Vijit Jain from Citi.

Vijit Jain: My first question is, so you added 96 stores in Jan, which is a pickup versus the entire of quarter 3Q. So, how much of the contribution margins in the quarter is due to stores not yet active as of December '24? And if you can separately just talk a little bit about between when you start to see expenses on a store and when it gets activated on the platform, what is the kind of time horizon are we looking at? That's one.

And second, is there some element of advanced expenses on the performance marketing spending as well, where you've seen expenses or you've incurred expenses, but it hasn't resulted into a conversion into MAU or MTU?

Rahul Bothra: Right. So, the first question around the store cost or the fixed cost that we incur before the stores become operational. So typically, that lasts for roughly 30 days to 45 days, and that's already factored into the current margins that we have delivered. The second question around the digital marketing and whether that's given the results, by the nature of it, performance marketing is meant to give immediate results.

Now due to heightened competitive action, the CACs can go up or down depending on how much of investments are going into it by the category. So, that's something that we do see some bit of headwind there. But over time, we are also getting a lot more efficient. The overall category growth is pretty stellar. And we do expect CACs to continue to go south.

Vijit Jain: Got it. So, Rahul, just to clarify on the first part, when you say 30 days to 45 days, so there will be some expenses related to these 96 -odd stores in January above the contribution line as well for quick commerce?

Rahul Bothra: That's correct. That's correct. So, that's already factored into the QND quarter

Moderator: The next question is from the line of Gaurav Malhotra from Axis Capital.

Gaurav Malhotra: I just wanted to check, coming back to the contribution margin for quick commerce. Now the aggression in the market, I think so probably started mid-quarter in 3Q. It was obviously not there for the entire quarter. So, the full impact of that will be probably seen in the fourth quarter, the Jan to March.

And we are also sort of ramping up the store additions during the same quarter. So, just wanted to get some understanding as to then how should we think about the -- being in the similar range, the contribution margin, when the competitive intensity will be for the full quarter and there will

be also accelerated store count? So how do we sort of reconcile this along with the margins being in the same ballpark?

Rahul Bothra: So, see, it's hard for us to give a specific number in terms of how this will play out. I think, however, we do believe that it will be in a tight range, right? So, the overall, say, margin contraction that happened sequentially, we don't expect the same level of margin contraction to continue. So, it will be in a tight range.

Moderator: The next question is from the line of Garima Mishra from Kotak.

Garima Mishra: First question, again, competitive intensity on the quick commerce business, right? I mean, one aspect is discounting. The second aspect is also on elevated costs that you might see for expenses such as rental, delivery agents, et cetera. So, can you comment a little bit on the latter part? Are you seeing high rentals and other costs in general as your competition also is expanding quite rapidly?

Amitesh Jha: See, one of the things that we also spoke about is that we are looking at our P&L in a very structural manner. And in that, obviously, costs are an extremely important part of it. So, there is absolutely no impact on rentals. Our cost efficiencies are actually becoming better because we are seeing more densification of orders also because of which the last -mile cost also goes down. The AOV is also going up. That also helps in better operating leverage as well. So generally, to answer your question at a very high level, no, that competition intensity is not going. And we are also being very committed to our discipline to costs to make sure that we are not letting go on areas, which are very, very structural to any kind of retail business.

Garima Mishra: So, Amitesh, that's the contradiction, right? Because those areas would be important to others as well. So, how does one take a call that this is the right cost structure to operate in that area? And on the same lines, have you closed any stores at all because of cost structures or competition?

Amitesh Jha: Sorry, I didn't understand the question clearly. But if the question is on that, are we making sure that whenever we are opening a store, we are not putting it in the -- no, for -- we have not shut down any pods for any kind of competitive reason at all, nor we have taken up any pods.

Whatever shutdown of stores happens is basically because we want to relocate the stores, move to certain other regions. We have a very fair idea of what is the structural cost to run a store, and we are making sure that whatever we do, we don't really deviate from there. But I didn't understand your question clearly. If there is something else, please do help me understand.

Garima Mishra: No, that answers the question. Second question on Q3 is that you have given out your target of achieving contribution margin eventually in this business. So, does that sort of assume that the addition of stores -- the pace of addition of stores starts coming off? Because if this addition just remains very high, achieving that target becomes that much more difficult. So, just trying to understand how to read that?

Rahul Bothra: Yes. So Garima, maybe I can come in here. So, as we have

mentioned that, as a combination of the average size store as well as the megapods, we do expect to increase the overall coverage in terms of categories, as well as selection available to consumers without necessarily having to

add that many number of stores, right? So, most of the store addition expansion after the current, say, guidance is going to be growth led and not necessarily to service unserved areas hitherto.

Amitesh Jha: And one more thing that you have to look at that even if the store addition is constant per month, because of the number of additions that we are doing over the first half of the year, the percentage contribution that is going to come from new stores will consecutively go down all the time, even at a flat addition of stores. So, when we are thinking about contribution margin, think about it is that there will be more percentage of mature stores than with the non-mature stores at the quarter where we are speaking about, that will be the contribution here.

Garima Mishra: Got it. And last question from me. This quarter, you've mentioned that non-food categories contributed to roughly 86% of your GMV. So, how much more can this number go up till? Sorry, food contributed to 86%. So, non-food was 14%. Yes.

Amitesh Jha: See, I think last time also we spoke about it. The customers are asking for more and more categories, and are also willing to have a bigger share of the wallet. And that is the reason why we are expanding our megapods as well, having a lot more assortment in place, which will be mostly electronics, appliances, general merchandise, all those categories.

So, to think about it, yes, it will continue to go up. We believe that the -- in terms of essentially category growth, the new categories will far outstrip the growth of existing categories. And we see that as a secular trend going forward for at least a year, if not more.

Moderator: The next question is from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary: Just want to probe a little bit more on the contribution margin comment that the store expansion was back-ended. So, is it fair to assume that the impact on contribution margin from new stores

actually gets to fully come and that will happen in next quarter? And contribution margin dip also happened for our existing 609 stores, which we had in Q2. Is it fair assumption?

Rahul Bothra: So, there are 2 parts to it, right? One is, as I said, certain investments that we have had to make. And the second part is really the structural P&L continuing to improve, right, with all the levers at play. So, it's a combination of these 2, which gives us the portfolio level margin. Now specifically on quarter 4, as I said, we can't put a number there, but it's on a tight range is how we think of it, with stores continuing to add on the positive trajectory as well as some of the new stores also contracting margins. But overall, at the portfolio level, it will be on a tight range.

Nikhil Choudhary: Got it. Just wanted clarity if we have seen decline in contribution margin, material decline for existing 609 stores, which we had in Q2. Is it fair assumption?

Rahul Bothra: No. So, as I said, it's a combination, right? So, it's a combination of us investing in new users as well as the store expansion. So, it's not necessarily to do with the 609 stores because many of those stores would actually also turn profitable because they would have hit a certain maturity profile. But it's not that the investments are happening across the portfolio.

Nikhil Choudhary: Got it. Just one clarity on your guidance of achieving adjusted EBITDA breakeven by Q3. Are we assuming that competitive intensity will be materially lower by then and that will lead to

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losses in Q3 be much lower? Or we are assuming that despite of current level of competitive intensity, we will be able to achieve the breakeven in ou

r consol business?

Rahul Bothra: So, you see, it's hard to really put a crystal ball in terms of how the competition intensity is going to be, how many new players are going to enter, what will be the overall spending pattern. I think the current guidance is basis what we know today. This is our internal plan that we had signed up for. And we remain confident of achieving that.

Now if there's any new information about new heightened competitive activity or it accelerating or decelerating, we will come back to you with more specifics. But as of now, we stay committed to our current trajectory. The adjusted EBITDA breakeven is at the corporate level and the CM breakeven for the Instamart business.

Moderator: The next question is from the line of Aditya Suresh from Macquarie.

Aditya Suresh: I had 2 questions. First, maybe for Harsha. Harsha, obviously, market dynamics are fairly fluid. What in your vantage point are the top 3 financial priorities for Swiggy? And are you drawing any boundary condition of the losses you're willing to fund in Instamart over the next, say, 12 months, 24 months?

Sriharsha Majety: I think if you look at the overall business, I think the only big investment area happens to be Instamart. But at the same time, we're also looking at a \$40 billion to \$50 billion opportunity in 3 - 4 years. So, our eyes are all about how can we execute, serve customers well and invest to be a dominant player at the end of this investment cycle.

But given the overall trajectory of different businesses, food continues to grow and increase profitability, etc. At an overall level, we feel comfortable investing as long as we are going to ensure greater success for us in Instamart business when it plays out over the next few years.

Aditya Suresh: And in terms of the financial priorities, Harsha, are you able to rank sort of what the priorities are for Swiggy?

Sriharsha Majety: I probably can't give you like a specific rank sort each of them. Each of the businesses have different trajectories and the sum together is how we look at it. So, it will be hard to do a rank sort of, to be honest. But obviously, given the investment level are heightened, the market landscape is the most dynamic in Instamart. Obviously, all our eyes are on ensuring that we navigate that really, really well over the next 2 quarters.

Aditya Suresh: Is the Board putting any kind of cap in terms of the funding of losses, maybe that \$250 million, \$500 million, any absolute numbers, which the Board is kind of curtailing to spend on?

Sriharsha Majety: No such conversations have been had. I think the Board conversations have always been and continue to be on how to make Instamart successful, how to make each business successful.

Aditya Suresh: Got it. And maybe if I can just like try to ask a different question then, right? So, on ESOPs, can you probably help us understand what the financial metrics kind of associated with this or

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attached to this? Maybe that will help us kind of understand the priorities here a bit better as well in the next 12 months, 24 months.

Rahul Bothra: Right. I think we had shared specific, the ESOP terms, especially for the senior team. There are back-ended ESOPs that have been given. They're also linked to both share price appreciation, 30% unlock at specific price and all. So, there are specific guidance that we have given in our Shareholder Letters, which is related to share price appreciation, which is linked to the management incentives on ESOP. So that's the philosophy.

Moderator: The next question is from the line of Abhisek Banerjee from ICICI Securities.

Abhisek Banerjee: Congratulations on a good show in food delivery. I had a few questions on quick commerce. First, so you have mentioned the 96 store additions in Q3 FY '25, which is obviously the net addition number. But what would be the gross addition number, if you could let us

know, please?

Rahul Bothra: Yes. So, we roughly had 110 or so which are at gross level. The 15 stores that we may have closed is mostly towards either changing the specific pin or making it into a larger store. So, we have been on a continuous journey of expanding the average size of these stores. So, some of that store additions have happened. But on a net level -- at the gross level, they would be roughly 15% higher.

Abhisek Banerjee: Right. So therefore, when you move from a smaller store to a larger store, that also has an inflationary effect on your fixed expenses, right, which comes before contribution. So therefore, that also has an impact on the contribution margin going down?

Rahul Bothra: That's right. For the very short term, yes. But over time, we get a lot more operating leverage because of the expanded AOVs as well as the ability to service a larger customer base and order base.

Abhisek Banerjee: Absolutely, absolutely. But in terms of where are you in this journey of extending the number of stores -- extending the size of existing stores because I saw that the average area per square feet has moved to about 3,475. So, are you mostly done with that journey?

Amitesh Jha: No. So, Amitesh here, Abhisek. So, the way we look at it, there are 2 parts of our store expansion that we are doing. One is more deterministic, which is the megapods that we will keep on expanding and that significantly increases the square foot area, which is there. The other part is more essentially dynamic in nature, where we keep on relocating and moving towards a larger pod. That's a continuous journey. So yes, it will keep on going, but I don't see that as a big drag on our overall square feet area in the future. Is it done? No. That journey will actually continue and -- but it's not going to be a big drag on our fixed cost in general.

Abhisek Banerjee: Understood. Now if we are looking at the ordering frequency per customer, obviously, there has been a later ramp -up. But can you give us some idea of what is the average number of days that the 96 stores have done in the quarter?

Amitesh Jha: Sorry, I didn't understand the question. Can you just repeat that?

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Abhisek Banerjee: What would be the blended average number of days that the new 96 stores have done in this quarter?

Amitesh Jha: I don't think we can answer that question specifically. But if there's any other question related to that, we can continue on that.

Abhishek Agarwal : Abhisek, all we can say is that the store additions were slightly back-ended because that's something that Amitesh had already mentioned, which is why obviously you see a drag on the same, while the overall number has gone up by 96, but they've obviously been slightly more back -ended.

Abhisek Banerjee: Okay. Fair enough. Now if I come to your -- the KPIs, which, say, the customer sees, for example, say, the difference between the time shown as it -- I mean, so when somebody places an order, you show, say, 15 minutes for delivery. And what is the actual time of that order being delivered? Is there some metrics you can share on that, which kind of explains how you are doing operationally?

Amitesh Jha: Yes. I will take the Instamart question, but Rohit can speak about food as well. So, in terms of promised SLA, that we track very, very closely because that is something that customer sees. We are the industry best. It has been also seen in some of the benchmark studies as well. We continue to improve on that as well, and that will always be one of the top priorities that we are looking for.

The other thing is that our -- the delivery times will be considered to that particular SLA is also extremely close. So, we also ensure that the promises that we are doing to the consumer and the actual SLAs that we are also having is also extremely close. At a national level, our average in terms of actual SLA is around 12 minutes.

And we see that going south as well as, as and more the orders will be more denser. So, more dense orders mean that my SLAs will go down, if that question was specific to Instamart. But...

Abhisek Banerjee: Yes. And one more part, what is the promised time?

Rohit Kapoor: Sorry, Abhisek, please go on then.

Abhisek Banerjee: So, I was just trying to understand what is the promised time for delivery in Instamart vis -a-vis the 12 minute of actual delivery time?

Amitesh Jha: Yes. So, promised will be extremely close to that. It's not going to be...

Rohit Kapoor: Yes. Maybe I'll take that. This is Rohit here. I think on both food and Instamart, in terms of -- from our understanding, we operate at near industry standards on the promised versus actual gap, right? And the promise will be, in most cases, within a very tight range. Maybe for Instamart maybe 1 or 2 minutes. In food, maybe 2 to 5 minutes in that range, right? So -- and that's a very

important metric because we don't think of the consumer response as a one-shot response where you show something and the actual in that particular episode, but trust builds over a period of time. And so, this is a very important metric we track regularly, and the range is very, very tight is what I'd tell you.

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Abhisek Banerjee: Understood.

Rohit Kapoor: And if your question is that is there a very aggressive time being shown and the delivery is something else, that's incorrect.

Abhisek Banerjee: Yes. Exactly. So, I was just trying to understand how you stand versus the overall industry, if there's any way of tracking that?

Rohit Kapoor: Yes, we track compliance, and we do mystery ordering reports, which are third-party in nature, where third parties actually study across players and come back and give us a range of guidance.

So, this is a very closely watched metric at the management level. I track it. Harsha tracks it.

Amitesh tracks it. So, it's a very important metric we track. And our philosophy is to keep the promised versus actual quite tight.

Moderator: We have the next question from the line of Samarth Patel from Equirus Securities.

Samarth Patel: Now, on the quick commerce side, there has been significant increase in fixed costs, both like semi-fixed cost as well as overall fixed cost, ex of marketing, right? So, how much of it would be, let's say, A, we are replacing existing darkstores with the larger darkstores; B, we are opening darkstores, but within existing city and the third, we are just opening the new city? So, any flavour on that would be really helpful.

Rahul Bothra: So, we unfortunately cannot give specific information in these cuts.

Samarth Patel: Yes. But any, like, flavour would be really helpful for us to understand.

Rahul Bothra: The largest component in below contribution margin cost is the marketing investments, right, which are slightly more discretionary in nature, which we decide to invest or hold back depending on the category growth that we see.

Moderator: The next question is from the line of Gaurav Malhotra from Axis Capital.

Gaurav Malhotra: I just had one question. Right now, from an industry perspective, right, everyone is really going out and aggressively expanding and also providing reasonable discounting for gaining subscriber share. But what is the risk that at least in some of the markets, we are sort of overestimating the demand because that demand is basically coming from providing higher discounting of products. Any thoughts on that?

Amitesh Jha: Yes. I'll speak about the market in general, and I think which is the question around this as well.

See, everyone is expanding. We are also expanding, and we are seeing a latent demand for quick commerce across the cities. So, wherever we are going, I think this is one of the standard metrics also that we look at is that how long does it take for a store to mature. The trajectory for any new store that

we are launching in new cities are also following the same trajectory.

So, the way to look about it is that it really -- if you are comparing a metro to a T2 city, every store, even at this particular point of time are behaving in the exact same way. So, the way to think about it is there is a latent demand. It is important for the quick commerce space to go and serve that demand. We want to be in the forefront of that, which is the reason why we are

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investing in expansion of stores, cities, as well as on to marketing. And we believe that particular thing will be safe. There is a big reason of why people are coming in is because they want it.

Moderator: Ladies and gentlemen, we will now take one last question, which will be from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Just one question on the subsidies. You mentioned that, that's sort of gone up. Could you maybe clarify what is the nature of the customer incentives that is happening in the market right now, especially from your side? Are these headline subsidies on the MRP from your side as opposed to what you get from brands? Or is this targeted for customer acquisition or reacquisition for the first few orders? Is it on delivery charges? So, just some clarity on what's happening there? Because the concern I have is, is this potentially changing the customer perception to a very, very subsidy-seeking behavior, which could be harmful for your brand and the market in the long term?

Amitesh Jha: See, the way we are looking at it is that there is a customer acquisition cost that we have to pay, right? We'll have to do performance marketing, and we have to make sure that they have the right tools in place for them to be sticky to a platform. And that stickiness to a platform is a program that we essentially run. That is the same program that we used to run also earlier, and we are also doing that essentially right now. So, the way to think about it is the more number of new customers you acquire, the amount of investment spent on those programs will essentially go up. The customer acquisition cost, obviously, because of heightened competition is also up.

But as they mature, okay, generally, these customers are becoming more and more productive. So, one thing that we track very closely, that's exactly what you said, that is the customer behavior changing because of the way we are acquiring those? We don't see any kind of change in that at all. We see that when we do it over a longer period of time, that stickiness remains and the propensity to higher retention, higher GOV only increases. We haven't seen correlation between the customer acquisition cost that we are providing and the retention. Generally, they are independent of each other.

Ankur Rudra: If I can, I just want to clarify, this is the point about excluding performance marketing, what's spend on customer acquisition outside performance marketing?

Amitesh Jha: Yes. We look at it really together because ultimately, it's a full customer acquisition cost. The purse is for acquiring a customer and the incentives are also related to that. So, integrated cost is what we look at.

Moderator: Thank you. On behalf of Swiggy Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

SWIGGY LIMITED

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REF: SWIGGY /SE/202 5-26/23

May 14, 2025

To
The Deputy Manager
Department of Corporate Services
BSE Limited
PJ Towers, Dalal Street
Mumbai - 400001
Scrip Code: 544285 To
The Manager
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block Bandra -Kurla Complex, Bandra (E),
Mumbai 400051
Symbol: SWIGGY

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on May 09, 2025.

Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts and Investors conducted on Fri day, M ay 09, 2025.

Enclosed is the transcript of the Earnings Conference Call , which is also hosted on the website of the company. The link to access the transcript is provided below:

<https://www.swiggy.com/corporate/investor -relations/financial -results/>

This is for your information & records.

Thanking you,

Yours faithfully,

For Swiggy L imited

Sriharsha Majety
Managing Director & Group CEO
DIN: 06680073

MANAGEMENT :

SRIHARSHA MAJETY – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SWIGGY LIMITED
RAHUL BOTHRA – CHIEF FINANCIAL OFFICER – SWIGGY LIMITED
ROHIT KAPOOR – CHIEF EXECUTIVE OFFICER OF FOOD MARKETPLACE – SWIGGY LIMITED
AMITESH JHA – CHIEF EXECUTIVE OFFICER OF INSTAMART – SWIGGY LIMITED
ABHISHEK AGARWAL – HEAD OF INVESTOR RELATIONS – SWIGGY LIMITED

Page 2 of 19 Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Swiggy Limited. As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*”, then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal – Head of Investor Relations from Swiggy Limited. Thank you and over to you.

Abhishek Agarwal: Thanks, operator. Hello, everyone, and welcome to the 4th Quarter FY 2025 Earnings Call for Swiggy. Our financial results and shareholders letters have been published on the Exchanges, and the information pack has been placed in the Investor Relations section of our Website, www.swiggy.com.

We would like to inform you that the management may make certain comments on this call that one could deem forward -looking statements, specifically the financial guidance and pro forma information that we will provide on this call. Our Management estimates are based on certain assumptions, and have not been subjected to any audit, review or examination procedures. Swiggy does not guarantee these statements and is not obliged them to update them at any time.

Joining me on the call today are:

Sriharsha Majety – MD and Group CEO; Rahul Bothra – our CFO; Rohit Kapoor – CEO of Food Marketplace and Amitesh Jha – CEO of Instamart.

With this brief preamble, let us start the Q&A. Operator, you can please go ahead.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Hi. Thank you for very much taking my questions. I wanted to start on the food side of things. You made a statement about expanding your Bolt initiatives to 500 cities, you have given us some color there as well. I just wanted to get a bit more clarity in terms of what your experience has been. This is in the context of your peer actually shutting this line of shorter duration food delivery down, suggesting demand has not been as helpful. Can you maybe talk about what you are seeing different which gives you more confidence here?

Rohit Kapoor: Hey. Hi, this is Rohit here. Let me take this question. So, first of all, Bolt has grown at a faster clip and contributes 12% of overall order volumes today. Having said that, look, this is a category by itself in a way, and I dare say not just in India but globally, and it's less than 6 months vintage. So we are building it very purposefully and thoughtfully. The AOVs on Bolt are within range of platform, and there is no significant concern we have on the economics of this business. Obviously, I cannot go into the details of the economics for competitive reasons.

Page 3 of 19 And just to provide more clarity, there's three parts to Bolt orders, if you think about it. One, orders that were already being delivered in 10 minutes, of which the percentage is very low; because the network does need configuration towards, let's say, 10 minutes or thereabouts delivery, right. Second is, orders where people choose 10 minutes over normal delivery on a platform because it

just makes sense for them to do so in the need case. And third is actually incremental orders which are due to new use case or from users that would not have been our core, right. It's a fairly decent number even at this early stage. And we believe that we can continue to build this overtime to become more and more relevant for the consumer from an incrementality standpoint. Equally important, both three and two are very valuable to the platform. Also remember, these orders are shorter distances. So when you are looking at economics, just want to conclude it, it's not the

AOV which matters but also the delivery cost of lower last miles.

Ankur Rudra: Thank you. I appreciate it. Just moving to the quick commerce side. I wanted to first get a comment on the net order value growth or the GOV growth this time. The NOV growth was around 16-ish-percent, GOV around 20%. Now, this is a bit of an acceleration but not meaningful given the context you have had, 3x the number of store edition this time versus last quarter. Maybe can you talk about perspectives of what drove that difference versus last time. And if you can also add any updates on store addition from here given you have achieved your previous targets.

Amitesh Jha: Yes, absolutely. Hi, this is Amitesh here. You see the way we are looking at, our growth is always in let's say just three metrics, one is, how many MTUs that we are essentially adding, our acceleration in growth has happened there essentially primarily. How many stores we add, and of course that results in what is the number of orders and the NOV that we essentially get. From that context, our growth or the indexation of our movement in this particular quarter was MTU growth, was making sure that we open a lot more stores to expand our network.

Since these customers that have been acquired are new and the stores that we have gone are new, the overall spend per customer for this specific cohort will be lesser, and which is the reason why you do not see really a tie up between what we see in our MTU growth as well as in terms of our NOV growth. So the way to think about it is, yes, we have expanded our business. We have invested in the right places to make sure that we have acquired customers, making sure that we have higher repeat rates in the subsequent quarter will be the main focus of our business.

On the other side, in terms of how many more store growth. See, we look at our stores in terms of, two ways. One is, how many cities we are going into and how deep we are actually going into our cities. So, from a context of last quarter, it was mostly to go into a lot more cities to understand the contour of how consumers are actually going to react in those specific cities. And the way we are going to look at it is, based on those reactions we are going to look at deepening our presence in some of these cities to make sure that our expansion is more sharply focused rather than essentially widely focused.

Ankur Rudra: Appreciate it. Can you talk a bit more about the two new initiatives this time, one is on Maxxsaver. I know there's only probably been a week in the last quarter, but maybe for this quarter, how does

Page 4 of 19 the unit economics for that look, given it's a lot more value focused? Is this going to dilute take rates and contribution profits? And similarly for Megapods, given that now you have quite a few, any kind of color in terms of how do the store economics there looks versus any regular store at a similar stage of evolution? Thank you.

Amitesh Jha: Sure. The Maxxsaver and the Megapods are mostly based on the consumer backward understanding of what they need, that there are various missions that really consumers have. The primary mission that everyone was first pretty targeted towards was obviously to make sure that any kind of top up that is there in grocery is what we look at.

When we moved beyond our consumer base that are looking for more options, there are two primary use cases that came up. One is obviously the country being very value conscious, can we provide some value to the end consumer? And the second is that, what are the options that we have? Now, both of them are AOV incremental as well as making sure that we give more SKUs to the end consumer as well.

Structurally, the Maxxsaver option which kicks in for majority of the customers at greater than Rs. 999. So, the economics overall is not very different. There is obviously a discount that we give to the customer. But the fulfillment

cost advantage that we get out of a higher order value allows us to be at the same ballpark.

On the Megapods side, which is incremental in terms of AOV for us as well as in the number of units that we are actually trying to sell, that is without any extra incremental cost on our variable spend. In terms of profitability for a Megapod, see it is very hard to tell immediately because a lot of these Megapods are new. Matured Megapods which have come up in places where they were already mature, it has actually the highest profitability for us. So yes, if you look at maturity of the pod and the Megapods existing that is there, our probability is actually quite good, because AOV is higher as well as the throughput is high.

Moderator: Thank you. We will take our next question from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: Hi, thanks for the opportunity. And congratulations for good performance in your food delivery

business. But I have a few questions on your balance sheet side. I think there has been a significant decline in your cash balances this quarter by around Rs. 1, 500 crores, which is meaningful. I can understand part of that is because of the losses in the quick commerce business, but then there is also Rs. 500 crores increase in the working capital investments and capex of Rs. 425 crores. And this is despite the fact that the store addition is just about 300. I mean, both numbers look to be significantly higher.

Rahul Bothra: Sure, I can take that. Rahul here. See, if you look at the capex investments, we have added 314 stores last quarter, as well as we have been increasing our warehouse footprint, and that has led to the overall capex deployment. We do believe that a large part of the overall CAPEX cycle that we

Page 5 of 19 had started for this deployment journey is now behind us, and going forward you should see that reducing in a significant way.

On the working capital side, this is more of a point in time period. You should see some of it starting to come back. There is the difference between, I know we have seen some of our advertising revenues that we collect from brands, there has been an increase in the number of days outstanding. But that should be correct in the next quarter. So that is not a permanent change but more of in the quarter change.

Swapnil Potdukhe: But Rahul, if I were to extend that question. See, our competitor has been reporting capex of around Rs. 1 crore, including the dark store plus the warehousing, and they also added around Rs. 300 crores of stores this quarter and their capex was in line with that kind of increase. But your store additions I under 316 is a fairly high number, but still the capex is Rs. 425 crores that intuitively tells me that you could be spending significantly more on a per dark store capex.

Rahul Bothra: No, that's not correct. So as we had guided, our per dark store expenditure is not more than Rs. 80 lakhs, it could be higher on the Megapods. But overall, we do not spend more than that. I think as I mentioned, our warehousing capacity expansion has been done, as you have seen our growth has been accelerating. Over the last three quarters our growth has accelerated from 76% to 87% to 101% on a GOV basis. And to support that accelerated growth, we have been increasing our overall warehousing footprint, which I said, which will help us deliver the next couple of years of growth.

Swapnil Potdukhe: Okay. And with respect to your working capital investments, you mentioned some increase in your ad income and that could have inflated that number, which I understand. But still can you help us understand what was the increase in the ad income or any number to justify such a huge increase in your working capital.

Rahul Bothra: As I said, it is more of collection efficiency, and we do expect this to meaningfully come down in the next quarter. So you should not

see this as a structural change in the overall working capital cycle of our business.

Swapnil Potdukhe: Okay. So the next question is on your guidance per say, now it seems that you have tweaked your guidances twice post listing. First you kind of stopped giving the breakeven guidance for Instamart business, and now it seems your contribution margin breakeven timelines have also been changed from 3Q FY '26 to it goes up to 1Q FY '27. I mean, are you guys feeling the pressures of the competitive intensity is significantly higher and that is why currently there's some decent amount of uncertainty in your Instamart business per say?

Rahul Bothra: Yes. See, I think as we kind of go in the overall deployment of our store expansion and the network, we have seen competitive pressure continuing to increase, not only from the existing players but also there are a set of new players who are entering the market. So, our guidance while we do have maintained at three to five quarters, this gives us a certain amount of flexibility to invest behind growth, especially in the geographical expansion that we have done.

Page 6 of 19 We do believe that there is a certain amount of customer addition that continues to be supported. If you have seen our numbers, just in the last quarter we have added more users as compared to the last six quarters, right, we added 2.8 million MTU. So there is a certain amount of growth investment that is required in an accelerated growth category. And we want to therefore have the flexibility to be able to deploy some back into growth. And that is why the reason for the three to five quarter margin guidance.

Having said that, the peak of the contribution margin investment is behind us. As you have seen, our network has expanded very rapidly over the H2 of last financial year, which means there's a certain amount of underutilization of the cost that is sitting into our P&L which will start decreasing quarter-on-quarter from here on. So you should start expecting the CM will improve on a quarterly basis from here on.

Swapnil Potdukhe: But how confident are you to breakeven on the contribution margin level by 1Q FY '27 latest? I mean, I am just trying to give us confidence here because of the frequent changes that are happening.

Rahul Bothra: So there are not any frequent changes. As I said, we had last mentioned about December quarter. As I said, we are seeking flexibility over two more quarters, it could happen in December, it could

happen in the June quarter of the next calendar year. We do have a certain kind of plan for us to be able to achieve that. If you see, most of the investments that have happened, a large part of it is in the under utilization of the network. A lot of our stores are currently less than three months old. Stores typically take anywhere between 6 to 12 months to hit 1,000 OPD number, which basically gets us to breakeven and the cash losses start reducing in those stores. We have also invested in certain amount of customer incentives which is led slightly by competitive pressure but also by the overall size of the customer addition that we have done in the previous quarter. So, we feel pretty confident on the trajectory itself.

Swapnil Potdukhe: Just the last one on your fixed cost in the Instamart business. The fixed costs have been consistently higher than the other listed player. Now your scale is decently smaller than the other player, but still those costs remained significantly high for you. I mean, is there any trajectory for us to get control over this? I presume this is mainly because of performance and brand marketing, but at some point of time this is a line item that you will have to address if you were to breakeven at an EBITDA level. So, any sense of what efforts you would be putting into control this cost?

Rahul Bothra: See. If you see the overall deployment, a large part of below CM cost are into per

formance

marketing and brand marketing. As I mentioned, we have added more users than we have added in the six cumulative quarters before the previous quarter. So there is the heightened level of investment which at some point in the future we do expect it to also start reducing. At the same time, we believe that if we are going to add as many users, it is the right investment to also be making in the business in our phase when it is a very early stage of the overall journey itself. So, there are definitely market estimates that suggest that in the next three to four years the quick commerce industry itself could be anywhere between 5x to 6x the current size. So that gives us the

Page 7 of 19 opportunity to continue building and making the right kind of growth investments. But you should expect a lot of operating leverage because some of it is discretionary. We do expect to modulate it depending on how we see. As I had mentioned in the recent past, we had seen some amount of heightened competitive reasons and therefore the customer acquisition costs were higher. Now at any point in time if it reduces, you will immediately see that benefit falling into the below the CM line.

Swapnil Potdukhe: Got it, Rahul. Just last one if I can squeeze in.

Rahul Bothra: Maybe I can reiterate, on a structural basis we do not see any reason for you to believe that we have any fixed cost. Even in the food delivery business you may have observed that we have delivered close to 80 basis points of operating leverage in the previous financial year. We have largely maintained our absolute fixed cost below CM at the same level over the last four quarters. So our ability to be able to maintain these fixed costs has already been demonstrated in other businesses that we operate, and therefore pretty high confidence on our ability to also manage it in the Instamart business.

Swapnil Potdukhe: Got it, Rahul. Just the last one if I can squeeze in. So, you mentioned about Maxxsaver launch, so just wanted to get a sense. The AOVs for these customers are definitely higher, but what about the ordering frequencies? Is there any impact because of customers bundle up their purchases in one order and is it possible that these customers then do not come to the platform on a frequent basis? I am just trying to get a sense of how this business works. Thanks.

Amitesh Jha : Yes. It's a bit early, honestly. I mean, we have not had a long time to see that what is the complete impact of it. The right way to look at these impacts is over a longer period of time where they get used to Maxxsaver and other ways of eventually buying. As of now, it just gives us the confidence that the spend per customer is actually going up based on the early reads. But as I said, it's early, we do not want to comment till at least we have a quarter's worth of spend and usability from the consumer side, it will be irresponsible for us to talk any kind of long term consumer behavior before any quarter.

Swapnil Potdukhe: Got it. Thanks a lot, guys. And all the best.

Moderator: Thank you. We will take our next question from the line of Sachin from Bank of America. Please go ahead.

Sachin Salgaonkar: Hi, thank you for the opportunity. I have three questions, first question is on competition in the quick commerce space. Clearly your comments do indicate that losses should go down from these levels, and there are two parts to that, right. One is store expansion which clearly there is a visibility you guys are not adding. But does this also imply that competition should also go down or what are your general thoughts on competition out here?

Rahul Bothra: Yes. No, on the store expansion, us guiding that the acceleration would not be the similar to the previous quarter is more on the network design choices that we have. We believe that we have the

om a geographical coverage

perspective, to be able to add significantly more business with the existing store network. We will continue to densify. Having said that, we will continue to densify, especially in the Tier 1 towns where typically when a store hits between 2,000 to 2,500 orders, we basically break it into two. So that expansion we will continue to do.

Sachin Salgaonkar: Okay. And Rahul, on competition, is that intensifying, is it stable, is it going down?

Rahul Bothra: No, I think it is similar. I think from the existing quick commerce players we have not seen any magnitude of going up or down in the recent past. At the same time, there is the expectation of newer set of competition coming in, but enough is not known yet to be able to give you specific guidance on that.

Sachin Salgaonkar: Fair point. Second question, is there a major difference in terms of running a 1P model and a 3P model in terms of unit economics? And does management have a focus to become an IOCC at some point in the future?

Rahul Bothra: Sure. So I will take that. So, we have done the math. I think from an overall economic standpoint, we do believe that the magnitude of difference cannot be more than 30 basis points or 35 basis points. But at the same time, it comes at the back of also inventory holding on your balance sheet and therefore the impact on the working capital. So, it's a choice to be made on the commercial model. I think it does provide a little bit more flexibility. I think that's a fair point. But at the same time, the commercials do not necessarily justify for you to make any inorganic way to get there. So we will be open to the idea. I think there are obviously the regulatory framework as well as our own domestic ownership, it continues to go up since our listing. And at some point in the future when we believe that is the right time, we may also want to consider it. But there is no plan in the near future, as I said, commercials also do not have a screaming reason for us to do it.

Sachin Salgaonkar: Okay. And last question is on the market share at quick commerce. There is a narrative which is going around that Swiggy is losing market share to other players in the market, basis their growth rates and others which are there in public domain. So, I just wanted to understand how does management look at market share in quick commerce? Is it important for a pan-India basis or is the focus, let's say, in specific areas where Swiggy wants to be a dominant player in that market?

Sriharsha Majety: Hi, Harsha here. Thanks for the question. Firstly, I think it's difficult to estimate market share accurately as the comparability of GOVs has been limited because of some non-standard definitions. Us and our listed peer have now provided NOV, which we hope will be a much better barometer and a real measure of consumer spend on the platform. But as we think about, let's say, the next few quarters, I think there are a few things that we are excited about.

First one is, let's say, thanks to a lot of the work that we have been doing on Maxxsaver and the assortment addition strategy that we have been talking about for a while, we do see the AMVs going up healthily. The second thing is, even though we have acquired so many users in the last

Page 9 of 19 quarter, that Rahul was talking about, we are very excited about the quality of the acquisition and the cohorts and how they are playing out.

And this was asked even earlier, there are going to be some modulation in investments, depending on which player we are talking about. So, all these things together make us feel like we are feeling good about the relative position as we play it out in the market over the next few quarters.

But absolutely to your specific question on, if we look at focused geographies, etc., of course that is something that we do look at more closely. We constantly evaluate the markets where we can

build a stronger right to win to generate better profit pools going forward.

Sachin Salgaonkar: And sir, last question from my side. I mean, in one of the earlier questions when the question was asked in terms of any target in terms of the dark stores, there was no specific number being given.

How should we look at it? Is it because one of your listed peers is obviously saying 2,000-odd stores, and I do understand it may not be an apples-to-apples comparison because you guys do have Megapods and so on and so forth. So any framework we should look in terms of understanding in terms of how one could think about the presence of Swiggy versus presence of other competitors on a pan-India basis from a dark store network perspective?

Rahul Bothra: Sure. Sachin, I can take that. I think one thing that you can be rest assured is that in terms of the customer experience metrics we want to deliver the best. So whether it is in the Tier 1 towns or the newer geographies that we have entered, there is a certain network footprint that we have established which helps us to deliver the best customer experience metrics. So from here on, once the network is already laid out, we do believe that the store expansion should be a derivative of growth and not the other way around, which was hitherto the reason for us to have expanded so rapidly. So, you should expect a certain amount of gradation that's going to happen in terms of a store addition.

The reason we want to also keep a little bit of agility here is, we do not know how quickly the market will continue to accelerate, right. So our decision to open a store and have it live is 60 days, and therefore we do want to maintain the flexibility without having to necessarily guide to a certain number. I think that in the initial phase the expansion was necessary. But from here on, I think growth is going to drive our overall densification as well as establishing the newer footprint.

Sachin Salgaonkar: Thank you. Very clear. All the best.

Moderator: Thank you. We will take our next question from the line of Vijit Jain from Citi. Please go ahead.

Vijit Jain: Yes. Hi. Thanks. My first question is on the food delivery business, right. For Bolt, can you comment on for mature food users, users who have been on your platform for a while, have you seen any impact on frequency since you have launched Bolt? And yes, I will just follow -up with next questions on quick comments later.

Rohit Kapoor: So your question is around whether the existing users are increasing frequency because of Bolt?

Page 10 of 19 Vijit Jain: Yes. I mean, just the sense that faster delivery, does it increase use case in that sense for existing users as well?

Rohit Kapoor: No, absolutely. I think not just Bolt, we see it consistently in our data that whenever the deliveries are faster people tend to convert more that particular session, so that holds linearly on the platform. And Bolt is obviously at a 10 -minute range the fastest of the options we have. So, we do see that incrementality.

Vijit Jain: Got it. Thanks, Rohit. My question on quick commerce is, first the NOV/GOV gap in quick commerce that you highlighted here went from 85% to 76% in two quarters. And I know you have commented in the letter that about 250 bps impact on contribution came from discounts. So in general, would you say that a third of the discounts are being borne by you in this and the rest is being borne by credit card and other partners? Is that how I should look at it?

Rahul Bothra: No. See, overall NOV is not just a factor of also our expanding selection, right? So as the share of overall non -grocery increases, you should expect that there will be higher margin that currently the other categories operate on. So it's a factor of the mix that we have as well as some of the customer incentives that we have to do for especially new users who come to the platform where there could

be some amount of, say, free deliveries to build habit that we continue to provide to them.

Vijit Jain: Got it. And Rahul, my next question is on the performance marketing spend that you were talking about earlier. Now, how much of the spends that have gone up in the last two quarters is a consequence of increasing cost per impression and those kinds of things versus how you have accelerated your efforts towards reaching more people? And I guess my question is, because at some point of time if you see MTUs growth slowing somewhat because industry's capturing all the low hanging fruit, will the performance marketing spend disproportionately go down?

Rahul Bothra: Yes. I think in the near term it did get impacted, A, by the size of the user acquisition that we have done. As you have seen, we have added more users compared to the previous six quarters cumulatively, so there's a certain amount of absolute increase that we have had in the previous quarter. At the same time, because of competitive reasons, the customer acquisition cost also went up. We started to see some signs of that coming down. So, in the current quarter we are seeing better efficiencies on the customer acquisition side. And if there is normalcy that will return, I think we should expect some bit of efficiencies there.

In terms of absolute spending, I think it's going to be a factor of market growth. It's very hard to guess that how much of this growth will continue, whether it will accelerate or there will be some bit of bumps along the way. So I think we are going to modulate it on a near -time basis and, yes, make those appropriate decisions.

Vijit Jain: Correct. And my last question, just so your cash burn obviously in this quarter is Rs. 10 billion thereabout in terms of operating cash burn. And you have mentioned your cash balance as well. So in terms of how should one think about your cash burn runway that you are comfortable with given this cash balance? Thank you.

Page 11 of 19 Rahul Bothra: Sure. So yes, two things, right. One is, if you look at the trajectory of our food delivery business, it is now run rating at a close to Rs. 1,000 crores EBITDA. So that is the cash cow that we continue want to build on. At the same time, in quick commerce there is a certain amount of investment outlay that we have outlined. What we are guiding is that we believe that the peak of the investment should be behind us, especially as we ramp up on our operating efficiencies. As the network density and the utilization increases, we should see that starting to come off. Currently we have a very strong balance sheet. As you see, Rs. 6,700 crores and the food delivery business and the dine -out business also turning profitable which continue to accrue to the treasury balance. So yes, feeling pretty good about the strength of the balance sheet.

Vijit Jain: Got it. Thank you so much. Those were my questions.

Moderator: Thank you. We will take our next question from the line of Vivek M. from Jefferies. Please go ahead.

Vivek Maheshwari: Hi, good evening, team. First on the food delivery business. So, there are a lot of discretionary companies which are talking about slowdown in general in the urban market. So, this quarter has been good for you from a growth perspective, but does that worry you as you head into FY '26?

Rohit Kapoor: Hey, Hi. This is Rohit, let me take that. Look, the macro is too volatile for us to talk about or get a clear read on the impact, since there are multiple moving parts including recent geopolitical

changes which are happening, right. Overall, if I disregard that, we have not seen as much of a slowdown as has been talked about. We have spoken about an 18% to 22% kind of year-on-year growth guidance, and we are towards the lower end of that range. This business will be some months or quarters above or below, as would be the case for any discretionary category. Having said

that, I do recognize that as a category we need to innovate more to grow above 20% and we are trying to see multiple different innovations to see what really sticks with the consumer. So for example, Bolt is one for speed, there's enough work happening in value and I think more will happen there, and differentiation for example with One BLCK. So, again, is the category right now, from our perspective, trending towards the lower end of the guidance? That's correct. But I think that's the rough zone that we have seen. I continue to be a very, very strong believer in the long-term potential of the category given the penetration levels etc., but that has to play out, and that will play out by not just by the market, but also our efforts towards innovation and growth there.

Vivek Maheshwari: So Rohit, basically what you are saying is, 18% to 22% is the broad bracket. And at this point of time, 18% is something you think the category, or the segment can grow in FY '26, is that fair?

Rohit Kapoor: If you look at last quarter, we came in at 17.6% GOV growth. So it is, as I said, towards the lower end of that growth. I think the one thing which frankly is very hard to say is, given where the macro is, also given the geopolitical situation.

Page 12 of 19 Vivek Maheshwari: Sure, I understand. Thank you for that. On the adjusted food margin, so there is a steady margin

expansion over, let's say, actually over the last eight quarters. As we head into FY '26, what should we be expecting let's say on a full year basis in FY'26?

Rahul Bothra: I will take that. See, we do not give specific guidance in terms of what will be the incremental EBITDA that we will gain. At the same time, you may have observed that we have added close to 80 basis points on operating leverage, which you should continue to expect. We have been able to keep a very close handle on the overall fixed cost into the business, largely keeping it flat while the business has grown over the previous year. So there is an amount of operating leverage. At the same time, contribution margin, there's an expansion that we expect by another 100 to 150 basis points to hit to our steady state EBITDA guidance. So you should expect the trajectory to continue. At the same time, there could be quarters where they could be ups and downs, and there could be a certain amount of investment that we may make for growth. But largely the trajectory on an upward one should continue over a full year basis.

Vivek Maheshwari: Got it, Rahul. And moving to quick commerce, your AOV let's say moderated slightly on quarter-on-quarter basis very slightly, and there is of course a seasonality between 3rd and 4th Quarter.

But I would have thought at the time when you have expanded the dark stores, built Megapods and also improved the assortment, I would have imagined that AOVs could have actually moved up given that your competitor still is sitting on a higher AOV. How do you think about this?

Rahul Bothra: Sure. No, I think it's an important KPI and we are also holding ourselves accountable to this KPI. We have continued to guide that we will be doing double digit. If you have observed that we have now upped this guidance, we expect that over the coming year we will be able to deliver high teens growth on the AOV. So feel very comfortable about the trajectory. I think it was also a factor of the overall assortment that we had the share of the larger basket more recently, which the Maxx saver that we have launched. So there are a host of factors that are going to help us be able to deliver on the overall guidance that we are giving, which is high-teens growth from here on.

Rohit Kapoor: And I think the second part of the question, which was on acquiring new customers and that's still leading to a higher AOV. I think Harsha essentially mentioned about good quality users leading to a better quality business in the future as well. So what we

have done, and we have been consistently doing over the last two quarters, is to make sure when we acquire customers, we acquire customers with the right basics in mind. And that is the reason why even though sometimes the frequency is low, we have kept our AOV as a very important guard rail in the way that we have been acquiring customers and also repeating them with us. So the reason why it has not followed that trend, and this is the only exception to the new customer trend is because we are acquiring customers healthily and repeating them far easily than earlier.

Vivek Maheshwari: Got it. And the last bit is on quick commerce growth. So, there has been a meaningful acceleration through the course of the year in terms of even Y-o-Y growth also. The exit number of course you have, let's say, doubled the GOV. How do you think about FY '26? Because the investments on the dark store side will be lesser as you alluded to, whereas the competition is still adding stores.

Page 13 of 19 So I do not know if how much of that will come in the existing cities versus new cities, densification etc.

So two parts, one is on your growth and the second bit is, by not adding stores and matching the competition in a way, does that mean that your growth can actually then therefore trail, let's say, the overall industry or, let's say, the other two players?

Sriharsha Majety: Hi, Harsha here. I think for us the growth in most of these businesses for us is obviously a combination of MTU and AMV. And we continue to have a very competitive view on both of these, just discussed the AMV part itself. And as we mentioned, I think for the competitive position we want we feel good about the coverage we have for the MTUs that we need. So, in terms of an overall growth, overall, the trajectory in the MTUs, the quality of the cohorts, as well as our push on the AMVs give us pretty good confidence about the overall market position.

Vivek Maheshwari: Got it, got it. Wish you all the best Harsha and team, Thank you.

Moderator: Thank you. We will take our next question from the line of Gaurav from Axis. Please go ahead.

Gaurav Malhotra: Yes. Hi. Thank you for the opportunity. I just had a couple of questions. One question is on, given that all these players have been giving pretty chunky discounts to the consumers, how difficult will it be for you guys to sort of taking away the consumer from discounting and still retain them?

Maybe you will retain them, but the kind of spends which they are currently doing?

Amitesh Jha: Yes. Okay, so the way to think about the business is, the incentives that you give to the consumer are trials basically on what they want to experience as an end consumer. So the program that we have is very oriented towards making sure that they transact X number of times. We give a specific value prop to the consumer that we believe is sticky enough for them to come back to us. We look at our retention numbers all over the last few quarters upping up the value proposition is leading to customers sticking with us for a higher frequency as well.

So the way we are looking at is, incentives are for trials, incentives are for making sure that they experience our value prop a lot more. Once that is done, we see a lot more stickiness in spite of those incentives essentially going away. It's a very tried and tested way that we have followed and we believe that it will essentially go up. And we see that in our higher retention numbers as well.

Gaurav Malhotra: If I can just sort of deliberate a little bit on that as well. See, the higher spend cohorts which you have disclosed, now that is coming again at a time when the discounting has sort of moved up, right. So, at some point in time, I would presume that the discounting would have to sort of come down or do you think that these discounting levels are here to stay, and that means that these spends will kind of remain at these levels?

levels?

Amitesh Jha: Yes. See, okay, the way to think about our acquisition as well is that, okay, there are various cohorts in our businesses as well, okay. There are mature cohorts, there are cohorts which are new, and there are cohorts which have essentially tried our platform as well. Whenever a cohort becomes mature, they do not actually need any kind of incentive for them to be operating on our platform,

Page 14 of 19 okay. And that we have seen consistently. The retention rate, the repeat rate keeps on going up without any incentive at all, okay.

So the way to think about it is that, the incentives are very focused on specific kind of cohorts to make sure that they keep on transacting until they get used to the platform. And once they get used to the platform, it does not require any kind of incentive to make it up as well. And that is something that we have seen in our retention numbers as well, over multiple quarters the retention have gone up and we see that going up again and again as well.

So, if you look at the shareholder letter Point Number 6 as well, that specifically speaks about our retention rate over the various quarters of acquisition of the end consumer. It has always been going up. The reason of that is because when the consumers are actually getting matured, they are getting used to the platform organically without any incentive. And we see that keep on happening again and again. The heightened incentive is just to make sure that there are a lot of new consumers that we are acquiring. We make sure that they get used to this platform faster.

Gaurav Malhotra: And what would be the timeline for a user to, say, go from a new to a more mature user? At which time they do not require the incentives to keep transacting?

Amitesh Jha: So it varies. We do not give specific guidance. And it's a very competitive information that we do not want to share. It varies based on which geography that we are speaking about. But it is a very minimal number of transactions that allows a consumer to believe that they want to be with this platform or not. Beyond that specific number of transactions, it really does not matter. They are either going to be your user or not. So that's the way we look at it. But that specific information is something that we would not like to share because it is competitive in nature.

Gaurav Malhotra: Got it. This last question, you guys mentioned a new competition which was alluded by your peer as well. So end of the day how many dark stores in a particular area can there be, right? There are already three, there are potentially two more, so how do we think about how many players can, at least the top ten cities which is where most of the business is coming from currently, can potentially have in a particular locality?

Sriharsha Majety: I think as Rahul mentioned, we are still maybe 20%, 30% done when you like look at the overall scheme of the market. I feel it's too early to already be clairvoyant about how many stores and how many companies can operate. I think it's a rapidly evolving market. So, I do not think we have a

very pointed view on this.

Amitesh Jha: And if you look at, I mean, in general market growth that we are seeing and the market penetrations, I do not think we are facing a level at which it looks like that there will be growth challenges for anyone.

Gaurav Malhotra: Thank you.

Moderator: Thank you. We will take our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC, please go ahead.

Page 15 of 19 Sudheer Guntupalli: Hey, hi. Thanks for the opportunity. My first question is on Instamart growth. So, for FY '26 you

are essentially saying that you will be more graded in terms of the store additions. So despite being more graded in terms of store additions, can we expect the GOV in Instamart in FY '26 could potentially double given the exit run rate of stores you have and 40% ar

e MTU growth sequentially in this quarter?

Amitesh Jha: Yes, absolutely. I think what we can look at is an acceleration of growth based on two fundamentals, number of consumers that we have acquired and the AOV movement that we have seen per transaction as well. We believe that that combination would allow us to keep on growing at a significant higher rate as we have seen essentially earlier as well.

Sudheer Guntupalli: And this MTU growth is 40% on a Q-on-Q basis. However, that has not materialized into GOV growth. So, I am just assuming this might be a timing mismatch, timing lag wherein some of these users might have been acquired or stores would have been added towards the end, and the GOV growth proportionate will actually get slipped into the subsequent quarter. Is that the right way of inferring this data point?

Amitesh Jha: See, obviously our MTU growth is essentially higher than our GOV and OPD growth. The way to look at it is that early consumers, be it whatever quarter, whatever time that you acquire, we will be spending less in that specific quarter. It's a mixed impact. Cohort wise if you look at it, the cohort numbers on both GOV per customer and OPD per customer remain the same. It's a mix impact that will get initially covered as soon as that mix really gets essentially corrected.

Sudheer Guntupalli: Got it. And second, the question to Rahul on Instamart margins. So if I understand your earlier response right, you are basically saying that contribution breakeven can still happen in December '25 and you are just keeping some flexibility for growth investments when you essentially mention three to five quarters. So this need not necessarily be construed as a delay in terms of your contribution breakeven guidance. Is that a correct interpretation?

Sudheer Guntupalli: I do not know how much we heard, but I will repeat the question. So if I understand your earlier response right, you are basically saying the contribution breakeven can still happen in December '25 Quarter, and you are just keeping some flexibility for growth investments when you say three to five quarters. So this need not necessarily be construed as a delay in terms of your profitability guidance, right, is that understanding correct?

Rahul Bothra: So yes, I think as I mentioned that there are factors which are within our control and some factors which are beyond our control, right. So I think us being able to take this flexibility more to take into factors which are outside our control versus within our control.

Sudheer Guntupalli: Understood, Rahul. Fair enough. And the last questions to Rohit. In food delivery, so I think last quarter when we met or in the call also we discussed that December and Jan would probably be the true point or lowest point in terms of demand for food delivery. And we were expecting that to

Page 16 of 19 improve on a month-on-month basis in February and then subsequently in March. So did the trajectory play out that way if we just keep aside the recent geopolitical issues and all?

Rohit Kapoor: Yes, I think we did see play out that way where February and March were stronger than January. Also remember, this has a February which was a 28-day month, so there is that effect, yes.

Sudheer Guntupalli: Got it, Rohit. Thank you so much. All the very best.

Moderator: Thank you. We will take our next question from the line of Abhisek Banerjee from ICICI Securities. Please go ahead.

Abhisek Banerjee: Hi. So my first question is with regards to food delivery, right. So you have again seemed to gain a little bit of market share. So, any thoughts on what you are kind of doing right here? And, I mean, do you really think that market share gains are sustainable beyond this quarter as well?

Rohit Kapoor: Look, I will not like to comment on market share per se because it's very hard to define what we are treating as the market here. But in terms of gene

ral growth, I think we have already spoken

about it in the call. We continue to believe that the platform is very strong. I think we have all the core parts of the platform very solid, operating across cities. So there are hardly zones or cities where we do not feel that operations or supply or things are not in a very good place. I think teams

have been stable, teams have been there, most of our leadership is now significant vintage, right, in the food delivery space, understand the category well. So there are some fundamental basics which are operating for us, right.

On top of that what I do believe is that, in a category like this innovation and trial must continue. And you have seen that coming through over last year, including some which have worked, some which have not worked, that's fine. I think we will continue to operate in that zone where the chassis, the platform, and the teams continue to be stable. On top of that, we have Bolt and other things, and we will keep trying. I think that's the zone we are operating. And whether if that leads to higher growth in category, I think we will take it any day. But that's not what we operate towards on a daily basis I think, yes.

And obviously, if you look at margin expansion, I think that's a very important variable. I think we will continue to focus on keeping a fair balance between growth and continue to expand margins over time. There will be quarters where we will see some yo yo between both, either could be because of wage inflation or kicks into a particular quarter or just seasonality where you have to spend more on the delivery network to keep the fleet there. But those are very known sort of variables in the category.

Sriharsha Majety: Yes, Abhisek, Harsha here. I would like to build on top also. I think over the last couple of years, I think thanks to the teams efforts, like we have stabilized a lot of our operations, like our account management is on an all-time high. But more importantly, I think what we are also cautiously excited about is the innovation engine firing I think across multiple parts. We think about value we have been constantly throwing stuff in front of the consumer to see if that catches their

Page 17 of 19 imagination. For the experience side, we have launched BLCK, for speed we have launched Bolt. So I think we are feeling good about like the inputs firing and we hope some of these materialize more in the coming year.

Abhisek Banerjee: Understood. Now if I look at the contribution margin level, I am guessing you would also want to achieve a 4% to 5% kind of adjusted EBITDA margin as a proportion of GOV in food, right? But when I see your adjusted EBITDA margin improvement in this quarter, it is broadly in line with the contribution margin improvement, which I do not think should be the case given you should be getting some scale benefits. So, why has that happened in food and what is the outlook on this going forward?

Rahul Bothra: Yes. So, Abhisek, if you look on a full year basis, I think we have added 80 basis points on the operating leverage. So, within quarters, there could be certain variation. But overall, if you look at on a full year basis, there has been significant operating leverage that we have accrued. We are also hoping that this will continue in the future. We will continue to accrue a lot more operating leverage in the future also.

Abhisek Banerjee: Understood. So, I was just trying to get to a point that your competitor actually had mentioned that there were some problems in getting the delivery treat in this quarter, especially in food delivery.

So, was that something you also kind of faced, I mean, there was some paucity of delivery drivers?

Rohit Kapoor: So, let me take this. Look, the correct thing for me to say is that we have not seen anything unusual, right, in the last quarter. There are parts of the quarter where, for example, during Holi where t

here

is a delivery fleet which comes under some pressure for a few days. But that happens every year, that's not nothing new. So at least in our network we have not seen anything unusual play out over the last quarter.

Abhisek Banerjee: Understood. Now, if I come to quick --

Moderator: Abhisek, I request you to join back the queue please, as we have other participants waiting for their turn. Thank you.

Abhisek Banerjee: No, just one question and then you can remove me from the queue. So, in terms of quick commerce, right, you have a contribution margin which has got to (-5.6%), and I believe that you have already reached 100 cities, right. So, in terms of outcome from now, do you really see city expansion is something you have to do beyond the 100 cities?

Amitesh Jha: No, I think as we have mentioned in the shareholder letter as well, we do not see expansion in number of cities as the typical way of growing. We see deepening in those cities, acquiring more customers after the network, as we have said, in those cities as the way to go essentially for that as well. So yes, so in terms of the cities that we are essentially going, will be at the same or similar kind of numbers. Whatever stores that we will be adding will be in those cities and effectively deepen in the network there. And that's the strategy that we are actually taking forward.

Page 18 of 19 Abhisek Banerjee: Therefore your capex requirement per store addition will actually keep going down, right, even on per store addition.

Amitesh Jha: The capex requirement per store addition will not essentially go down because effectively the cost associated essentially remains the same, range bound to around Rs. 70 lakhs to Rs. 80 lakhs. We

do not see that going down. Of course the utilization of the stores that we have added will go up in the subsequent quarters, and that should be factored in when we are looking at contribution margins in the subsequent quarters as well.

Abhisek Banerjee: So, I was not meaning just for the store, I was saying that there is an associated cost of adding warehouses and all when you are adding a new city, right. So if that is no longer required, those costs will not go up.

Amitesh Jha : That's correct. Yes, that's absolutely right.

Abhisek Banerjee: And just one last question, in out of home consumption you have actually turned around, and you have shown profitability. So, what is the outlook here in terms of growth going ahead? And where can this profitability number go? Those are all my questions.

Rahul Bothra: Sure. So see, if you have seen, since the acquisition over the last couple of years, we have seen a pretty dramatic change in the trajectory of both profitability as well as growth. We do expect that this business, at a steady state, again, can deliver in the ZIP code of 4% positive EBITDA for us. And we expect the growth trajectory to continue. There are some interesting events, businesses, etc. through Swiggy Scenes that we have also launched which help our restaurant partners to get more traffic and create a lot more demand during the event days. So we are seeing good traction. We are also continuing to invest in providing them solutions outside the core offerings, and therefore that will also over time aid into both growth as well as profitability.

Rohit Kapoor: I think I just want to add to Rahul. As he said, on this category we will continue to index more on investing for growth because it's very early days for the category. And having broken even, I think we will modulate to the 4%, 5% that Rahul pointed out over a period of time. But it's very exciting, I think this is an acquisition which we did 2-2.5 years back, and the business has grown manifold from there, both in terms of scale and profitability. As we have good success story for us in terms of acquiring a very good asset and then building onto it in a very solid way.

Abhisek Banerjee: Under-

stood. Thank you so much.

Moderator: Ladies and gentlemen, due to time constraints, we request you to restrict to one question at a time, please. We will take our next question from the line of Aditya Suresh from Macquarie. Please go ahead.

Aditya Suresh: Yes. Thank you for the opportunity. I just wanted to double click on your responses in Question 7. So is there any implicit market structure assumption in your comments?

Rohit Kapoor: Sorry, can you repeat the question? Like what is the question, again?

Page 19 of 19 Aditya Suresh: Okay, so just on quick commerce and your comments where you speak about the path towards contribution breakeven. Is there an implicit market structure assumption? Two players, five players, seven players?

Rohit Kapoor: No, there is no such implicit assumptions in these.

Aditya Suresh: Okay. Just as a follow-up on that then.

Moderator: Aditya, I request you to join back the queue, please. Thank you. We will take our next question from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: Hi, thanks for the opportunity. I just want clarity on your comment regarding the disconnect between MTU growth and GOV growth, where you highlighted that while this quarter GOV growth is driven by new user addition, while you have seen slowdown in older users. Have you seen this kind of seasonality before? And why do you think this is not a user churn because of higher competitive intensity? Thank you.

Sriharsha Majety: Hi, Harsha here. We keep closely watching our metrics overall. Firstly, as Rahul mentioned, its unprecedented acquisition win for us because for the quick commerce business, each business is different, this is the sum of six quarters of MTU growth for us that has happened in the last quarter. To that end it is unprecedented. And as we have already mentioned, we are constantly looking at the quality of the overall cohorts and the retention of our mature users. We do not see the impact of intensity showing up actually on the retention of our users.

Amitesh Jha: So just to clarify, every cohort is operating in a similar way and better compared to what we were essentially earlier. So just to get it, the only delta that you see in any other aspect is just a delta on the mix. So yes, our matured customers are retaining and spending in the earlier way or better, and which is the way that we want to grow our business as well.

Nikhil Choudhary: Got it. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as the last question for today. On behalf of Swiggy Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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August 06, 2025

To
The Deputy Manager
Department of Corporate Services
BSE Limited
PJ Towers, Dalal Street
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Scrip Code: 544285 To
The Manager
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block Bandra -Kurla Complex, Bandra (E),
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Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call for Analysts and Investors conducted on July 31, 2025.

Ref: Disclosure under Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Pursuant to Part A of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby provide the transcript of the Earnings Conference Call for Analysts and Investors conducted on Thursday , July 31, 2025.

Enclosed is the transcript of the Earnings Conference Call , which is also hosted on the website of the company. The link to access the transcript is provided below:

<https://www.swiggy.com/corporate/investor -relations/financial -results/>

This is for your information & records.

Thanking you,

Yours faithfully,

For Swiggy L imited

Cauveri Sriram
Company Secretary & Compliance Officer

Swiggy

Limited

Q1

FY26

Earnings

Conference

Call

July

31,

2025

M
ANAGEMENT
:

S
RIHARSHA

M
AJETY

—

M
ANAGING

D
IRECTOR

AND

G
ROUP

C
HIEF

E
XECUTIVE

O
FFICER

—

S
WIGGY

L
IMITED

R
AHUL

B
OTHRA

—

C
HIEF

F
INANCIAL

O
FFICER

—

S
WIGGY

L
IMITED

R
OHIT

K
APOOR

—

C
HIEF

E
XECUTIVE

O
FFICER

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F
OOD

M
ARKETPLACE

—

S
WIGGY

L
IMITED

A
MITESH

J
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C
HIEF

E
XECUTIVE

O
FFICER
,

I
NSTAMART

—

S
WIGGY

L
IMITED

A
BHISHEK

A
GARWAL

—

H
EAD

O
F

I
NVESTOR

R
ELATIONS

—

S
WIGGY

L
IMITED

Page

1

of

19

Moderator:

Ladies

and

gentlemen,
good
day,
and
welcome
to
Swiggy
Limited' s
Q1
FY
'26
Earnings
Conference
Call.
As
a
reminder ,
all
participant
lines
will
be
in
the
listen-only
mode.
And
there
will
be
an
opportunity
for

you
to
ask
questions
after
the
presentation
concludes.
Should
you
need
assistance
during
this
conference
call,
please
signal
an
operator
by
pressing
“*”
then
“0”
on
your
touch
tone
phone.
Please
note
that

this
conference
is
being
recorded.

I
now
hand
the
conference
over
to
Mr.
Abhishek
Agarwal,
Head
of
Investor
Relations
from
Swiggy
Limited.

Thank
you
and
over
to
you,
sir.
Abhishek
Agarwal:
Thank
you,

Operator .

Hello,

everyone,

and

welcome

to

the

1st

Quarter

FY

2026

Earnings

Call

for

Swiggy .

Our

Financial

Results

and

Shareholders'

Letter

have

been

published

on

the

Exchanges,

and

the

information

pack

has

been

placed
in
the
Investor
Relations
section
of
our
website,
www.swiggy.com
.

We
would
like
to
inform
you
that
the
Management
may
make
certain
comments
on
this
call
that
one
could
deem
forward-looking

statements.

Specifically ,

the

financial

guidance

and

pro

forma

information

that

we

will

provide

on

this

call

are

Management

estimates

based

on

certain

assumptions;

and

have

not

been

subjected

to

any

audit,

review ,

or

examination

procedures.

Swiggy

does

not

guarantee

these

statements

and

is

not

obliged

to

update

them

at

any

time.

Joining

me

on

the

call

today

are:

Sriharsha

Majety

—

MD

and

Group

CEO,

Rahul

Bothra

—

our

CFO,

Rohit

Kapoor

—

CEO

of

Food

Marketplace,

and

Amitesh

Jha

—

CEO

of

Instamart.

Before

we

start

the

proceedings,

we

think

it

is

useful

to

share

our

top-of-mind

messages

from

our

quick

commerce

business,

for

which

I

will

invite

Amitesh

Jha.

Over

to

you.

Amitesh

Jha:

Thanks,

Abhishek.

So,

what

I

will

do

is,

I

will

give

a

very

high

level,
top
of
mind
for
this
particular
quarter .
Our
GOV
growth
accelerated
to
108%
YoY.
This
was
primarily
led
by
our
dark-store
expansion,
both
existing
and
in
the
new
areas
that
we
went

into.

As

we

have

also

spoken

in

the

past,

the

average

order

value

is

a

very

important

determinant

of

the

profitability

of

the

business.

I

am

happy

to

report

that

our

focused

efforts

have
led
to
a
substantial
change
in
the
slope
of
the
driving
AOV ,
with
a
movement
of
16%
quarter -on-quarter
and
26%
Y-on-Y
which
is
ahead
of
our
guidance
that
we
gave.
This
growth

in
AOV
with
focused
efforts
led
to
a
consolidation
of
cuts,
while
leading
to
a
higher
GOV
per
customer
per
month
by
8%.
This
combined
with
letting
go
of
some
of
the
low

AOV

orders

led

to

a

moderation

in

our

order

growth

quarter -on-quarter .

In

the

last

call,

we

shared

that

our

contribution

losses

had

peaked.

In

line

with

the

same,

our

contribution

margin

has

improved

by

100

bps

quarter -on-quarter .

Despite

there

being

significant

headwinds

of

the

full

quarter

impact

of

the

network

expansion

that

we

did,

which

Page

2

of

19

was

slightly

back

ended

in

the

March

quarter

where

we

had

added

316

stores,

we

are

continuing

to

see

improvements

in

our

contribution

margin.

As

our

customers

and

stores

mature,

we

are

confident

of

delivering

higher

improvement

in
contribution
margin
in
the
next
quarter
as
well.
This
category
is
still
in
an
early
phase
of
customer
penetration
and
has
a
significant
runway
of
growth.
We
are
seeing
continued
heightened
levels

of
marketing
investments
by
all
the
players.

We
will
maintain
the
flexibility
to
invest
for
growth
for
the
subsequent
quarters
as
well.

That
is
it
from
my
side.
Over
to
you,
Abhishek.
Abhishek

Agarwal:

Great.

Thank

you,

Amitesh.

With

this

brief

preamble,

let

us

start

the

Q&A.

Operator ,

you

can

please

go

ahead.

Moderator:

Thank

you

very

much,

sir.

We

will

now

begin

with

the

question-and-answer

session.

The

first

question

is

from

the

line

of

Garima

Mishra

from

Kotak

Securities.

Please

go

ahead.

Garima

Mishra:

Yes.

Hi,

thank

you

so

much

for

the

opportunity .

My

questions

are

on

the

Instamart

business.

The

first

one,

Instamart

has

shown

a

significant

AOV

improvement,

as

Amitesh

you

just

highlighted.

But

ideally ,

this

should

have

also

driven

a

significant

contribution

margin

improvement

Q-o-Q,

right?

You

have

mentioned

that

higher

delivery

cost

were

a

drag,

as

was

the

network

expansion.

However ,

has

Maxxsaver

also

contributed

to

higher

costs

in

the

form

of

higher

basket

level

discount?

Amitesh

Jha:

Yes,

see,

the
Maxxsaver
is
a
very
specific
use
case
in
which
we
are
encouraging
consumers
to
purchase
a
higher
basket
size.
Yes,
in
terms
of
contribution
or
in
terms
of
the
take
rate
for

those
specific
orders,
it
is
lower
than
what
you
would
have
for
a
smaller
fill
basket.
The
way
we
see
it,
Maxxsaver
is
a
habit.
What
we
have
seen
is
that
there
are

a
lot
of
customers,
who
have
been
habituated.

There
is
a
28%
MTU
penetration
for
Maxxsaver
and
we
see
those
customers
coming
back
again
for
Maxxsaver
orders.
That
habit
formation
is
something
that

we
have
done.

In
the
subsequent
quarters,

we
will
make
sure

that
there

is
significant
investment
from

a
lot
of
ecosystem

players

to
make
sure

that

it
becomes

more
sustainable.

So,
in

the
initial
phases,
we
see
that
as
a
slight
headwind
for
our
overall
take
rate,
but
in
the
long
run,
it
will
have
a
substantial
impact
on
our
contribution
margin
in
the
future.

Garima

Mishra:

Is

there

any

quantification

we

can

provide

for

how

much

Maxxsaver

may

have

impacted

your

contribution

this

quarter?

Rahul

Bothra:

Yes,

so

Garima,

Rahul

here.

We

will

not

provide

specifics,

because

it
is
competitively
sensitive.
However ,
as
Amitesh
had
mentioned,
see,
it
was
important
for
us
to
make
a
pretty
hockey
stick
jump
in
our
average
order
value.
And
as
you
know ,
this
is

a
key
KPI
for
ultimately
the
overall
network
profitability
to
get
established.

What
we
have
meaningfully

done
in

just
one
quarter

is
to
change

this
trajectory

in
a
significant
manner .

So,
26%

Page

3

of

19

year-on-year

growth

on

our

average

order

value,

means

that

a

lot

of

customers

are

now

starting

to

move,

not

only

thei

r

grocery

purchases,

but

also

their

household

wallet

to
this
proposition.
So,
we
remain
very
confident
of
our
ability
to
monetize
on
this
channel.
While
there
could
be
some
bit
of
investment
that
the
platform
needs
to
do
to
create
this

habit,
over
time
we
will
be
able
to
continuously
reduce
this
and
get
to
the
stated
objectives.

As
we
had
mentioned
also
the
contribution
margin,
NOV
remain
very
steadfast.

Our
ability
to

improve
that
remains
very
high.
Even
in
the
quarter
gone
by,
we
have
added
240
basis
points
in
our
overall
monetization
efforts,
including
the
reduction
of
some
of
the
subsidies.
At
the
same

time,
there
were
a
couple
of
headwinds
around
the
full
quarter
cost.
So,
our
guidance
remains
that
we
expect
to
get
to
contribution
margin
neutrality
between
December
and
June
quarter
of
calendar
year

2026.

And

towards

that,

while

we

made

100

basis

points

improvement

in

the

previous

quarter ,

we

actually

expect

to

make

an

even

higher

contribution

margin

improvement

in

the

current

quarter .

So,

all

of

this
improvement
is
not
back
ended.
Garima
Mishra:
Got
it.
Second
question,
again
on
Instamart,
how
are
you
thinking
about
the
pace
of
store
additions
over
the
next
few
quarters?
Will
it
be

in,
sort
of
similar
to
what
we
have
seen
this
quarter?
And
second,
on
fixed
costs,
which
lie
below
the
contribution
margin,
you
have
mentioned
these
costs
may
not
decline
and
I
understand

why

they

may

not.

But

do

we

think

these

costs

will

increase

in

line

with

store

additions

or

maybe

at

a

slower

pace?

Amitesh

Jha:

Yes,

we

have

also

mentioned

in

our

shareholder

letter
that
from
a
pure
addition
of
stores
and
the
network
footprint
in
terms
of
square
feet
that
we
have
added,
we
believe
that
we
have
reached
a
state
that
allows
us
to

be
very
comfortable
with
the
kind
of
service
that
we
are
giving
to
the
customer
and
the
growth
headroom
that
we
have
created.
We
believe
that
our
next
network
expansion
will
be
based

on
the
need,
based
on
these
geographies,
and
it
will
not
necessarily
be
for
expansion
into
the
white
spaces.

The
overall
network
expansion
is
such
that
it
will
allow
us
to
grow
at

100%
without
the
addition
of
a
lot
of
stores,
essentially
square
feet.
So,
that
is
a
reason
we
do
not
want
to
give
any
kind
of
guidance
for
the
addition
of
the
stores

as

well.

Garima

Mishra:

And

on

fixed

cost?

Amitesh

Jha:

Okay .

So,

you

see,

as

I

said

in

my

earlier

--

Garima

Mishra:

Do

they

increase

in

line

with

store

addition,

yes?

Amitesh

Jha:

No,

the

fixed

cost

is

more

of

a

consumer

acquisition

cost.

Ultimately ,

a

lot

of

that

essentially

goes

into

marketing.

The

marketing

is

something

that

we

see

as

a

result

of

what

is
happening
in
the
market.

As
I
said,
we
will
continue
to
be
competitive

to
make
sure
that
we
are
acquiring
customers
for
the
category
as
well.

And
I
think,
there
is
the

level
of
runway
of
growth
that
we
have
should
allow
us
to
be
more
measured
in
our
approach
on
how
we
acquire
customers.
If
it
is
leading

to
higher
growth
we
do

not
want
to
let
that
go
as
well.
So,
yes,
fixed
cost
will
be
an
area
that
we
see
being
at
the,
at
a
similar
rate
for
a
few
quarters.

Page

4

of

Garima

Mishra:

Got

it.

Thank

you

so

much

for

taking

my

questions

and

wish

you

the

best

luck.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Sachin

from

Bank

of

America.

Please

go

ahead.

Sachin

Salgaokar:

Hi,

thank

you

for

the

opportunity .

I

have

three

questions.

Again,

all

three

questions

on

Instamart.

First

question,

I

wanted

to

know

your

general

thoughts
on
competition.
One
gets
a
sense
in
the
last
three
months
to
four
months,
competitive
intensity
has
sort
of
gone
down.
But
again,
I
wanted
to
understand,
what
you
are
seeing
on

the
ground
and
how
do
you
look
at
that?
Amitesh
Jha:
See,
if
you
are
comparing
it
to
the
JFM
quarter ,
yes,
it
has
gone
down,
but
at
an
absolute
level
the
intensity

in
the
market,
we
see
it
being
at
the
heightened
level.
There
are
new
players
also
entering
the
market.
Some
of
them
are
taking
baby
steps
into
these
markets
as
well.
So,
overall,

we

do

not

see

this

quarter

as

any

indication

of

whether

the

competitive

intensity

will

go

up

or

down.

We

believe

that

heightened

level

will

remain

and

it

is

something

that

we

are

also

baking

it

on

our

plans.

Sachin

Salgaokar:

Got

it.

Second

question

and

more

as

a

follow-up

to

this

entire

competitive

view ,

again,

wanted

a

bit

of

a

color

in

terms

of

dark

store
expansion
between,
let
us
say,
urban,
metros
and
Tier
2
cities.
How
are
you
thinking
in
terms
of
expansion?
And
again,
in
the
shareholders'
letter ,
you
mentioned
a
large
part
of
network

expansion
was
front-loaded
and
going
ahead,
you
guys
are
looking
at
a
measured
pace.
So,
does
that
mean
that
even
though
competition
is
present
and
expanding,
you
guys
will
be
a
bit
more

calibrated
in
the
approach
or
that
approach
could
change
basis,
how
competition
is?
Amitesh
Jha:
See,
we
are
in
127
cities
right
now
with
4.3
million
square
feet
of
store
area,
which
is

significant
even
if
you
look
at,
compare
it
to
anybody
else
in
the
market.
We
believe
going
higher
than
127
cities
will
be
more
opportunity-based
and
based
on
how
we
see
that
network

of
geographies
come
into
play.
But
there
is
such
significant
headroom;
market
penetration
is
so
low
in
the
cities
out
of
the
top
10
or
20
that
we
believe
the
right
opportunity
is

to
be
focused
and
not
necessarily
measured.

The
way
I
will
approach

it
is
that
be
more
focused

in
the
areas
that
we
are
already
in.

If
expansion
is
required,
expand
in
those

areas,
then
spread
yourself
thin
to
figure
out
where
the
next
growth
will
be
there.
There
is
enough
headroom
for
growth
in
the
existing
127
cities
that
we
have.
Sachin
Salgaokar:
Got
it.

Third
question,
in
your
shareholder
letter ,
you
mentioned
there
is
a
50
bps
dilution
on
contribution
margin
led
by
lower
commissions
on
non-grocery
selection.
So,
going
ahead
as
your
mix
moves
more
towards

non-grocery

and

as

AOV

expands,

directionally

should

we

continue

to

see

elevated

pressure

on

contribution

margin,

or

this

was

more

like

a

one-of f

in

the

initial

phase

and

margin

should

improve

as

the

non-grocery

mix

improves?

Rahul

Bothra:

Yes,

Sachin,

Rahul

here.

I

think

obviously

this

was

our

first

focused

effort

in

trying

to

improve

the

non-grocery

selection.

Overall,

over

the

last

couple

of

quarters,

we

have
also
mentioned
that
our
selection,
where
we
were
probably
lagging
a
little
bit
are
now,
in
most
parts,
ahead
of

Page
5
of
19

even
say
the
available
selection
from

competition.

So,

there

is

an

effort

that

is

required

to

be

able

to

build

the

relationships,

etc.

And

over

time,

we

will

see

monetization

continuing

to

increase,

including

in

the

non-grocery

part.

So,

the
overall
mix,
as
we
said,
is
also
net
positive,
because
if
you
look
at
the
absolute
contribution
that
you
make
in
these
larger
ASP
selling
items
for
non-grocery
more
than
makes
up

on
the
percentage
margin.
So,
we
think
it
is
going
to
be
a
calibrated
approach.
There
is
going
to
be
advertising
dollars
that
will
also
start
getting
unlocked
as
our
overall
share
of

this
pie
increases.

So,
we
should
not
expect
that
there
will
be
a
continued
headwind.

This
is
more
of
a
one-time,
say
effort
and
the
significant
movement
that
we
have
been
able

to
make.
And
over
time,
this
will
mean
that
we
will
go
back
to
more
category
margins.
Sachin
Salgaokar:
Okay .
And
lastly ,
just
a
curious
question.
You
have
a
standalone
app
on
Instamart

and

then

there

is

a

combined

super -app

out

there.

When

you

look

at

your

incremental

consumers,

who

are

coming

on

the

quick

commerce

service,

is

it

more

on

the

standalone

app,

or

is

it
mixed
and
how
to
think
about
this?
Amitesh
Jha:
Yes,
it
is
a
mix.
The
way
to
think
about
it
is
there
are
two
ways
we
acquire
consumers.
One
is
from
our

existing

app,

who

have,

say,

never

transacted

on

Instamart.

And

the

others

are

those

who

are

independently ,

coming

to

that.

So,

it

is

a

mix.

The

way

we

approach

it

is

that

whatever

works

best

for

the

end

consumer

is

what

we

use.

And

that

has

been

the

way

for

our

success

also

as

well.

Sachin

Salgaokar:

Got

it.

Excellent.

Moderator:

Thank

you.

The

next

question

is
from
the
line
of
Abhisek
Banerjee
from
ICICI
Securities.

Please
go
ahead.

Abhisek
Banerjee:

Hey,
hi.

Thanks
for
the
opportunity .

My
first
question

is
for
Amitesh.

So,
sir,
great
job
on
the

AOV

improvement.

But

trying

to

understand,

what

can

be

the

mix

of

non-grocery

items

going

ahead?

I

mean,

can

this

go

up

to

25%

or

30%?

You

could

give

some

clarity

on

that.

And
with
regards
to
the
number
of
orders,
which
we
have
seen
to
moderate,
because
there
was
some
grossing
up
of
orders
at
Maxxsaver ,
etc.
How
would
you
drive
order
growth
going
ahead?

If
you
can
talk
about
these
two
things,
that
would
be
really
helpful.

Amitesh

Jha:

Yes,
sure.

You
see,
over
the
last
year,

if
you
look
from

Q1

FY

'25

to

Q1

FY

'26,
we
have
grown
fr
om
6.6%
to
18.5%
of
the
non-grocery
business.

That
will
keep
on
going
up.

Yes.

So,
we
see
this
movement
keep
on
going
up.
We
look
at
our

business
as
consumer
penetration
for
each
of
the
categories.

The
consumer
penetration
for
non-grocery
categories
is
extremely
low.

So,
there
is
enough
headroom.

You
can
expect
these
numbers
to
go
up.
We
will

not
want
to
give
specific
guidance,
but
we
believe
that
this
upward
trajectory
will
keep
on
going
up
for
the
next
few
quarters
at
least.
Sorry ,
what
was
the
second
question?

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19

Abhisek

Banerjee:

Yes.

So,

I

was

trying

to

understand,

as

this

mix

kind

of

improves,

how

do

you

kind

of

build

out

your

assortment

further?

So,

you

are

already

talking
about
a
large
proportion
of
your
metro
audience
having
30,000
SKUs,
right?
So,
will
that
essentially
drive
it?
And
how
do
you
increase
the
number
of
orders
that
are
coming
per
MTU?

Amitesh

Jha:

Yes.

I

will

try

to

explain

both

the

order

question

as

well

as

this

one.

The

way

to

think

about

it

is,

yes,

increased

assortment

is

for

all

the

new

use-cases

that
consumers
have
and
that
is
something
that
we
have
seen
happening
in
metro
as
well
as
the
T1,
T2
cities
as
well.
The
increased
assortment
is
also
one
of
the
reasons
why

it
is
happening.
And
of
course,
the
penetration
of
these
categories
from
a
consumer
point
of
view
has
also
been
on
the
increasing
trend.
Now ,
on
the
order
question,
which
is
also
one

of
the
things
that
we
believe
that
the
focus
that
we
put
in
on
the
headwind
on
the
order
was
for
two
specific
reasons.
The
first
reason
was
that
obviously;
we
had
acquired

a
lot
of
new
customers

at
the
end
of
the
last
quarter .

That
led
to
a
significant
initial
stage
in

which
we
saw

a
lower
order
contribution
from
them.

The
second
thing

is
what
we
did
is
also
kind
of
removed
a
lot
of
low
AOV
orders
that
were
not
accretive
to
our
business.
And
the
third
thing
that
we
did
was
the
Maxxsaver
in

which

we

really

consolidated

the

orders.

We

do

not

believe

the

first

two

reasons

will

be

there

for

the

subsequent

quarter .

The

third

reason

will

be

there.

So,

the

numbers

will

go

up,

but
the
focus
will
be
to
make
sure
that
the
average
order
volume
on
the
Maxxsaver
side
does
not
reduce.
We
are
seeing
a
higher
retention
on
the
Maxxsaver
orders
as
well,
which

is
the
reason
why
we
are
very
confident
on
this
specific
approach
as
well.
Abhisek
Banerjee:

Understood.

And
with
regards
to
store
expansion,
we
saw
only
41
stores
added
here.
And
a
large

part,
almost
75%
of
the
CAPEX,
which
was
done,
was
done
in
warehousing
increase,
right?
So,
how
do
we
kind
of
look
at
the
CAPEX
trajectory
going
ahead
if
you
can
give
some

broad
guidelines
on
that.
Rahul
Bothra:
Sure.
So,
I
think
on
the
dark
store
side
as
you
have
seen
are
the
quarter
four
of
the
previous
financial
year
is
where
we
expanded
the

network
at
the
largest
and
even
in
the
previous
call
we
had
mentioned
that
going
forward
is
going
to
be
mea
sured
and
derivative
of
growth
versus
us
planting
the
flags,
because
we

believe

that

we

have

the

network

density

and

the

overall

geographical

presence

already

established.

So,

you

should

see

this

more

of

a

measured

approach

on

the

dark

store

expansion.

However ,

if

you

look

at
the
overall
capacity
of
the
network
that
we
have
with
the
current
4.3
million
square
feet
of
warehousing
of
the
dark
store
space
that
we
currently
have
in
the
market,
we
can

potentially

even

grow

twice

from

where

we

are,

without

having

to

add

any

storage

theoretically .

So,

this

basically

means

that

there

is

not

a

lot

of

leverage

that

we

will

get,

as

we

scale
from
the
existing
network.

Now ,
coming
to
the
warehousing
side
again
due
to
the
fast
growth
that
we
have
seen,
which
is
100
%
plus
over
the
last
couple
of
quarters,
we

have
had
to
necessarily
expand
our
footprint
on
the
warehousing
side,
especially
in
the
larger
metros.
A
lot
of
that
work
has
been
completed
and
some
of
it
will
be
done
over
the

next

couple

of

quarters.

So,

as

we

have

mentioned

it

will

Page

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19

be

a

more

graded

expansion

of

CAPEX

investments

from

here

on,

because

again

the

capacity

expansion

is

largely

being

done

on

the

warehousing

side

also.

Abhisek

Banerjee:

Understood.

That

was

very

helpful.

And

just

one

last

question

from

me

on

the

food

side,

so

again

another

very

solid

performance

in

terms

of

18.8%

GOV

growth,

right.

So,

are

you

seeing

any

change

from

the

competitor

in

the

food

deliveries,

or

are

you

seeing

them

becoming

a

little

more

aggressive

there

with

new

management

etc.

Rohit

Kapoor:

Hi,

this

is

Rohit

here.

Look,

I

think

food

delivery

is

always

highly

competitive.

So,

we

do

not

watch

it

from

an

internal

management

lens

of

another

company

and
the
point
is,
we
do
not
have
any
more
information
than
you
have,
right.
So,
I
think,
while
we
remain
competitive,
we
are
very
focused.
But
no,
I
think
that
has
not

really
figured
much
in
our
scheme
of
thinking
or
our
decision
making
or
anything
of
that
nature.
Abhisek
Banerjee:

Got
it.
Thank
you.

Moderator:

Thank
you.
We
will
take
the
next
question
from

the
line
of
Sudheer
Guntupalli
from
Kotak
Mahindra
AMC.
Please
go
ahead.
Sudheer
Guntupalli:
Hi
team,
thanks
for
the
opportunity .
First
question
is
follow-up
to
what
Abhishek
was
asking
on
the
AOV
increase

spend,
is
there
any
seasonality
in
the
current
quarter ,
which
would
have
helped
the
very
sharp
increase
in
the
AOV
apart
from
the
factors,
which
you
had
already
called
out?
Amitesh
Jha:
I

will

take

that

question.

No,

absolutely

not.

This

is

all

based

on

the

effort

or

the

shaping

that

we

have

done

for

our

business.

Sudheer

Guntupalli:

Yes,

thanks

Amitesh.

And

maybe

a

question

to
Rahul.
So,
if
I
look
at
your
larger
competitor ,
the
cost
structure
of
Instamart
is
very
similar
to
the
cost
structure
of
their
entity ,
with
the
only
exception
being
a
dramatic
differential

on

the

AOV

front

so

far.

Now

that

you

have

seen

a

very

sharp

conver gence

of

AOV

in

the

current

quarter

and

you

are

just

about

8%

-

9%

lower

than

where

they

are,

is

it

fair

to

assume

that

the

rest

of

the

profitability

structure

items

will

fall

in

place

with

this

kind

of

an

AOV

increase?

Rahul

Bothra:

Yes,

thanks,

Sudheer .

I

think

if

you
look
at
the
overall,
say,
cost
in
the
business,
right,
there
are
these
variable
operating
costs,
there
are
the
nature
of,
say,
fixed
costs
that
we
incur
in
the
business
as
well

as
some
of
the
below
the
contribution
margin
costs.
Amitesh
talked
about
the
below
contribution
margin
costs.
If
I
were
to
kind
of
look
at
our
own
trajectory
from
here
on
right,
one

of
the
big
spikes
that
we
had
to
do
was
on
the
average
order
value.
It
is
a
key
determinant
as
you
know .
At
the
same
time,
not
all
the
benefits
could
have

been
accrued
during
the
same
period,
when
the
habit
formation
was
being
made.

So,
we
have
started
the
journey .

This
26%
growth
does
not
mean
that
we
are
calling
out
that
we

will
not
grow
further .
We
continue
to
have
the
ambition
to
keep
scaling
the
average
order
value,
as
the
overall
mix
increases,
as
the
consumers
start
moving
their
entire
household

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of

wallet,
a
large
part
of
their
household
wallet
to
us,
which
we
are
seeing
in
the
very,
very
sharp
increase
in
our
GOV
per
user
metrics
also.
So,
from
here

on,
we
believe
that
there
is
enough
room
for
us
to
continue
growing
the
average
order
value
and
monetization
necessarily
follows
immediately
post
that.
Sudheer
Guntupalli:
Got
it,
Rahul.
And
the
second
question

is
on
the
store
addition
front.
I
do
get
your
point
that
at
4.3
million
square
feet
of
dark
store
space,
we
are
not
very
different
from
that
of
our
larger
competitor .
But

if
I
look
at
it,
let
us
say,
having
more
stores
versus
having
fewer
and
larger
stores.
So,
how
do
you
see
the
trade-of f
happening,
especially
in
terms
of
the
density
of
the

network
and
your
ability
to
reach
the
customer
within
that
promised
time
of
10
minutes
to
15
minutes.
So,
I
understand
you
are
focusing
on
a
larger
store
footprint
and
you
have
added

quite

a

bit

of

them

in

the

last

four

months.

But

is

it

not

the

case

that

having

more

number

of

stores

will

necessarily

mean

that

you

are

closer

to

the

customer

and

your
reachability
to
the
customer
would
be
better?
Amitesh
Jha:
Yes,
see,
the
way
we
build
our
network
is
based
on
our
ability
to
deliver
our
orders
for
our
consumer
base
in
under

10

minutes.

And

if

you

look

at

our

metrics

of

whatever

we

have

done

as

benchmarking

internally

as

well,

we

see

that

we

have

an

industry-best

service

promise

for

speed

for

the

end

consumer .

So,

first

of

all

our

network

is

there

that

allows

for

it

to

essentially

happen.

Second

thing

is

that

there

are

various

ways

in

which

you

can

expand

your

network

continuously ,

specifically ,

if
you
want
to
add
a
lot
of
non-grocery
assortment.

One
of
the
ways
is
to
have
larger
stores
versus
smaller
stores.

The
approach
that
we
have
taken
is
t
o
have
larger
stores

so
that
ultimately
there
is
a
basket
benefit
that
also
accrue
because
of
that.

We
will
continue
to
be
on
the
path
and
we
believe
that
the
model
that
allows
ourselves
to

be
larger
store
more
number
of
continuous
cards
as
well
as
making
sure
that
we
are
doing
all
the
deliveries
within
10
minutes
is
a
network
that
we
are
in
already;
and
that

is
the
reason
we
feel
very
extremely
confident
about
as
well.
Sudheer
Guntupalli:
Thanks
Amitesh.
Last
question
to
Rahul.
Any
indication
on
the
monthly
EBITDA
loss
at
Instamart
for
June
month
and
what

would
have
been
the
payroll
increase,
annual
appraisal
cycle
impact
for
Instamart
and
for
the
food
delivery
business
in
this
quarter
compared
to
the
March
quarter?
Rahul
Bothra:
No,
I
think,
we
have

called

out

that

the

overall

increase

that

you

have

seen

below

CM

costs,

a

little

more

than

half

is

actually

due

to

the

appraisal

cycle

and

that

is

something,

which

from

here

on

will
start
giving
us
leverage,
right,
because
that
is
behind
us.
In
terms
of
the
EBITDA,
I
think,
we
have
talked
about
the
contribution
margin
improvement
trajectory
and
remain
steadfast
on
being
able

to
deliver
it
in
the
timeframe
that
we
have
given.
We
have
also
highlighted
that
our
pace
of
expansion
in
the
CM
margin
or
the
CM
margin
negative
reduction
will
be
higher ,
which

means

that

you

should

start

baking

that

in.

In

terms

of

absolute

EBITDA

it

would

be

hard

to

call

out,

right

considering

we

are

still

at

a

very

early

stage

in

the

quarter .

We

still

do

not

know

about

how

much

more

competitive

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19

intensity

is

going

to

increase,

what

is

going

to

be

the

overall

user

additions

that

the

category

is

going

to

see

in

this

quarter .

So,

we

will

remain

a

little

bit

flexible.

So,

do

not

want

to

box

ourselves

into

a

specific

guidance

on

that.

At

the

same

time,

things

which

are

--

Sudheer

Guntupalli:

No

Rahul,

I

think,

I

was

asking

for

the

June

month,

not

July

month.

So,

there

is

a

trajectory

build

up

that

happened

in

March

towards

the

end,
the
losses
would
have
peaked.

And
it
would
have
come
down
over
the
course
of
June
quarter ,
month-on-month.

So,
June
month
is
what

I
am
asking
for,
not
July
month.

Rahul
Bothra:

Directionally ,

June

was

lower

than

April.

And

that

is

because,

as

I

said,

there

is

a

lot

of

leverage

that

has

come

through.

And

as

I

said,

but

at

the

same

time,

do

not

expect

us

to

give

us

specific

guidance

on

it

in

this

current

quarter .

We

want

to

retain

that

flexibility .

Having

said

that,

contribution

margin

is

something

which

is

in

our

control;

we

are

pretty

sure

of

being

able

to

appropriate

that.

Sudheer

Guntupalli:

Fair

enough

Rahul.

Thank

you

and

all

the

very

best.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Vijit

Jain

from

Citigroup.

Please

go

ahead.

Vijit

Jain:

Yes,

hi.

Thank

you

for

the

opportunity .

My

question

first

is,

so,

it

looks

like

non-grocery

share

increase

is

also

significantly

led

by

Maxxsaver ,

is

the
a
ssumption
correct?
And
if
I
try
to
understand,
how
that
is
happening,
essentially ,
if
you
were
under -indexed
to
non-groceries
with
Maxxsaver ,
you
put
a
lot
of
add-to-cart
prompts
for
these
non-grocery
items

and
with
higher
subsidies
there
and
that
explains,
all
the
take
rate
impact
and
everything
that
we
are
seeing
here.
Is
that
accurate
understanding
of
how
you
are
basically
ramping
up
Maxxsaver
and

non-groceries

here?

Amitesh

Jha:

No,

see,

Maxxsaver

actually

helps

grocery

business

a

lot

more.

It

is

a

basket

building

proposition.

And

for

a

lot

of

non-grocery ,

baskets

are

not

built,

right,

the

unit

per
order
for
non-groceries
is
extremely
close
to
one.
So,
it
actually
impacts
grocery
business,
all
the
effort
that
has
gone
into
is
through
higher
assortment,
better
offer
for
the
consumer ,
from
the

sellers

for

all

those

assortment,

is

what

is

actually

leading

to

these

numbers.

Our

assortment

used

to

be

very

small,

if

you

look

at

it

a

year

back.

Right

now

we

are

at

an

industry-leading

assortment

in

those

cases.

Vijit

Jain:

Got

it.

And

my

second

question

is,

so,

you

said

earlier

in

your

comment

that

going

forward

investment

from

ecosystem

players

will

make

Maxxsaver

more

sustainable.

Is

that

referring

to

better

commissions

they

will

pay

you

or

higher

ad

share?

And

if

you

can

talk

about,

what

do

you

believe

is

your

gap

in

terms

of

your

ad

revenues

versus

your

larger

peers?

And

is

there

any

gap

in

the

ad

product

itself

that

you

still

need

to

build

to

kind

of

cover

that

gap?

Amitesh

Jha:

See,

when

I

speak

about
the
ecosystem,
yes,
it
is
investment
from
sellers,
brands,
who
see
that
opportunity
as
well,
as
and
when
consumers
move
channels;
and
this
is
effectively
a
movement
of
channel,
brands
would
want

to
participate
in
it.
And
that
will
lead
to
their

Page
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helping
it
happen
as
well.
Yes,
we
believe
ultimately
that
the
take
rates
will
essentially
go
up

because

of

those

reasons

as

well.

Right

now,

as

Rahul

was

speaking

and

I

spoke

about

it

as

well,

the

initial

stages

are

more

to

make

those

movements

happen

faster .

Sustainable

will

happen,

when
we
have
more
take
rate
from
sellers,
higher
ad
from
brands,
and
that
will
essentially
lead
to
a
movement,
which
is
there.

We
believe
that
there
is
headroom
for
ads
as

well.

I

can't

compare

exactly

the

number

for

the

competition.

But

we

believe

that

our

ads

have

a

headroom

and

we

have

made

a

movement

in

that

and

that

is

a

movement

that

we

will

keep

on

doing

as

well.

Vijit

Jain:

Got

it,

thanks.

My

last

question,

on

the

marketing

spend,

is

it

possible

to

kind

of,

quantify

how

much

of

the

marketing

spend

right

now
is
directed
towards,
just
from
the
driving
downloads,
activations
for
the
standalone
app?
I
know
the
app
has
seen
a
lot
of
traction,
the
user
growth
on
that
looks
pretty
high.
So,

as
that
normalizes,
will
the
marketing
spend
go
down?
Is
that
how
one
should
understand
this?
Amitesh
Jha:
Marketing
spends
on
getting
the
consumer
to
our
platform,
the
way
I
would
want
to

break
it
down
is
brand
and
perf
investment,
rather
than
specifically
related
to
which
platform;
because
we
give
the
flexibility
for
that
to
happen.
If
it
is
the
Swiggy
existing
platform
customers,
if

they
choose
to
interact
on
Instamart,
we
do
not
stop
that
as
well.
So,
the
way
to
think
about
it
is
that,
yes,
we
have
a
higher
proportion,
majority
proportion
of
perf,
lower

proportion

of

brand.

We

believe

that

it

is

the

right

mix,

because

it

allows

us

to

build

an

Instamart

brand

that

drives

a

lot

of

organic

as

well.

And

perf

is

something

that

in
situ
allows
us
to
get
a
lot
more
transactions
for
the
new
customers,
who
are
actually
there
on
the
platform.
So,
I
do
not
want
to
break
it
down
necessarily
into
Instamart

App

versus

Swiggy

App,

we

leave

that

flexibility

to

the

end

consumer .

Vijit

Jain:

Okay ,

sure.

My

question

was

actually

just

on

the

marketing

spends,

whether

it

is

being

directed

more

towards

the

Instamart
standalone
app.

But
yes,
thank
you
so
much.

Moderator:

Thank
you.

The
next
question

is
from
the
line
of

Gaurav
from
Axis.

Please
go
ahead.

Gaurav
Malhotra:

Yes,
hi.

Good
evening,
everyone.

Just
wanted
to
check
on
a
couple
of
things.

Firstly ,
on
quick
commerce.

So,
while
we
understand
that
the
capacity ,
which
has
been
built,
is
good
enough
to
almost
double
the
GOV .
But

the
competition
in
terms
of
just
the
footprint
densification
is
going
sort
of
much,
much
ahead.
So,
what
do
you
think
of
the
different
strategies
this
way?
Do
you
think
that
there
is

a
risk
that
you
sort
of
are
leaving
out
some
white
spaces
in
terms
of
expansion,
whether
it
could
be
expectations
or
--
Sriharsha
Majety:
Hey,
hi,
Harsha
here.
I
think
ultimately ,
as

Amitesh
has
already
talked
about,
there
is
a
certain
specific
TAM
in
the
top
cities
that
we
have
already
expanded
into,
which
we
are
most
excited
about
growing
our
franchise
quite
strongly .
As

for
densification,
ultimately ,
the
question
is,
how
does
densification
help?
Densification
helps
in
your
ability
to
serve
the
consumers
faster .
And
as
we
would
already
mentioned,
we
continue
to
have
a
good
advantage

in
how
we
serve

Page
11
of
19

our
consumers
on
delivery
experience
and
we
are
not
going
to
let
that
be
a
reason
for
consumers
to
not
be
happy
with

Instamart.

So,

the

moment

for

us

is,

how

are

we

serving

our

consumers?

We

do

not

see

this

coming

in

the

way

of

serving

our

consumers.

Gaurav

Malhotra:

Just

on

the

food

part,

right,
we
obviously
are
seeing
activity ,
there
is
new
competition,
right,
and
also
the
existing
guys
are
trying
to
sort
of
ramp
up
to
push
up
the
growth
a
little
bit.
Are
we

seeing
some
sort
of
higher
competitive
intensity
in
say,
couponing,
marketing?
Have
you
started
to
see
that
on
the
food
delivery
side?
Rohit
Kapoor:
So
far
there
have
been,
as
you
know ,
there

have
been
talks
about
one
of
the
players
entering
the
market,
that
has
not
happened
yet.
But
in
terms
of
just
overall
competitive
intensity
in
the
market,
last
quarter
was
as
competitive
as

ever,
right,
but
it
was
nothing
unusual,
I
will
say.

Gaurav
Malhotra:

But
do
you
think
that
in
the
quest
to
sort
of
push
up
the
growth,
even
now
you
are
not
seeing

any
sort
of
change
versus,
say,
1Q
in
terms
of
the
underlying
competitive
trend?
Rahul
Bothra:
I
think
what
I
can
answer
is
that
from
our
perspective,
given
the
nature
of
this
category ,

I
think
category
creation
happens
across
players,
right.
So,
for
us,
it
is
very
clear
that
we
will
want
to
continue
to
experiment
and
expand
into,
for
example,
affordability
using
the
99
Store

launch,
right
or
on
speed,
which
is
through
Bolt.
So,
irrespective
of
competitive
incentive,
I
think,
the
responsibility
of
expansion
of
the
market,
because
if
you
look
at
we
have
come
in
at

about

18.8%

GOV

growth,

we

love

to

see

this

trend

slightly

higher

in

the

future

quarter .

This

was

our

second

highest

growth

quarter

in

the

last

two

years,

I

think,

or

eight

or

nine

quarters,

but

we

love

to

see

this

higher .

So,

that

hunger

is

there

in

the

team

to

continue

to

push

the

boundaries

there.

It

helps

that

we

remain

in

the

competitive

category

where
nothing
is
taken
for
granted,
right?
We
show
up
every
day
and
do
our
best.
But
just
to
tell
you
in
terms
of,
if
you
are
asking
me
if
this
AMG
from

a
competitive
standpoint
was
very
different
from
the
last
AMG
or
the
last
OND
or
the
last
JFM,
I
would
not
say
so.
The
intensity
was
pretty
much
similar .
Gaurav
Malhotra:
Just
a

last
question
on
Bolt,
you
mentioned
that,
in
terms
of
order
volume
it
is
upwards
of
10%.
So,
from
a
GOV
perspective,
how
do
we
think
about
this?
Obviously ,
it
is
coming
with

slightly

lesser

AOV ,

but

are

you

seeing

a

higher

frequency

over

there?

Rohit

Kapoor:

Look,

Bolt

has

remained

in

the

range

of

10%

to

12%

order

contribution

and

what

we

are

seeing

here

is,
it
has
only
a
very
limited
sort
of
impact
on
AOV ,
right.
So,
at
a
platform
level
it
is
not
significantly
dilutive,
right.
On
the
other
hand,
because
the
delivery
radius
is

much

lower ,

the

delivery

costs

are

lower ,

so

the

economics

are

actually

quite

close

to

the

platform

average.

There

is

no

compromise

on

that.

Today ,

we

do

not

monetize

anything

on

Bolt.

For

example,
either
from
the
restaurant
side
or
from
the
partner
or
customer
side
Bolt
operates
from
a
monetization
angle
similar
to
the
platform.
So,
those
opportunities
exist
in
the
future
once
we
have

created

enough

love

for

the

service.

But

it

is

not

something

that

we

are

within

Page

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of

19

the

range

that

is

operating,

even

let

us

say,

it

was

5%

point
higher
would
I
worry
about
the
impact
on
managing
contribution
margin
because
of
that,
I
think,
that
is
not
the
situation.
Gaurav
Malhotra:
Just
one
last
question,
a
little
bit
tangential,
right,

in
the
U.S.
we
are
seeing
some
food
delivery
companies
alluding
to
the
impact
of
certain
medications
have
on
the
eating
out
sort
of
frequency
or
ability
of
users.
Is
that
something,
which

you
think
can
sort
of
impact
here
as
well?
Sriharsha
Majety:
Harsha
here,
honestly
even
from
our
conversations
with
players
in
the
U.S.,
it
hasn' t
impacted
even
them
in
a
big
way.
So,

I
think,
the
answer
here
is
wait
and
watch.

Gaurav
Malhotra:

Thank
you.

Rohit
Kapoor:

I
think
this
is
one,
where
probably
the
impact
is
further
ahead
on
the
hype
cycle
than
reality .

Gaurav

Malhotra:

Thanks.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Aditya

Soman

from

CLSA.

Please

go

ahead.

Aditya

Soman:

Yes,

hi.

Two

questions

for

me.

Firstly ,

your

competitor

is

moving

to

an

inventory

model.

Do

you

think

that

confers

them

any

sort

of

substantive

advantage,

or

any

plans

from

your

perspective

to

change

the

way

you

manage

your

inventory?

And

the

second

question

is

on

your

rider

apps.

So,

if

today

are

the

apps

on

the

rider

side

completely

different

for

Instamart

and

for

food

delivery ,

or

do

you,

or

is

there

an

overlap

and

do

you

see

any

advantage

in

that

overlap

if

there

is?

Thanks.

Rahul

Bothra:

Sure.

See

first

on

the

current

model

that

we

have,

we

work

with

sellers.

Our

seller

partners

are

our

network.

Currently

due

to

the

overall

domestic

ownership

that

exists

in

the,

we

cannot

do

an

inventory-led

model,

right.

Having

said

that,

if

you

look

at

since

our

IPO

time

our

domestic

ownership

has
continuously
kept
increasing.
So,
we
have
more
than
doubled
our
domestic
ownership
to
now
crossing
40%
in
a
very
short
time,
with
increased
participation
of
domestic
fund
houses.
So,
there
could
be

a
natural
evolution
that
at
some
point
in
time
in
the
future,
we
may
consider
our
ability
to
also
open
up
the
inventory-led
business
model.

In
terms
of
the
overall
benefit
of
that

model,
we
do
expect
that
to
have
an
accretion
of
roughly
50
basis
points
to
70
basis
points.
So,
it
is
not
like
meaningfully
very
high
for
us
to
make
any
inorganic
moves.

At
the
same
time,
at
an
appropriate
time,
depending
on
our
ability
to
do
any
action
on
this,
we
will
come
back
to
you.
Aditya
Soman:
Okay .
And
your
rider
app
--
Rohit

Kapoor:

On

the

delivery

partner

--

Aditya

Soman:

Yes.

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of

19

Rohit

Kapoor:

Yes,

on

the

rider

app,

we

have

a

unified

app.

It

is

the

same

app,

which

is
used
for
both
Food
and
Instamart.
Having
said
that,
the
riders
for
Instamart
are
almost
now
exclusive
to
Instamart.
So,
there
is
a
little
bit
of
overlap
and
cross
usage.
But
Instamart,

given
the
scale
and
the
prominence
it
has,
has
a
delivery
network,
which
is
dedicated
to
Instamart.
But
both
are
separate
things.
If
your
question
was
more
around
is
the
network
separated,
the

answer

is

to

a

large

extent,

yes,

right.

But

in

the

sense

of

the

app,

which

is

used

to

both

recruit

onboard

and

communicate

with

the

delivery

partners,

it

is

the

same

app

with
different
interfaces
for
Instamart
and
Food,
where
it
needs
to
be.
Aditya
Soman:
I
understand,
sir.
In
some
ways,
it
is
like
the
combined
app,
right,
where
you
will
have
a
different

tab,
maybe
fo
r
rider
platform.
Rohit
Kapoor:
That
is
correct.
Aditya
Soman:
Understand.
Rohit
Kapoor:
That
is
correct.
Aditya
Soman:
Understand.
And
then
could
the
riders,
I
mean,
at
the
same
time,

they

may

not

be

on

both

platforms,

but

could

the

same

riders

then

still

be

on

both

the

platforms

at

different

points

of

time?

Rohit

Kapoor:

They

need

to

go

through

a

bit

of
a
process
to
shift
between
Food
and
Instamart.
But
having
said
that,
look,
the
reality
of
this
space
also
is
that
gig
workers
work
across
platforms,
right?
Many
of
them.
So,
that

is
a
fairly
natural
phenomenon
in
this
model.
Aditya
Soman:
All
right.
That
is
very
useful.
Thank
you.
Moderator:
Thank
you.
The
next
question
is
from
the
line
of
Rishi
Jhunjhunwala
from
IIFL.

Please

go

ahead.

Rishi

Jhunjhunwala:

Yes,

a

couple

of

questions

on

the

quick

commerce

side.

Firstly ,

if

you

can

remind

us

in

terms

of

the

contribution

margin

breakeven

in

QC,

I

think,

you

mentioned

December

this

year

or

March

next

year.

Does

that

still

hold

true?

And

in

case

the

competition

eases

off

dramatically

over

the

next

six

months,

the

potential

benefit

from

lower

promotional

expenses,

are
you
going
to
use
it
to
try
and
expand
some
of
the
market
sharing
initiatives
that
you
are
taking
and
keep
the
trajectory
of,
or
the
target
of
breakeven
intact,
or
you

can
potentially
reach
that
earlier
as
well.
Rahul
Bothra:
So,
no,
our
guidance
was
between
say
December
to
June
2026
quarters,
so
that
is
something
which
we
had
laid
out
in
the
previous

call
and
we
are
maintaining
that
guidance.
So,
as
you
have
seen,
that
journey
has
already
begun.
In
terms
of,
whether
competitive
action
reduces
say,
the
intensity
of
discounting
or
spending
in
the

and
how
we
are
going
to
use
it,
I
think,
it
is
more
a
point
in
time
decision
that
we
will
make
looking
at
the
overall,
our
ability
to
grow

Page
14
of

faster
than
competition.

So,
it
is
very
hard
for
us
to
crystal-ball

today ,
how
we
will
use
that
additional
margin,
whether

we
will
bank
it
or
reinvest
it.

Rishi
Jhunjhunwala:

Got
it.
And
second
question
is,
if
we
look
at
the
contribution
loss
per
order
as
of
this
quarter
was
close
to
around
Rs.
28,
there
is
a
Rs.
10
increase
in
revenue

per
order
and
a
similar
or
a
Rs.
9
increase
in
the
direct
cost
per
order .
If
we
were
to
take
it
down
to
zero
in
the
next
three
quarters
to
five
quarters,

just
trying
to
understand
which
part
whether
revenue
per
order
or
cost
per
order
will
be
the
bigger
determinant
or
driver
of
that.
Rahul
Bothra:
So,
it
is
two
quarters
to
four
quarters,

because

we

have

in

terms

of

our

guidance.

So,

that

is

first.

So,

I

think,

both

the

monetization

on

the

take

rate

side,

you

will

see

that

improving.

And

also

there

is

the

leverage

on

the

fixed

cost

and

the

operating

cost

side

due

to

the

basket

building

that

we

have

been

able

to

both

demonstrate

in

the

previous

quarter

as

well

as

going

forward.

Rishi

Jhunjhunwala:

Okay .

All

right.

Thank

you.

Moderator:

Thank

you

.

The

next

question

is

from

the

line

of

Kunal

Vora

from

BNP

Paribas.

Please

go

ahead.

Kunal

Vora:

Yes.

Thanks

for

the

opportunity .

On

food

delivery ,

how

should

we

look

at

the

margin

trajectory

from

here?

And

this

quarter

you

saw

a

dip.

Was

it

largely

because

of

low

rider

availability

and

linked

costs?

The

first

one.

Rohit

Kapoor:

Yes.

So,

this

is

Rohit

here.

On

the

dip

in

this

quarter ,

it

is

explained

largely

by

the

seasonality ,

right?

This

happens

every

Q1.

If

you

look

at

last

Q1

also,

it

had

a

similar

impact.

This

is

a

season,

where

the

rider

availability

is...

structurally

we

do

not

see

issues

with

rider

availability .

It

is

a

season

where

harvest

season

is

there

and

some
other
impact
comes
through
and
we
do
have
to
invest
a
little
bit
more
on
the
rider
side
to
keep
the
fleet
in
line
with
demand.
We
expect
this
to
correct
back

and
we
continue
to
stay
on
our
guidance
for
a
5%
EBITDA
margin
in
the
medium-term.

Kunal

Vora:

And
like
the
time
frame
for
the
medium-term
will
be?

Rohit

Kapoor:

We
are
not

guiding

to

a

particular

quarter

on

this

right

now.

Kunal

Vora:

Okay ,

understood.

Also,

can

you

share

your

thoughts

on

the

new

players

entering

quick

commerce

and

what

are

the

challenges

they

face,

and

is

that

a

risk?

Aggression

from

new

players,

is

that

a

risk

for

your

contribution

breakeven

over

the

next

three

to

five

quarters?

Amitesh

Jha:

Yes.

It

is

Amitesh

here.

See,

I

think,
this
category
will
keep
on
seeing
a
lot
of
heightened
competition.
We
saw
one
significant
player
entering
last
year.
We
see
another
significant
player
entering
right
now.
If
you
look
at
the

history
also,
it
has
not
had
a
significant
impact
on
the
growth
of
the
top
players
in
the
quick
commerce,
because
it
is
a
very
important
hyperlocal
assortment
play,
plus
the
right
kind

of
offer
for
that
particular
hyperlocal
area,
plus
building
a

Page

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of

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supply
chain
that
can
address
hyperlocal,
which
is
like
three
kinds
of
capabilities
that
are
harder
to

build.

So,

we

will

keep

on

seeing

a

lot

of

competition

coming

in.

Their

ability

to

make

an

inroad

in

the

market

will

be

lesser .

So,

the

way

to

think

about

it

is

that
it
is
not
the
defining
factor
of
heightened
competition.
We
still
believe
the
top
players
in
this
particular
area
will
only
determine
the
investment
in
this
market
as
well
as
our
ability

to
respond
to
that.
Kunal
Vora:
Understood.
So,
irrespective
of
the
competitive
intensity ,
you
still
feel
confident
that
the
three
quarters
to
five
quarters
you
should
be
able
to
breakeven?
Amitesh
Jha:
Absolutely .

Kunal

Vora:

And

lastly ,

on

platform

innovations,

the

losses

have

increased,

while

revenue

has

decreased.

Can

you

help

me

understand

this?

Rahul

Bothra:

Yes,

so

largely

the

investment

there

is

on

our

initiative

around

the

10

minute

version.

Yes.

Kunal

Vora:

How

was

that?

How

is

that

done?

Rahul

Bothra:

So,

this

is

our

initiative,

where

we

have...

So,

Harsha,

you

would

like

to

add?

Sriharsha

Majety:

Yes.

Hi,

Harsha

here.

It

is

still

kind

of

month

six

for

the

category .

I

think

we

are

in

an

early

stage

of

iteration

over

here.

We

are

taking

a

measured

approach,

having
a
certain
narrow
presence
to
understand
with
the
critical
mass
of
consumers,
how
to
bring
more
consumer
love
into
the
offering,
and
how
the
economics
work.
So,
I
think,
early
news
is

that,

there

is

an

incrementality

to

the

overall

food

delivery

category .

How

exciting

is

this?

How

does

this

business

play

out

over

the

future?

Both

like

repeat,retention-wise

and

economics

wise

is

in

the

journey
of
discovery

that
we
are
still
on.

Kunal

Vora:

Understood.

That

is

it

for

me.

Thank

you.

Moderator:

Thank

you.

The

next

question

is

from

the

line

of

Nikhil

Choudhary

from

Nuvama.

Please

go

ahead.

Nikhil

Choudhary:

Yes,

thanks

for

the

opportunity

and

congratulations

on

the

improvement

on

the

AOV

side.

Harsha,

in

the

past,

we

have

seen

improvement

in

dark

store

profitability .

It

is

led

by

two

factors.

One

is

higher

AOV

and

second

is

higher

throughput

per

dark

store,

right?

While

AOV

increased

this

quarter ,

we

have

seen

a

significant

dip

in

throughput

per

dark

store.

Is
it
some
trade-of f,
which
happened
this
quarter?
Why
I
am
asking
it,
this
is
because
of
some
of
the
change
in
policy
in
last
quarter
we
have
seen
on
your
platform.
That

you
started
charging
surge
fees,
green
fees
per
order
below
Rs.
449,
Rs.
499.
So,
in
a
way,
is
it
fair
to
assume
that
customers
clubbed
some
of
the
order ,
which
led
to

higher

AOV ,

but

lower

order

per

customer

or

lower

platform

frequency?

Abhishek

Agarwal:

Hi

Nikhil,

this

is

Abhishek.

So,

two

reasons,

one

is

of

course,

we

added

a

lot

of

stores

in

the

last
quarter
and
that
too
significantly
back-ended.

As
we
have
written
in
the
shareholder
letter

Page
16
of
19

also,
almost
150
stores
were
added
in
March
itself.
What
has
happened

is
that
the
full
impact
of
those
stores,
which
of
course
are
not
contributing
as
many
orders
for
the
full
quarter
has
dragged
down
that
number .
It
is
just
that.
The
second
is,

of
course,
we
have
also
let
go
of
some
low
AOV
orders
overall.
And
then
the
third
impact
that
you
mentioned
is
around
cart-consolidation
because
of
Maxxsaver .
All
three
taken
together
is
the

reason

why

you

see

that

the

number

in

itself

is

sub-thousand

and

which

also

gives

us

the

capacity

to

be

able

to

grow

without

needing

too

many

more

stores.

Nikhil

Choudhary:

Got

it.

Fair
enough.
Now
moving
to
improvement
in
contribution
margin.
The
16%
increase
in
AOV
should
have
led
to
a
100
basis
point
to
150
basis
point
increase
in
your
contribution
margin,
right?
Assuming

that
is
a
Rs.
55
of
the
delivery
cost
on
Rs.
550
-
Rs.
540
of
the
AOV
side,
right.
So,
is
it
fair
to
say
that
a
large
part
of
this
benefit

is
now
transferred
to
Maxxsaver
users,
who
will
generate
that
habit
for
now
and
that
will
continue
at
least
for
the
coming
quarter
for
the
habit
to
sustain?
Amitesh
Jha:
See,
for
the

initial

stages

in

Maxxsaver ,

habit

formation

will

require

some

incentivization

for

the

consumer

that

we

were

doing

at

that

point

of

time.

Otherwise,

a

hockey-stick

like

this

would

not

happen.

That

said,

we
have
seen
improvement
in
the
Maxxsaver
order
profitability
itself
over
the
quarter
in
question.
And
we
believe
with
the
ecosystem
investments,
ultimately
our
need
for
investing
for
the
consumers
will
absolutely
go

down.

And

you

will

see

that

in

the

results

for

the

subsequent

quarters

as

well.

It

is

already

on

a

downward

trend;

it

will

continue

on

that.

Nikhil

Choudhary:

Got

it.

Thanks

a

lot

for

that.

The

last

one

on

Bolt

side,

last

quarter

we

highlighted

the

contribution

of

Bolt

being

12%.

This

time

you

mentioned

it

is

higher

than

10%.

So,

have

you

seen

some

decline

in

overall

contribution

in

Bolt?

Was

there

some

seasonality

or

this

is

just

a

normal

quarterly

anomaly

and

you

expect

Bolt

to

bounce

back

going

forward?

Rohit

Kapoor:

I

think

it

has

stayed

in

the

same

range.

I

think

what

we

have

done

in

Bolt

over

the

last

quarter

is,

we

have

improved

the

consumer

experience

a

lot

more,

right.

So,

this

is

a

highly

operationally

complex

service

to

run.

So,

we

have

worked

on

two

things.

One

is

working

a

lot

with

restaurant

partners

to

improve

the

readiness

time

of

items,

right,

to

cut

bad

orders.

So,

there
is
a
certain
part
of
the
orders,
which
were
not
very
aligned
to
the
speed
promise,
we
cut
it
out
and
also
from
our
side
we
improved
delivery
operations
to
improve
the

overall
compliance.
So,
I
think,
this
quarter
we
have
taken
to
just
improve
the
offering
to
a
far
more
loved
offering
from
the
consumer
side
and
the
results
are
showing.
But
the
OC

remains

range

bound.

We

will

also

keep

it

to

a

certain

range

given

the

nature

of

the

service

and

our

ability

to

operate,

because

it

also

cuts

out

LM

(last

mile),

right?

So,

the

way

Bolt

operates

it,

it

operates

in

a

certain

LM

and

the

density

will

grow

over

time

there.

Nikhil

Choudhary:

Got

it.

Excellent.

Thanks

a

lot

for

that.

The

last

one

from

my
side
is
on
SNACC.
SNACC
side,
I
think,
between
the
Bolt
and
the
SNACC,
within
between
the
Bolt
10
minute
and
your
own
cloud
kitchen
SNACC
app.
Are
we
of
belief
and

going

more

aggressive

on,

let

us

say,

third-party

10-minute

delivery ,

while

our

competition

is

more

focusing

on

their

own

10

minute

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17

of

19

cloud

kitchen

delivery?

Is

it

fair

understanding

that

we

are

more

focused

on

the

restaurant-led

model,

while

they

are

more

on

their

own

cloud

kitchen-led

model?

Sriharsha

Majety:

No,

I

think,

at

this

point,

we

do

not

have

any

biases
around
this
is
higher
than
that.
I
think
it
is
a
journey
of
exploration
for
us.
We
believe
that
if
you
are
able
to
actually
make
restaurants
deliver
faster ,
that
model
overall

food
delivery
through
restaurants
is
a
confirmed
one.
We
believe
that
to
push
the
boundary
there,
it
is
important
to
continue
getting
faster
and
faster .
But
the
case
for
SNACC
is
a
different

one.

It

opens

up

an

entirely

new

consumption

o

ccasion

for

low

involvement

snacking

and

eats

of

that

type.

So,

we

do

not

have

any

specific

biases

internally

on

this

or

that.

It

just

happens

to

be

that

both

of

them

are

at

different

stages

of

discovery .

Bolt

is

a

relatively

more

deterministic

operation,

where

there

is

a

certain

operating

model

and

you

use

it

to

grow

your
business
incrementally ,
but
SNACC
is
a
wholly
different
zero-to-one.

So,
our
investments
in
each
of
these
are
going
to
be
just
a
function
of
the
stage
that
they
are
in.
So,

we

are

continuing

to,

like

I

said,

we

have

a

presence

in

two

cities

and

we

are

going

to

continue

playing

to

understand

what

the

consumer

love

markers

are

and

how

the

economics

are

going

to

shape

up

eventually .

Nikhil

Choudhary:

Got

it.

Makes

sense.

Thanks

a

lot

and

good

luck

for

the

coming

period.

Moderator:

Thank

you.

Ladies

and

gentlemen,

this

will

be

the

last

question,

which

is

from

the

line

of

Ashwin

Mehta

from

Ambit

Capital.

Please

go

ahead.

Ashwin

Mehta:

Hi.

Thanks

for

the

opportunity .

Two

questions.

One,

as

FCF

burn

over

the

last

two

quarters

almost

Rs.

2,800

crores.

Our

cash

is

more

or

less

2x

of

that.

So,

would

we

need

to

raise

equity

or

maybe

monetize

our

Rapido

stake

to

beef

up

cash?

Rahul

Bothra:

So,

see,

we

have

sufficient

cash

balance,

right?

I

mean

Rs.

5,500

crores

is

not

a

small

balance.

At

the

same

time,

we

have

outlined

our

overall

ability

to

not

only

make

the

investment

choices
that
we
are
making
on
the
Instamart
business,
which
is
both
for
growth
as
well
as
reigning
in
the
contribution
margin
profitability
right,
which
is
again
scale-led
and
maturity-led.
So,
from
here

on,
we
do
have
a
strong
balance
sheet.
We
talked
about
the
Rapido
investment
and
maybe
if
I
can
invite
Harsha.
Sriharsha
Majety:
Hi.
Harsha
here.
That
is
a
very
parallel
conversation,
which

we
are
having
based
on
developing
conflict
of
interest.
When
we
got
into
Rapido
maybe
2.5
years
back,
they
were
a
mobility
player
doing
really
well.
We
wanted
to
partner
with
them
on

that
journey
and
even
as
early
as
that
we
have
had
some
conversations
around
potentially
doing
a
partnership
in
food
delivery
also.
Unfortunately
that
did
not
materialize
and
they
have
decided
to
get

in
the
business
themselves.

Now ,
that
is
just
a
wedge
that
has
made
us
take
notice
of
the
conflict
and
therefore,
we
are
planning
to
go
separate
ways
on
this.

Rahul

Bothra:

Yes.

So,

to

answer

your

question

we

have

to

make

the

investments

and

we

will

keep

you

updated

on

a

quarterly

basis

in

terms

of

going

forward

position.

Ashwin

Mehta:

Yes,

and

thanks

for

the

clarification.

So,

essentially ,

we

do

not

need

to

raise

the

equity .

And

secondly ,

in

terms

of

the

order

growth

in

QC

at

just

about

4%

that

is
about
an
eight-quarter
low
in
terms
of
order
growth.
So,
what
cannibalization
of
your
normal
orders
to
Super
Saver
was
so
aggressive
because
the
assortment
increase,
as
you
already
mentioned,
should
have

given

you

one

per

unit

kind

of

orde

r

increase.

So,

I

just

wanted

to

kind

of

understand

that

better .

Amitesh

Jha:

See

of

course,

when

somebody

is

ordering

in

Maxxsaver ,

their

basket

size

for
the
month
or
whatever ,
they
spend
for
the
month
would
not
go
up,
it
will
still
be
at
the
same
level.
So,
it
is
not
100%
cannibalized,
but
there
is
definitely
a

consolidation

of

orders

that

happens

because

of

Maxxsaver .

See

in

general,

the

reason

why

we

look

at

order

per

day

is

because

we

believe

that

leads

to

higher

retention

as

well.

What

we

have
seen
is
that
Maxxsaver
more
than
sufficiently
compensates
for
that.
The
people
who
use
Maxxsaver
have
higher
retention
in
general.
So,
our
belief
is
that
this
is
the
right
way
to
approach

both

basket

building

for

the

end

consumer ,

making

sure

that

they

get

great

offers

as

well

as

making

sure

that

they

come

back

to

our

platform

again

and

again.

So,

yes,

that

is
one
thing
that
we
wanted
to
do.
And
the
other
thing
is,
we
also
did
not
want
to
have
a
lot
of
low
AOV
orders
that
were
actually
detrimental
to
our
overall

P&L

as

well

as

the

quality

of

the

user

and

that

is

one

choice

that

we

did

in

the

same

quarter .

And

that

is

the

reason

you

see

a

double

impact

of

that.

And
which
is
what
I
said,
this
has
essentially
bottomed
out,
we
will
see
a
higher
number
going
forward.
Ashwin
Mehta:
Sure.
Thanks
a
lot
and
all
the
best
for
the
future.
Moderator:

Thank

you.

As

that

was

the

last

question,

ladies,

and

gentlemen,

we

will

conclude

the

question-and-answer

session

now.

On

behalf

of

Swiggy

Limited,

we

conclude

this

conference.

Thank

you

for

joining

us

and

you

may

now

disconnect

your

lines.

Thank

you.

Page

19

of

19

Call: Nov 2025

SWIGGY LIMITED

(formerly known as "Swiggy Private Limited" and "Bundl Technologies Private Limited") | CIN: L74110KA2013PLC096530

www.swiggy.com | support@swiggy.in | T: 080- 68422422

Registered & Corporate Office: No.55 Sy No.8 -14, Ground Floor, I&J Block, Embassy Tech Village, Outer Ring Road, Devarbisanahalli, Bengaluru - 560103

REF: SWIGGY /SE/202 5-26/67

November 06, 2025

To

The Deputy Manager

Department of Corporate Services

BSE Limited

PJ Towers, Dalal Street

Mumbai - 400001

Scrip Code: 544285 To

The Manager

National Stock Exchange of India

Limited Exchange Plaza, Plot No. C/1, G Block Bandra -Kurla Complex,

Bandra (E), Mumbai 400051

Symbol: SWIGGY

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call for Analysts and Investors held on

Thursday, October 30, 2025.

Ref: Disclosure pursuant to Regulation 30 read with Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015. Pursuant to the provisions of Regulation 30 read with

Part A of Schedule III of the SEBI (Listing

Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of

the Earnings Conference Call for Analysts and Investors held on Thursday, October 30, 2025.

The said transcript is enclosed herewith and has also been hosted on the website of the company.

The link for access ing the transcript is provided below:

<https://www.swiggy.com/corporate/investor -relations/financial -results/>

This disclosure is being submitted in compliance with the aforementioned regulation and is for your information and records.

Thanking you,

Yours faithfully,

For Swiggy L imited

Cauveri Sriram

Company Secretary & Compliance Officer

Swiggy

Limited

Q2

FY26

Earnings

Conference

Call

October
30,
2025

M
ANAGEMENT
:

S
RIHARSHA

M
AJETY

—

M
ANAGING

D
IRECTOR

AND

G
ROUP

C
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E
XECUTIVE

O
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—

S
WIGGY

L
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—

C
HIEF

F
INANCIAL

O
FFICER

—

S
WIGGY

L
IMITED

R
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K
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C
HIEF

E
XECUTIVE

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FFICER

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M
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WIGGY

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A
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C
HIEF

E
XECUTIVE

O
FFICER
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I
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—

S
WIGGY

L
IMITED

A
BHISHEK

A
GARWAL

—

H
EAD

O
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I
NVESTOR

R
ELATIONS

—

S
WIGGY

L
IMITED

Page

1

of

19

Moderator:

Ladies

and

gentlemen,

good

day,

and

welcome

to

the

Swiggy

Limited

Q2

FY

'26

Earnings

Conference

Call.

As

a

reminder ,

all

participant

lines

will

be

in

the

listen-only

mode

and

there

will

be

an
opportunity
for
you
to
ask
questions
after
the
presentation
concludes.
Should
you
need
assistance
during
this
conference,
please
signal
an
operator
by
pressing
star
and
then
zero
on
your
touchtone
phone.
Please

note

that

this

conference

is

being

recorded.

I

now

hand

the

conference

over

to

Mr.

Abhishek

Agarwal,

Head

of

Investor

Relations.

Thank

you,

and

over

to

you,

sir.

Abhishek

Agarwal:

Thank

you,

operator .

Hello,

everyone,

and

welcome

to

the

second

quarter

FY

2026

Earnings

Call

of

Swiggy .

Our

financial

results

and

shareholders'

letter

have

been

published

on

the

Exchanges,

and

the

information

pack

has

been

placed
in
the
Investor
Relations
section
of
our
website,
[www .swiggy .com](http://www.swiggy.com).

We
would
like
to
inform
you
that
the
management
can
make
certain
comments
on
this
call
that
one
could
deem
forward-looking
statements.

Specifically ,

the
financial
guidance
and
pro
forma
information
that
we
will
provide
on
this
call
are
management
estimates
based
on
certain
assumptions
and
have
not
been
subjected
to
any
product
review
or
examination
procedures.

Swiggy

does

not

guarantee

these

statements

and

is

not

obliged

to

update

them

at

any

time.

Joining

me

on

the

call

today

are:

Sriharsha

Majety

—

MD

and

Group

CEO,

Rahul

Bothra

—

our

CFO,

Rohit

Kapoor

—

CEO

of

Food

Mar

ketplace,

and

Amitesh

Jha

—

CEO

of

Instamart.

With

this

brief

preamble,

let

us

start

the

Q&A.

Operator ,

you

can

go

ahead

please.

Moderator:

Our

first

question

comes

from

the

line

of

Sachin

Salgaonkar

from

Bank

of

America.

Sachin

Salgaonkar:

Thank

you

for

the

opportunity .

I

have

three

questions.

First

question

is

on

the

QIP.

I

know
its
early
stages
and
you're
still
waiting
for
approval
from
management.

But
broadly ,
I
want
to
understand
the
thought
process
in
terms
of
how
the
incremental
capital
will
be
used.
For
example,

will

there

be

any

change

in

strategy

towards

your

dark

store

additions,

which

we

see

after

Q4,

it

has

been

a

slow

addition

out

there?

Or

is

there

an

intention

to

further

expand

into
different
areas?
So,
would
love
to
understand
and
get
an
update
in
that
direction?
Rahul
Bothra:
Sachin,
Rahul
here.
So,
if
you've
seen
over
the
last,
say,
three
quarters
and
post
our

IPO,
the
quick
commerce
business
is
where
most
of
our
investments
have
gone.
The
food
delivery
business,
of
course,
has
continued
its
path
of
profitable
growth
and
currently
is
at
a
run
rate

of
INR
1,000
crores
on
an
annual
basis.

And
in
quick
commerce,
we
have
seen
now
this
is
the
third
continuous
quarter
of
us
delivering
100%
plus
GOV
growth
and
this
is
way

over
some
of
the
expectations
that
we
had
back
in
the
days
when
we
were
expecting
a
50%
-
60%
kind
of
growth
trajectory .

Page

2

of

19

We've

also

guided
and
reiterated
our
guidance
of
being
able
to
demonstrate
contribution
margin
profit
ability
by
June
2026
quarter .
We've
also
demonstrated
even
in
the
current
quarter ,
how
we've
been
able
to
move
the

contribution

margin

profile.

So,

we

feel

very

good

about

our

ability

to

finance

the

growth

opportunity ,

the

investments

that

we

have

made

and

continue

to

get

operating

leverage

from

those

investments.

Having

said

that,
we
have
seen
continued
investments.

This
sector
has
continued
to
attract
a
lot
of
investments.

Both
new
and
legacy
players
are
growing
and
getting
investments.

So,
this
is
a
conversation
that

we
want
to
have
with
the
Board
to
be
able
to
raise
this
additional
capital,
which
would
be
more
towards
growth
as
well
as
strategic
reserves
that
we
want
to
use
on
a

going
forward
basis.
Of
course,
more
on
this
once
we
get
the
approval,
but
this
is
the
intent
of
calling
this
particular
board
meeting.
Sachin
Salgaonkar:
Got
it,
Rahul.
Just
a
follow-up
on

this.

Clearly ,

we

do

have

a

visibility

and

now

a

comfort

that

you

guys

should

be

able

to

come

to

a

positive

contribution

margin

by

June

2026.

But

again,

from

that

perspective,

any

thoughts
of
introducing
a
guidance
towards
an
EBITDA
breakeven?

Because
to
your
point,
the
sector
continues
to
attract
a
lot
of
investments
and
again,
any
comfort
what
investors
would
get
that
there
will

be

no

further

fundraises

in

that

direction

and

the

path

towards

profitability

will

be

clearer

despite

being

a

slightly

higher

competition

in

terms

of

what

you

are

seeing

out

here?

Rahul

Bothra:

Yes.

So,
Sachin,
as
you've
seen,
we
have
very
strong
cash
reserves.

And
as
I
said,
the
food
delivery
business
continues
to
accrue
cash
reserves
positively .

With
the
Rapido
stake
sale,
which
we
are

expecting

in

this

quarter ,

the

cash

proceeds

to

come

in,

we

anyway

sit

on

a

very

strong

balance

sheet.

So,

this

additional

fundraise,

as

I

said,

is

going

to

be

used

more

towards

growth

capital.

We

are

also

a

very

innovative

company .

We

have

been

pioneers

of

launching

the

services,

whether

it's

food

delivery

or

quick

commerce

and

continue

to

experiment

on

the

side

to

need
some
of
the
innovation
capital
going
forward
for
some
of
the
new
experiments
that
we
do.

So,
this
will
definitely
bolster
our
overall
cash
results
and
put
us
in
a
very,
very

healthy

position.

We

don't

expect

the

need

to

raise

any

further

capital

if

and

when

we

were

to

raise

this

additional

QIP.

Sachin

Salgaonkar:

Thank

you

for

that

clarity .

Second

question

is

on

competition.

We

see

one

of

your

competitors

raising

some

capital

and

a

large

traditional

player

adding

600-plus

kind

of

dark

stores.

So,

since

the

last

quarter

to

now,

have

you

seen

an

increase

in
competition
in
quick
commerce?
Amitesh
Jha:
Sachin,
this
is
Amitesh
here.
See
the
competition
has
been
there,
and
we
have
not
seen
a
let
up
or
let
down
of
any
of
the

competition

that

we

had

seen

earlier .

In

general,

what

I

will

say

is

that

the

steady

state

of

competitiveness

still

remains,

we'll

keep

on

seeing

up

and

down

based

on

the

season

and

based
on
the
objective
in
that
particular
month.

But
overall,
we
see

Page
3
of
19

heightened
competition
at
the
same
level
as
what
we
had
seen
in
the
last

quarter

to

continue

and

all

our

plans

in

the

future

are

based

on

that.

Sachin

Salgaonkar:

Got

it.

And

last

question,

generally

wanted

an

update

on

the

Quick

India

Movement

("QIM").

Would

be

great
to
understand,
it's
the
first
time
you
did
this,
how
has
been
the
traction
out
there?
Was
there
any
incremental
cost
in
terms
of
selling
and
marketing
associated
with
that?
And
is

there

an

intention

to

do

programs

on

similar

lines

in

future

also?

Amitesh

Jha:

Yes,

absolutely .

See,

the

Quick

India

Movement

had

a

very

specific

objective,

and

that

specific

objective

was

to

make

sure

that

people

are

aware

that

quick

commerce

has

a

lot

more

to

offer

than

only

grocery .

It

was

very

important

for

us

because

in

terms

of

future

readiness

of

being

an

everything

store
rather
than
only
a
grocery
store,
this
is
the
first
step
essentially
towards
that.

To
that
factor ,
we
wanted
to
move
into
or
make
that
move
in
a
time
period
where
generally

there
is
a
heightened
intensity
in
the
overall
online
commerce
space.
And
we
thought
it
is
the
right
time
because
people
at
that
point
of
time
do
switch
and
do
look
for
all

opportunities

that

exist.

So,

the

objective

was

to

make

sure

our

customers

and

a

lot

more

customers

are

aware

that

we

sell

a

lot

of

things.

Now

the

result

of

all

of

that

is

that

we

have

seen

a

lot

more

adoption

for

these

categories

that

were

not

there

earlier .

There

is

a

heightened

traffic

that

has

gone

into

these

new

categories

even

after

the

sale
has
ended.
So,
the
objective
was
to
make
sure
that
people
are
aware
and
all
of
that
will
lead
to
a
higher
AOV
also
in
the
future.

In
terms
of
the
money

spent,
quick
commerce
is
a
fast-growing
business
and
in
general
brands
also
want
to
participate
in
that.
What
we
have
seen
is
that
we
have
been
able
to
build
a
story
around
why

quick
commerce
and
why
does
it
make
sense
for
the
non-grocery
brands
to
participate
and
make
sure
that
there
is
a
lot
of
work
adoption
for
consumers
that
already
exist
in
this
business.

Again,
the
way
brands
think
about
it
is
that
as
soon
as
there
is
a
new
channel
that
essentially
comes
in,
there
is
a
chance
of
market
share
movement
for
them.
So,

they
need
to
use
these
opportunities
to
drive
their
market
share
and
which
has
been
the
way
it
has
happened.

Apart
from
that
also,
I
think
one
of
the
things
that
we
saw

was

also

that

though

the

Quick

India

Movement

was

focused

towards

newer

categories,

even

the

grocery

business

grew .

It

was

on

the

back

of

obviously

the

existing

customer

feeling

heightened

curiosity

about

the

items

as

well.

And

we

see

the

continuous

adoption

in

terms

of

higher

traffic

in

the

month

of

October

also.

So

yes,

the

way

to

think

about

it

is

that

the

excitement

that
customers
had
was
also
shared
by
brands,
and
which
is
the
reason
why
we
wer
e
able
to
do
it
at
a
much
better
profitability .
Sachin
Salgaonkar:
Yes.
A
quick
follow-up
out
here.

We
are
seeing
that
as
the
contribution
of
non-grocery
increases
your
take
rate
also
goes
down.
So
in
a
way,
does
that
imply
that
non-grocery
has
a
lower
take
rate?
And
given
the

fact
that
you
have
mentioned
in
shareholders'
letter
that
the

Page

4
of
19

non-grocery
component
will
continue
to
increase,
do
we
see
a
continued
pressure
on
take
rate
going

ahead?

Rahul

Bothra:

So

two

things

there,

right?

One

is

in

terms

of

the

introduction

of

some

of

these

non-grocery

SKUs,

which,

as

you

have

seen,

it's

only

been

a

recent

phenomenon

for

us.

So

there

is

this

margin

accrual

that

we

expect

over

time

as

we

continue

to

go

deeper

into

the

supply

chain.

The

other

is

the

mix

factor .

We

do

expect

a

lot

more
higher
margin
mix
to
attach
to
these
non-grocery
segments
from
what
we
have
seen.
So
in
the
near
term,
there
has
been
some
amount
of
customer
inducement
that
we
had
to
do,

while
trying
to
sell
this
newer
assortment
to
these
customers.
So
that
will
also
come
down.

As
a
combination
of
these
3
factors,
we
do
expect
the
margins
overall
to
go
up

because
typically ,
non-groceries
have
higher
margins
as
well
as
the
ability
for
these
brands
to
also
fund
for
advertising.
So
we
do
expect
the
margins
to
continue
to
improve
from
here
on
the

selection.

Abhishek

Agarwal:

And

Sachin,

just

to

add

here,

this

is

Abhishek.

We've

improved

our

adjusted

revenue

per

order ,

as

you

would

have

seen

by

INR

10

in

each

of

Q1

and

Q2

consecutively ,

which

basically

means

that

at

the

overall

level,

you

are

talking

about

improving

the

economics

of

the

equation.

Moderator:

Our

next

question

comes

from

the

line

of

Kunal

Vora

from

BNP

Paribas.

Kunal

Vora:

You

mentioned

that

non-grocery

like

electronics

have

doubled

in

terms

of

contribution

in

the

last

couple

of

quarters.

What

else

are

you

looking

at

adding?

How

promising

is

pharmacy ,

which

I

think

is

a

strong

push

now?

How

is

the

early

response

into

pharmacy?

And

what's

the

coverage

now

--

that's

my

first

question.

Amitesh

Jha:

Yes.

So

I'll

just

answer

this

question,

Amitesh

here.

See,

the

strategic

rationale

that

we

have

chosen

is

that

apart

from

the

long-tail

categories

where

the

assortment

or

the

wide

assortment

really

helps,

we'll

be

in

all

the

categories

that

require

a
decent
assortment.

And
that
is
the
reason
our
stated
objective
of
being
everything
store
is
there.

So
effectively
think
about
it
as
everything
that
you
can
find
in
the
store,
except
for

a

really

long

tail,

maybe

some

fashion,

some

home

decor

and

all

that

kind

of

stuff.

The

pharmacy

is

obviously

essentially

part

of

it

is

one

of

those

things

that

led

easily

to
the
requirement
of
quick
commerce.

We
have
seen
robust
growth
in
it.

In
one
year,
we
have
reached
an
adoption
that

a
lot
of
other
new
businesses
take
an
extremely
long
time.

Our
focus
will
always
be
there.
We
believe
it's
a
very
integral
part
of
our
over
all
operation
of
making
thing
extremely
convenient
for
the
end
consumer
and
we
will
continue
to
do

that

for

all

the

other

categories

as

well.

Kunal

Vora:

Understood.

Just

a

follow-up

on

this.

So

non-grocery

has

moved

from

9%

to

26%

in

the

last

one

year.

Do

you

see

it

crossing

even

50%

in

the

coming

couple

of

years?

Page

5

of

19

Amitesh

Jha:

See,

it's

very

hard

to

crystal

gaze

on

where

exactly

we'll

end

up.

But

I'll

give

you

an

overall

way

to

think

about

it.

Grocery

is

still

the

higher

contribution

on

the

wallet

of

an

end

consumer .

So

the

majority

of

the

revenue

will

always

come

from

that.

There's

no
going
away
from
there.
That
said,
the
consumers
that
we
are
looking
at
do
have
a
significant
share
of
general
merchandise
as
well
and
all
the
other
products.
We
believe
this
number

will

essentially

go

up.

There

is

a

headroom

that

exists.

How

much

will

be

extremely

hard

to

say.

We'll

have

to

say

play

quarter -to-quarter .

But

yes,

I

believe

the

headroom

is

still

there.

50%

is

way

too

much

a

stretch.

Just

by

pure

logic

on

grocery

being

higher ,

we

don't

think

it

will

happen.

Kunal

Vora:

And

second

and

last

question,

in

food

delivery ,

you

mentioned

that

during

the

quarter

you

saw

heightened

competitive

intensity

with

lower

subscription

fees

and

reduced

minimum

order

value.

Is

the

impact

of

these

competing

moves

already

in

the

numbers?

Or

there

could

be

some

margin

impact

in

the

next

quarter

or

so?

And

how

has

the

early

feedback

been

on

the

new

entrant,

which

has

entered?

Rohit

Kapoor:

This

is

Rohit

here.

Look,

I

think

the
competitive
intensity
is
always
there
in
food
delivery ,
but
it
spiked
on
the
subscription
platform
side
over
the
last
quarter;
that's
what
we
saw.
I
believe
it's
already
factored
into
the
numbers,

and

I

don't

see

a

differential

coming

in

the

future

from

the

baseline.

If

you

look

at

the

numbers,

we

have

still

grown

our

EBITDA

44

basis

points

over

last

quarter

and

the

EBITDA

over

last

quarter

same

year

has

more

than

doubled,

right...

To

your

second

question

on

the

new

entrant,

we

do

not

have

any

inside

information.

But

from

the

best

of

market

knowledge

that

we

have

on

public

sources

that

whatever

we

have

gleaned

--

the

pilot

--

it's

still

in

pilot

phase

in

a

few

areas

in

Bangalore.

That's

all

that

we

know

as

of

now.

Kunal

Vora:

Okay .

Have

you

had

to

respond

to

that

new

entrant

or

like

it's

at

status

quo?

Rohit

Kapoor:

We

have

not

had

to

respond

to

the

new

entrant

as

of

now.

Moderator:

We

have

our

next

question

from

the

line

of

Vivek

Maheshwari

from

Jefferies.

Vivek

Maheshwari:

Two

questions.

First,

to

the

extent

you

can

comment

because

you

have

mentioned

about

the

capital

raise.

Today's

media

article

also

talks

about

some

raise

at

the

subsidiary

level,

which

is

the

quick

commerce

entity .

Can

you

just

clarify

your

position

as

I

said

to

the

extent

you

can?

Rahul

Bothra:

No.

So

this

is

being

done

at

the

holding

company

level.

So,

there

is

no

near-term

plan

or

any

pl

an

to

raise

at

a

subsidiary

level.

Vivek

Maheshwari:

Okay .

The

second

question

is,

let's

say,

your

GOV

in

this

quarter

has

gone

up

by

110%,

give

or

take.

And

the

overheads

are

up

about

125%.

Now

from

here

on,

as

we

go

forward,

how

will

the

profitability

at

EBITDA

level

improve

given

that,

let's

say,

about

INR

650

crores,

INR

660

crores

are

the

overheads.

So

as

you

grow

forward,

will

there

be

an

operating

leverage

basically

at

the

overheads

level?

Page

6

of

19

Because

your

AOVs

are

already

are

at

about

700

levels.

And

I

would

have

thought

that,

that

would

have

definitely

given

you
that
leverage.
But
for
whatever
reason,
it's
not
showing
up.
So
are
there
expenses
which
will
like
grow
way
lower
than
your
GOV
growth?
Rahul
Bothra:
Yes.
So
Vivek,
if
you
see

on

a

sequential

basis,

our

overhead

base

in

the

quick

commerce

business

have

only

grown

5%,

right,

versus

GOV

close

to

25%

growth

on

a

sequential

basis.

So

that

operating

leverage

is

already

starting

to

play

out.

And

you

should

absolutely

expect

this

to

continue

in

the

future.

Abhishek

Agarwal:

That's

visible

in

the

contribution

margin

improving

by

200

basis

points

and

the

EBITDA

margin

improving

by

375

quarter -on-quarter .

Vivek

Maheshwari:

Sure.

My

point

is

basically

the

overheads

are

still

about

10%

of

GOV .

And

if

you

take

the

last

6

quarter

average

also,

it

has

trended

at

around

that
level,
so
let's
say,
between
8%
and
12%.
As
we
go
forward,
the
--
and
within
overheads,
what
are
the
key
hedge
which
will
drive
that
leverage?
Rahul
Bothra:
So
in
large

part,
marketing
is
one
place
that
will
kind
of
go
up
or
down
depending
on
how
we
see
the
customer
adoption
and
new
customer
acquisition
happening
in
the
sector
and
it's
slightly
also

competitive

in

terms

of

the

price

that

we

end

up

paying

for

our

CACs

depending

on

the

competitive

intensity .

Outside

of

that,

all

the

other

costs

are

fixed

in

nature,

apart

from

the

annual

wage

inflation

etc.,

most

of

those

have

been

fixed.

Vivek

Maheshwari:

Okay .

So

just

to

conclude,

Rahul,

this

Y-o-Y

increase

the

bulk

you

are

saying

is

due

to

marketing.

The

other

heads

would

have

still

seen

leverage

benefits

in

a

way?

Rahul

Bothra:

That's

right.

That's

correct.

Moderator:

The

next

question

comes

from

the

line

of

Abhishek

Bhandari

from

Nomura.

Abhishek

Bhandari:

Congrats

on

a

sharp

improvement

on

CM

at

the

QC.

So

Rahul,

as

in

the

past,

when

you

gave

some

breakdown

about

how

the

CM

actually

fell

in

those

quarters,

if

you

could

give

a

similar

breakdown

on

how

the

CM

improved

from

minus

4.6%

to

minus

2.6%

across

these

3

vectors,

what

you

mentioned,

which

is

ads

and

lower

customer

incentives

and

increased

utilization.

The

reason

for

asking
this
question
is
I'm
just
trying
to
gauge
what
are
the
incremental
levers
for
you
over
the
next
few
quarters
when
you
want
to
hit
a
kind
of
breakeven
by
Q1
'27.

Rahul

Bothra:

Absolutely .

So,

if

you

see,

we

have

given

this

answer

in

our

shareholders'

letter

in

terms

of

the

breakdown

of

the

200

basis

points.

So

this

has

come

across

the

monetization

levers
as
well
as
the
operating
leverage
and
better
utilization
of
the
stores.
So
going
forward
basis,
as
I
said,
you
should
expect
margin
improvement
to
continue
happening.

We've
also
guided
that
our

store
addition
is
not
going
to
be
in
line
with
some
of
the
past
additions
that
we've
done
over
the
last
4
quarters.
So
that
is
going
to
drive
operating
leverage

7

of

19

of

throughput

and

efficiency

for

us.

So

you

should

expect

that

there

is

a

lot

of

juice

left

in

almost

all

the

monetization

lines

as

well

as

the

cost

lines

largely

through

better

operating

efficiencies.

Abhishek

Bhandari:

Do

you

think

lower

customer

incentive

is

really

a

lever

from

here

on,

given

that

competition

has

raised

money .

And

as

you

said,

the

competition

has

not

really

gone

down

from

the

other

players?

Rahul

Bothra:

No.

I

think

that

bit

is

a

little

bit

dynamic.

Because

depending

on

how

much

competitive

intensity

we

are

seeing,

we

also

choose

not

to

respond

during

various

times

because

there

could

be

some

amount

of

insanity

around

both

minimum

order

pricing

as

well

as

deep

discounting,

which

we

may

not

want

to

partake

in.

At

the

same

time,

we

see

what

are

the

cohorts

of

consumers

that

we

want

to

attract

and

retain

on

our

platform,

and

we'll

continue

to

make

the

right

choices

of

investments

there.

So

while

it

can

have

some

impact

due

to

the

outside

pressure,

but

largely,

we

believe

that

we

are

in

control

of

our

destiny

here.

Abhishek

Bhandari:

Got

it.

My

second

and

last
question
is
on
food
side.
Do
you
think
the
contribution
margin
is
kind
of
stagnating
at
7.3%
is
because
of
your
initiatives
around
the
value
segment
to
ensure
that
your
GOV
growth

rate

remains

closer

to

20%?

And

also

in

the

letter

on

Page

10,

you

have

mentioned

that

the

entire

EBITDA

margin

currently

comes

only

from

advertisement.

So

how

much

more

juice

is

left

on

the

advertisement

piece

on

the

food

you

think

from

here

on?

Rohit

Kapoor:

Yes.

So

I

think

there

are

two

questions.

One,

on

the

contribution

margin.

I

think

it

remaining

constant

over

the
last
quarter
is
a
function
of
2
things.

One
is
our
focus
on
mixing
on
growth
and
continuing
to
invest
towards
that,
and
that's
something
we'll
keep
balancing
quarter -on-quarter .

The
second

thing
was,
as
I
said,
the
higher
intensity
on
subscription
program
that
we
saw
from
a
competitive
lens
and
we
matched
that
and
in
some
cases,
even
went
aggressive
because
there
is
an

opportunity

to

do

so.

Those

two

things,

but

it

is

something

that,

over

time,

we

see

still

more

potential

to

trend

up

in

the

subsequent

quarters.

But

having

said

that,

I

think

I

also
want
you
to
note
that
while
that
happened,
we
still
increased
EBITDA
by
about
44
basis
points
over
the
previous
quarter
as
we
interchanged
investment
into
what
goes
into
contribution
margin
versus

what
comes
below
the
contribution
margin.

Second
question
on
advertising
revenue.

I
think
that
it's
just
one
lens
of
looking
at
it
because
obviously ,
if
you
take
all
line
items,
some
will
be

from

a

percentage

standpoint,

that's

probably

not

only

way

to

look

at

it.

I

think

that

the

comfort

there

is

that

--

there's

one

significant

line

item

is

more

than

the

EBITDA

today ,

and
we
have
guided
to
a
medium-term
EBITDA
margin
of
5%,
which
we
think
we
have
line
of
sight
to
in
the
medium
term.
So,
I
think
that's
the
answer
to
your
two

questions

there.

Moderator:

Our

next

question

comes

from

the

line

of

Vijit

Jain

from

Citi.

Page

8

of

19

Vijit

Jain:

So,

this

quarter

contribution

margin

in

quick

commerce

improved

200

bps

and

you

called

out

all

those

different

levers

and

you're

only

minus

2.6%

now.

I

looked

at

the

cohort

data,

your

comments

on

the

impact

of

non-grocery

still

to

play

out

further ,

as

you

said

earlier ,

in

this

call.

So

how

would

you

characterize

the

potential

for

CM

to

break

even

well

before

the

June

'26

deadline?

I

mean

at

this

pace,

you

could

do

it

in

December

or

in

March

quarter

itself,

right?

So

that's

my

first

question.

Rahul

Bothra:

So

I

think

we

have

given

in

the

past

a

certain

guidance

around,

and

we

do

want
to
retain
flexibility
as
some
of
the
participants
have
mentioned
that
competition
intensity
goes
up
and
down
depending
on
how
much
investments
are
happening
in
the
sector .
Currently ,
we
do
want
to

retain

our

guidance.

Now

whether

that

happens

one

quarter

ahead

or

not

is

something

that

we

are

not

able

to

comment

on

today .

Vijit

Jain:

Fair

enough.

Now

my

second

question

is,

so

your

non-grocery

have

gone

up

quite

meaningfully

this

quarter

as

well,

congratulations

on

that.

I'm

guessing

some

part

of

it

would

have

been

definitely

aided

by

the

Quick

India

Movement.

My

question

is

immediately ,

does

it

consolidate

here

since

QIM

is

over

or

this

can

continue

to

go

up

even

in

the

near

term?

And

secondly ,

from

an

AOV

point

of

view ,

how

should

one

think
about
the
pace
from
where
you
are
now
at
INR
700
from
a
Q-o-Q
basis?
Does
it
still
continue
to
grow
at
this
kind
of
pace
?
I
know
December
is
usually

the
strongest
quarter
from
an
AOV
point
of
view .
Amitesh
Jha:
Yes.
It's
Amitesh
here.
See,
we
see
continued
interest
from
both
customers
and
brands
on
the
non-grocery
part.
We
believe
that
what

we

did

in

QIM

is

just

not

a

QIM-specific

impact.

And

the

reason

also

why

we

essentially

did

was

that

we

should

have

a

more

permanent

impact.

We're

already

seeing

it

with

more

number
of
customers
and
more
number
of
brands
partnering
in
that.

And
for
sure,
there
is
a
headroom
for
higher
AOV .

It's
just
very
hard
to
visibly
look
at
and
say
how
much

of
it
will
it
go
to.
But
we
see
there
is
a
substantial
offering
especially
because
the
consumer
penetration
of
some
of
these
categories
are
extremely
low.
So
as
and
when
more
users

become

mature

on

quick

commerce,

their

buying

will

happen

more

on

the

non-grocery

categories,

and

the

AOV

will

go

up.

It's

still

early

stages

there.

Moderator:

The

next

question

comes

from

the

line

of
Sudheer
from
Kotak
Asset
Management
Company .
Sudheer
Guntupalli:
Congrats
on
a
good
set
of
numbers.
So
I'm
just
looking
at
the
contribution
margin
and
I
just
want
to
double
down
on
what

Vijit
was
also
asking
early
on.
Despite
the
Quick
India
Sale
Movement,
you
have
shown
almost
200
basis
point
sequential
improvement
in
contribution
margin
and
incrementally
not
having
--
I
mean,
of
course,

a
lot
of
those
discounts
might
be
funded
by
the
brands,
and
I
get
that.

But
incrementally ,
you
have
just
a
250-basis
points
kind
of
effort
to
be
done
to
reach
your

guidance.

But

I'm

just

asking

a

bit

of

a

converse

of

what

the

earlier

participant

asked.

In

case

you

reached

that

contribution

breakeven

earlier

would

you

sort

of

decide

to

let

that

flow

into

Page

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19

the

P&L?

Or

would

you

sort

of

decide

to

recoup

that

back

as

investments

in

user

incentivization

or

so

on

and

so

forth?

Rahul

Bothra:

No,

I
think
Sudheer ,
that's
exactly
what
we
intend
to
do,
which
is
retain
the
flexibility
to
be
able
to
invest
it
back
for
even
higher
growth
from
what
we
see.
At
the
same

time,
I
think
there
is
a
journey
that
we
have
to
traverse.
We've
done
well
over
the
past
couple
of
quarters
to
get
it
to
negative
2.5%
from
the
negative
5.5%
peak
that

we

had.

And

I

think

from

here

on,

while

there

is

going

to

be

all

the

positives,

if

there

are

negative

headwinds

coming

from

either

some

competition

activity ,

we

do

want

to

retain

the

flexibility

and

therefore,

the

guidance

stays

for

the

end

of

the

June

'26

quarter .

Sudheer

Guntupalli:

Got

it,

Rahul.

And

second

thing,

our

store

addition

is

just

around

40

this

quarter .

And
despite
that,
our
sequential
GOV
growth
is
not
very
different
from
that
of
our
larger
competitor ,
who
has
added
almost
7x
our
stores.

So
just
what
is
happening
here,
just
in
case

if
you
were
to
understand
in
very
simple
terms,
how
far
do
you
think
this
bridging
the
utilization
or
improving
the
utilization
will
give
you
that
growth
kicker?
Or
is
it
a
difference

in
terms
of
the
spread
of
the
store,
geographic
spread
of
the
stores
that
is
driving
this
kind
of
a
paradox?
Rahul
Bothra:
Yes.
So
Sudheer ,
I
think
we
had
talked
about
this

in
the
past
that
we
have
a
network
design
and
a
choice
which
has
the
normal
dark
store
of
say
roughly
4,000
square
feet
and
the
mega
store,
which
could
be
8,000-10,000
square

feet.

So

our

ability

to,

therefore,

service

a

lot

more

orders

from

these

stores

exists.

We've

also

mentioned

that

we

have

created

sufficient

capacity

on

the

dark

store

network

to

easily

double

our
business
from
here
without
having
the
need
to
add
more
stores.
Having
said
that,
we
will
continue
to
densify
especially
to
manage
capacities
where
we
run
out
of
max
capacity .
So,
there

is
enough
headroom
that
we
have
from
the
current
network.

And
even
if
you
look
at
our
assortment
addition
or
the
speed
at
which
we
are
delivering
today ,

we
believe
that
we

are
amongst
the
best
in
the
industry .
So,
these
customer
backward
choices
that
we
have
made
around
the
network
design
and
the
capacity
addition
that
we
have
done
ahead
of
time
puts
us

in
a
good
place
to
be
able
to
appropriate
the
growth
that
we
are.
Sudheer
Guntupalli:
Okay ,
Rahul.
Let
me
ask
it
in
a
different
way.
So
even
if
we
were
to
add

a
much
fewer
number
of
stores
compared
to
our
competitor ,
do
you
think
going
ahead,
sequentially ,
growth
rates
should
be
in
the
same
ballpark
that
we
had
seen
in
the
current
quarter?
Is

that

a

fair

assessment

to

make?

Rahul

Bothra:

Yes,

I

think

we

want

to

meet

and

beat

the

industry

growth

rates.

I

think

there

are

some

choices

around,

say,

some

of

the

newer

cities,
etcetera,
that
we
may
or
may
not
decide
to
go,
considering
they
are
long
tail.
But
in
the
larger
metros
and
cities
that
matter
to
us,
we
will
continue
to
densify
the

network
and
as
I
said,
we
have
leading
metrics
on
the
consumer
side.
So
I
see
no
reason
for
us
to
fall
back
on
the
growth
component.

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19

Moderator:

The
next
question
is
from
the
line
of
Gaurav
Rateria
from
Morgan
Stanley .

Gaurav
Rateria:

I
just
want
to
know
what's
the
breakeven
period
for
any
new
store
at
the
CM
level

for
the
quick
commerce
business?

Rahul

Bothra:

So
it
varies
between
800
to
1,000
orders
a
day.

Gaurav

Rateria:

No,
I
was
asking
time
period.

Rahul

Bothra:

And
in
terms
of
time
line,

it
could
be
depending
on,
again,
the
hyper
local
areas,
it
could
anywhere
be
between,
say,
6
months
to
12
months.
Gaurav
Rateria:
So,
you
shared
a
pretty
interesting
data
point
on
the

percentage

of

total

active

stores,

which

are

greater

than

3%

and

0%

to

3%,

which

put

together

25%.

So,

correct

me

if

I'm

wrong,

so

only

25%

of

the

stores

are

positive

CM

and
the
remaining
75%
are
still
in
red
at
the
CM
level.
So,
I
was
not
sure
if
this
interpretation
is
correct
or
not.
Rahul
Bothra:
That's
correct.
As
we
have
written
in

the
question
number
eight,
the
negative
stores
are
currently
at
5.2%
negative
CM.
So,
at
a
portfolio
level,
we
are
at
negative
2.6%.
Gaurav
Rateria:
Okay .
So,
I
was
just
trying
to
reconcile

that

if

it

takes

6

months

to

12

months

to

get

to

a

breakeven.

And

my

understanding

is

that

you

have

gone

from

600

stores

to

1,100

stores

in

the

last

12

months.

So
how
come
your
stores
that
are
above
breakeven
are
only
25%
of
the
total
stores.

Shouldn't
it
have
been
a
much
larger
percentage
of
total
stores,
which
have
been
in
existence

for

a

long

period

of

time

from

a

breakeven

perspective?

So

maybe

there

is

some

math

to

it,

which

I'm

not

able

to

reconcile.

Rahul

Bothra:

No.

So

as

you've

rightly

said

that

a
lot
of
our
store
additions
happened
between,
say,
December
to
March
period.
And
we
have
to,
therefore,
wait
for
this
couple
of
quarters
for
the
12-month
cycle
to
elapse.
And
this
is

in
conjunction
with
the
guidance
that
we
have
given,
right,
with
saying
that
by
June,
we
expect
the
entire
network
to
become
CM
positive.

So
it's
moving
in
that
trajectory ,
right.
If
you

see
even
in
the
last
couple
of
quarters,
if
you
see
our
overall
network
from
9%
has
gone
up
to
25%,
and
it
will
continue
to
accrete
in
the
same
fashion.
Gaurav
Rateria:

Okay .

Okay .

My

second

question

is

that

you

have

a

lot

of

scope

to

go

from

a

current

throughput

of

1,000

plus

to

2,000

plus

in

terms

of

orders

per

day

per

store.

So
what
exactly
does
it
require
from
our
side,
like
in
terms
of
aggressively
adding
MTUs
or
trying
to
drive
frequency?
Just
trying
to
understand
like
we
already
have
the
network,
so
what

are
the
incremental
steps
required
to
get
to
that
from
1,000
to
2,000?
Amitesh
Jha:
Yes,
what
you
said
is
absolutely
right.
The
way
to
think
about
our
business
is,
there
are
new

users
that
we
acquired,
those
users
become
mature
users
and
the
frequency
of
mature
users
are
higher ,
both
in
terms
of
the
spend
on
the
platform
as
well
as
their
orders.

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of

19

So

the

way

to

think

about

it

is

that

we

are

in

the

journey

of

moving

from

a

lot

of

new

users

to

the

matured

as

a

user.

That
will
drive
up
both
the
orders
per
day
in
that
particular
store
as
well
as
the
GOV
per
store
in
that
particular
store.
And
that
is
the
reason
why
we
believe
this

has
happened,
which
is
what
you
would
have
also
seen.

The
GOV
per
user
is
also
increasing,
GOV
per
store
is
also
increasing,
and
we
see
that
being
a
secular
trend
for

a
longer
period
of
time
because
we
are
extremely
happy
with
the
funnel.

The
new
users
that
we
are
acquiring
are
spending
more
in
the
first
month
itself.

The
users
that
we
acquired

in
the
subsequent
quarters
and
months
are
also
spending
more
as
a
structural
thing.
So
we
believe
this
is
a
positive
cycle
that
has
already
started.
As
and
when
the
lot
of
new

users

that

we

acquired

in

the

first

2

quarters

of

this

current

year

start

maturing

and

they

move

towards

higher

frequency ,

we

believe

all

these

stores

will

also

start

delivering

profits.

Gaurav

Rateria:

Got

it.

And

last

question

is

on

this

QIP

that

you're

talking

about.

Just

trying

to

understand

that

would

this

lead

to

any

change

in

the

strategy

that

we

are

pursuing

in

the

quick

commerce

business?

And

with

the

incremental

growth

capital

that

you

get,

is

it

fair

to

say

that

the

market

has

enough

depth

for

you

to

continue

to

grow

at

sort

of

100%,

not

just

for

this

year,

even

going

forward

in

the

coming

years.

Rahul

Bothra:

Yes.

I

think,

see,

the

overall

boosting

of

the

balance

sheet

is

more

forward-looking,

more

around

the

opportunity

that

will
present
to
us.
We
don't
know
how
long
these
growth
rates
will
continue
in
this
segment.
Also,
as
I
said,
this
is
also
adding
to
the
innovation
capital
and
the
strategic
reserve

of
the
company .

So
overall,
we
should
see
from
that
lens,

I
think
overall,
on
the
quick
commerce
business,
we
have
made
sufficient
network
investments
that
are
required
for
us
to
be

able

to

grow

at

these

triple-digit

growth

rates.

So

we

don't

necessarily

see

a

reason

to

change

that

strategy .

However ,

if

it

positively

surprises

us,

we

will

have

the

flexibility

to

continue

making

those

investments.

Moderator:

Our

next

question

comes

from

the

line

of

Garima

Mishra

from

Kotak

Securities.

Garima

Mishra:

First

question

from

me.

You

mentioned

in

the

letter

that

your

current

store

network

can

support

double

the

orders.

So,

based

on

trends

that

you

are

witnessing,

do

you

have

any

sort

of

time

line

in

mind

as

to

when

this

happens?

Amitesh

Jha:

We

are

seeing

a

healthy

growth

rate

of

our

GOV

around

20%+QoQ

for

the

last

two

quarters.

We

see

a

movement

in

our

OPD

in

the

subsequent

quarters

as

well.

We

can

assume

a

similar

kind

of

growth
rate.
So
if
we
assume
a
similar
growth
rate,
we
should
see
these
numbers
being
hit
within
a
year's
time.
But
of
course,
what
also
happens
is
that
it
is
lopsided.

Not

every

store

will

be

at

the

same

rate.

There

are

stores

that

will

hit

the

maximum

capacity

sooner ,

which

means

we'll

have

to

open

new

stores.

So

we

believe

that

in

the

next

two
quarters,
there
will
be
a
few
stores
that
will
reach
those
orders,
and
we'll
have
to
open
new
stores
on
that.

Page
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of
19

The
one
thing
at

least
for
now,
we
are
very,
very
sure
on
that
we're
going
to
focus
on
the
cities
that
we
are
in,
where
we
would
want
to
densify
that
network,
make
sure
that
we

are

doing

a

good

job

there

because

the

headroom

in

those

cities

itself

is

extremely

high

and

which

is

where

the

focus

for

our

store

expansion

will

be.

Garima

Mishra:

Got

it.

So

if
I
look,
let
us
say,
let's
say,
6,
8
quarters
ahead,
should
we
also
assume
that
at
some
point
of
time,
the
store
addition,
which
today
seems
to
be
a
little
lower

because

you

built

a

buffer

or

you've

built

some

spare

capacity

in

the

past.

This

exhausts

and

then

you

again

start

seeing

a

recovery

or

a

much

higher

let's

say,

quarterly

kind

of

store

addition.

Fair

to

expect?

Amitesh

Jha:

Yes,

absolutely .

There

are

two

ways

in

which

it

will

happen.

One

is

whenever

there

is

a

capacity

reach

that

we

see

for

existing

stores,

we

will

open

new

stores.

Whenever

we

see

there

is

an

opportunity

with

higher

speed

that

we

can

present

in

spite

of

capacity

not

reaching,

we'll

also

do

that.

We

believe

that

will

start

happening

from

maybe

a

couple

of

few

quarters

from

now.

We

don't

see

this

being

essentially

a

permanent

feature.

Garima

Mishra:

Got

it.

Another

follow-up

here.

Now

CM

breakeven

for

the

Instamart

business,

I
think
it's
been
talked
about
a
lot
and
1Q
FY
'27
is
where
things
are
landing
up
as
of
now.
However ,
in
this
business
now,
what
is
your
long-term
ambition
for
this

number?

And

what

can

be,

hence,

a

resultant

sort

of

EBITDA

margin?

Because

I

think

a

positive

CM

and

a

positive

EBITDA

margin

will

sort

of

be

the

target

for

any

business,

right?

Rahul

Bothra:

I

think

this

is

obviously

doing

a

little

bit

o

f

crystal

ball

gazing

to

say,

but

we

do

have

conviction

that

this

business

can

get

to

like

a

4%

EBITDA

with

a

7%

kind

of

contribution

margin

positive

trajectory .

Garima

Mishra:

Okay .

And

maybe

last

question

here.

Again,

in

the

letter ,

you've

mentioned

that

for

food

delivery

business,

right,

advertisements

are

roughly

4%

plus

of

GMV .

What

is

this

number

for

Instamart

today?

And

can

this

number

potentially

be

much

higher

than

what

it

is

for

food

delivery?

Rahul

Bothra:

Yes.

For

specific

reasons,

we

won't

be
able
to
share
the
number ,
but
in
a
very
short
period
of
time,
we
have
made
substantial
progress
on
this
particular
line.
In
terms
of
our
guidance,
we
believe
that
in
steady

state,
this
number
can
get
to
6%
to
7%.

Moderator:

Our
next
question
is
from
the
line
of
Gaurav
Malhotra
from
Axis.

Gaurav
Malhotra:
Just
a
few
questions
from
my
side.
On
the

ad
revenues
in
the
restaurants,
I
was
under
the
impression
that
the
ad
revenues
from
restaurants
typically
would
be,
say
lower
than
what
it
would
be
say
for
a
quick
commerce
business
is

because

not

every

restaurant

typically

would

spend

and

generally

say

most

if

not

all

brands

tend

to

spend.

So

the

greater

than

4%

number

looks

a

little

bit

high

in

that

context.

So

if
you
could
just
give
us
some
sense
as
to
the
long-term
quick
commerce
is
6%-7%
and
the
restaurants
are
like
4%
plus,
how
should
we
sort
of
think
of
these
two
numbers

in
that
context?

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13
of
19

Rohit
Kapoor:
This
is
Rohit
here.
Is
the
question
more
around
expansion
possibilities
in
food?
Or
is
it
a
comparison
with
quick
commerce?

I
just
want
to
sharpen
my
answer .
Gaurav
Malhotra:
So
basically ,
I
was
under
the
impression
that
the
ad
revenue
contribution
in
the
food
delivery
would
be
lower
than
quick
commerce.
And
if

the

restaurant,

the

food

delivery

itself

is

4%

plus,

then

shouldn't

the

long-term

quick

commerce

be

then

more

than

6%-7%

right?

Because

the

understanding

is

that

most

of

the

brands

typically

tend

to

spend

on

quick

commerce,

but

not

all

restaurants

spend

on

food

delivery

from

an

advertisement

perspective.

Rohit

Kapoor:

Yes.

So,

I

think

we're

looking

at

both

businesses

at

different

points

in

time

of

maturity ,
right?
So
structurally ,
you're
right
that
quick
commerce,
by
definition,
should
be
higher
over
time,
but
we
are
looking
at
a
decade-old
food
delivery
business
and
a
3-year
old
quick
commerce
business.

So
the
expansion
in
terms
of
personnel
GOV
will
happen
at
a
differential
pace
between
both
the
businesses.

So
your
assumption
is
actually
correct
that
over
time,
quick
commerce
should
have
a
higher

percent

of

GOV

in

terms

of

advertising

revenues

or

food.

Amitesh,

you

want

to

add?

Amitesh

Jha:

Yes.

So,

what

you're

saying,

which

is

what

Rahul

was

speaking

about,

that

structurally ,

we

believe

that

the

total

amount

spent

by

brands.

There

is

enough

available

for

quick

commerce,

which

is,

in

fact,

the

highest

impacting

on

consumer

behavior

to

extract

most

of

the

brands.

We

believe

that

quick

commerce

will

end

up

being

the

industry

leader

in

ad

spend

just

because

this

model

has

a

very

high

impact

on

the

way

consumer

preference

essentially

changes.

Right

now

since

it

is
the
start.
We
are
only
a
few
years
old.
We
generally
see
brands
spending
a
lot
more
money ,
and
they
are
very
excited
about
the
opportunities
that
exist
in
this.
Gaurav
Malhotra:

Next

question

is

on

Instamart.

Obviously ,

the

contribution

margins

have

sort

of

improved

quite

meaningfully .

But

obviously ,

the

absolute

losses

at

the

EBITDA

level

have

not

--

have

come

down,

but

maybe

not

to
the
same
level
in
context
to
the
fact
that
you're
not
expanding
as
aggressively .

So
just
wanted
to
get
a
sense
as
to
the
fixed
cost,
right,
is
there
a
much

higher
salience
on
marketing
spend
versus,
say,
the
costs
related
to
the
actual
operations
which
is
why
the
fixed
cost
itself
is
remaining
more
sticky
than
what
one
would
have
expected.
Rahul
Bothra:

Yes.

So

as

we've

answered

this,

right,

in

the

past

that

on

a

sequential

basis,

the

cost

below

CM

have

only

increased

by

5%

versus

the

24.5%

growth

on

the

gross

order

value.

So
there
is
significant
operating
leverage
that
sits
there.

A
large
part
of
the
cost
below
CM
is
around
marketing.

And
marketing,
as
I
mentioned,
also
depends
on
the
number
of
users
that

you're
adding
as
well
as
the
competition
intensity
that
exists
in
the
market
around
your
acquisition
costs.
So
we
do
expect
significant
operating
leverage
here.
On
a
going
forward
basis,
you
should
see

that
starting
to
play
out
and
has
already
started
to
play
out.

Page
14
of
19

Gaurav
Malhotra:
Understood.
And
just
last
question
on
Maxxsaver .
Obviously ,
that
seems
to
be

helping

from

an

AOV

perspective.

But

is

there

a

thought

process

as

to

increasing

the

minimum

threshold

or

are

you

sort

of

happy

with

how

Maxxsaver

is

sort

of

currently

seeing

the

traction

it

is

seeing?

Amitesh

Jha:

Yes,

we

are

happy

with

the

threshold

and

the

traction

that

we

are

seeing.

If

you

remember

last

time

when

we

were

speaking

about

Maxxsaver ,

we

did

speak

about

the

extra

steroid

injection

that

we

had

to

give

to

make

sure

that

adoption

is

higher .

We

spoke

about

it

last

time

specifically

talking

about

how

we

are

weaning

away

people

from

that
without
changing
the
habit.

We
see
that
habit
not
changed
in
spite
of
investment
from
our
side
being
lower
right
away .

So
that's
a
secular
trend.

We
don't
believe
that
we
should

be
changing
that.
It
is
one
of
the
more
important
missions
that
consumers
have
in
a
month.
We
want
to
be
top
of
mind
for
that,
and
we
will
try
to
drive
adoption

of

Maxxsaver

rather

than

increase

the

AOV

or

the

minimum

AOV

required

for

that.

Gaurav

Malhotra:

Okay .

Just

last

question.

I

think

this

question

have

already

been

asked,

but

maybe

if

I

can

just
ask
it
once
again.
In
terms
of
your
throughput,
you
mentioned
that
you
sort
of
have
capacity
to
double
it
as
well.

In
what
time
frame
are
we
sort
of
thinking

about

it?

Be

cause

now

throughput

also

is

a

function

of

the

AOV

and

if

there

is

Maxxsaver

and

higher

value

items

then

maybe

throughput

will

take

longer

to

sort

of

reach

that

double

the
number
versus
where
it
is
right
now?
Just
some
thoughts
around
that,
please.
Amitesh
Jha:
Yes.
See,
I
think
as
we
said,
right,
our
growth
is
something
that
we're
allowed
to
be

doubling
our
GOV
number
in
a
year's
time.
See,
I
think
one
of
those
things
is
it's
very
hard
to
exactly
say
where
this
throughput
will
reach
the
level
that
we
essentially
want.

But
what
we
have
seen
generally
wherever
the
growth
of
Maxxsaver
is
there,
the
growth
of
OPD
also
is
there,
and
there
are
more
mature
customers
coming
in.

We
believe
that
there

is
a
balanced
play
on
maybe
breaking
up
a
pod
or
expanding
our
network
faster
than
what
it
is
required
from
a
pure
financial
perspective.

Those
are
the
calls
that
we
keep
on

taking

and

which

we

will

keep

on

taking.

So

sometimes

the

addition

of

stores

or

pods

happen

faster

than

what

we

would

have

said

from

a

pure

financial

lens.

That

is

the

only

change

which

is

there.

So

that's

the

reason

I

said

last

time

also,

we'll

keep

on

seeing

movement

in

that,

but

I

don't

think

it

will

be

an

abrupt

movement.

It

will

be

a
gradual
movement.
But
yes,
from
a
capacity-wise
perspective,
we
have
solved
for
here.
Moderator:
Our
next
question
comes
from
the
line
of
Ankur
Rudra
from
JPMorgan.
Ankur
Rudra:
Good
to
see
cash

burn

shrink

rapidly

this

quarter .

Firstly ,

on

quick

commerce,

I

noticed

that

while

GOV

growth

is

quite

strong,

the

NOV

growth

is

very

similar

to

last

quarter ,

about

17%

to

18%.

And

the

MTU

growth

was

probably

a

bit

lighter

at

about

8%-9%

versus

11%

last

time.

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of

19

I'm

just

curious

how

the

sale

event

may

have

helped

you

in

terms
of
user
acquisition
and
growth
in
general?
And
also,
if
there's
any
sort
of
impact
on
GST
on
the
business
and
how
that
might
impact
you
in
3Q?
Amitesh
Jha:
Yes.
I

think

there

are

multiple

questions.

I'll

take

it

one

by

one.

QIM

obviously

happened

at

the

end

of

the

quarter .

The

impact

of

that

will

also

be

felt

in

the

subsequent

quarter .

See,

one
other
thing
which
is
happening
is
that
there
is
a
lot
of
adoption
from
our
consumers
to
the
category
where
the
GOV
drop
is
higher ,
and
which
is
the
reason
why
you

see
that
divergence
is
also
playing
out.

The
other
thing
is
that
our
MTU
growth
is
built
primarily
on
the
quality
of
the
consumer
base
that
we
wanted.

If
you
remember
last

time,
when
we
looked
at
the
retro
the
last
quarter ,
one
of
the
things
that
we
specifically
said
is
that
we
are
trying
to
get
our
funnel
right
into
the
kind
of
customers

that
lead
to
a
more
healthy
output
in
the
future.

That
healthy
output
in
the
future
is
what
we
are
essentially
focusing
on
right
now.

That
does
have
an
impact
in
the
current

quarter

in

terms

of

pure

MTU

and

OPD,

but

we

believe

that

the

retention

of

these

consumers

being

higher

will

have

a

subsequent

quarter

impact

of

higher

growth

rate

as

well.

Now

we
believe
that
as
you
said,
right,
I
think
one
of
the
questions
also
was
about
our
GOV
growing
faster .
We
are
seeing
a
secular
trend
of
that
GOV
being
fast
with
more

mature
customers
coming
in,
we
see
an
opportunity
of
higher
MTU
growth
as
well
as
OPD
growth
in
the
future,
but
we'll
keep
a
balance
on
getting
the
right
consumers
rather
than
just

run

after

an

OPD

number ,

which

may

not

be

sustainable

for

the

longer

term

as

well.

Ankur

Rudra:

Just

I

think

a

related

question

was,

was

there

any

impact

of

the

GST

cuts

in
the
cadence
of
the
business?

Rahul

Bothra:

Yes.

So

see,

we

are

largely

dealing

in

non-discretionary

kind

of

spending.

So

we

haven't

really

seen

any

significant

movement.

At

the

same

time,

we

didn't
see
any
dip
which
the
other
platforms
saw
as
a
lead
up
to
the
changes.
So
I
think
the
business
has
been
pretty
consistent
and
continues
to
perform.
In
some
categories,
there

is
some
tailwind,
but
again,
not
impactful
enough
to
make
a
large
impact
on
the
platform.
Ankur
Rudra:
Understood.
You
first
mentioned
and
as
we
discussed
on
the
call
also
the
capital
raise

you're
considering.

So

once

you

do

raise

that,

do

you

think

you

have

a

blueprint

to

potentially

accelerate

your

GOV

or

NOV

growth

and

MTU

growth

further?

And

what

do

you

think

you

need
to
do
to
further
accelerate
from
here?
Rahul
Bothra:
No.
As
I
mentioned,
even
our
current
cash
balance
is
sufficient,
including
the
cash
accrual
that
we
see
from
the
profitable
food
delivery

business,
to
finance
the
ambition
that
we
have
in
the
quick
commerce
business.

At
the
same
time,
we
don't
know
enough
about
some
of
the
future
opportunities
including
in
the
quick
commerce

business

that

how

long

can

we

continue

to

sustain

this

triple-digit

growth.

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19

So

we

are

boosting

our

cash

reserves

towards

that

growth

capital

as

well

as

the

strategic

reserves

considering

some

of

the

innovations

that

can

start

firing

from

our

table.

Ankur

Rudra:

Understood.

Just

last

question,

if

I

can.

Working

capital

improvement

was

very

sharp

this

time.

How

should

we

think

about

the

working

capital

movement

going

forward

is

what

we

saw

this

quarter

sustainable?

Or

should

we

see

negative

working

capital

or

a

return

to

the

kind

of

working

capital

investment

that
was
happening
in
the
last
2
quarters?
Rahul
Bothra:
As
I
mentioned
in
the
last
call
that
the
cycles
are
now
kind
of
established.
We
do
see
some
bit
of
efficiencies
that

can

land

depending

on

how

the

month

end

and

payment

cycles

play

out.

So

you

should

expect

that

the

number

of

days

of

working

capital

should

not

go

up.

At

the

same

time,

in
one
quarter ,
if
it's
higher
or
lower ,
can
be.

Moderator:

Our
next
question

is
from
the
line
of

Aditya
Soman
from
CLSA.

Aditya

Soman:

So
two
questions.

Firstly ,
on
the
loyalty
program,

Swiggy

One

and

Swiggy

One

BLCK.

Can

you

give

us

a

sense

of

what

proportion

of

Instamart

customers

are

coming

from

the

loyalty

program?

And

then

maybe

in

the

related

lines

that

you've
also
split
your
app
for
Instamart,
I
mean,
between
the
common
app
and
a
separate
app.
So
can
we
get
a
sense
of
what
proportion
of
customers
is
coming
on
the
separate

app?

And

has

it

accelerated

as

that

separate

app

has

been

sort

of

extended?

Rahul

Bothra:

So

unfortunately ,

we

won't

be

able

to

share

specific

numbers

as

these

are

sensitive.

At

the

same

time,
we
can
tell
you
that
the
separate
app
strategy
has
worked
out
really
well
for
us,
so
especially
in
some
of
these
newer
cities
and
new
to
Swiggy
customer
acquisition
has
been

pretty

strong

on

the

separate

app.

Aditya

Soman:

All

right.

And

maybe

then

if

you

can't

give

me

specific

numbers,

and

also

in

terms

of

the

split

between

sort

of

food

delivery

customers

and

new

to

Swiggy

customers,

would

that

be

--

would

that

now

be

incrementally

much

larger

in

terms

of

sort

of

the

proportion

of

new

to

Swiggy

customers

coming

on?

Or

would

it

still

be

a

large

chunk

of

food

delivery

customers

that

are

all

common

customers

that

are

using

the

platform

for

Instamart?

Rahul

Bothra:

So

we

are

seeing

both

the

adoption

of

the

multi

services

users

using

multiple

services

continues

to

inch

up

as

well

as

new

Swiggy

users,

especially

at

the

back

of

the

Instamart

proposition

continues

to

increase.

Aditya

Soman:

But

would

it

be

fair

then

to

say

for

me

that,

let's

say,

the

proportion

of

new

to

Swiggy

customers

is

rising?

Rahul

Bothra:

Yes,

and

that's

also

the

trendlines

that

you

should

assume

going

forward

considering

the

overall

TAM

that

exists

for

the

quick

commerce.

Aditya

Soman:

And

then

one

of

your

competitors

obviously

has

moved

to

an

inventory

model.

Obviously ,

at

this

point,

I'm

assuming

you

cannot

do

it.

But
any
plans
on
doing
that
or
any
advantage
do
you
see
of
doing
that?

Page
17
of
19

Rahul
Bothra:
So,
I
think
we
have
mentioned
this
in
the
past

that

this

is

an

eventuality

that

we

do

expect

that

to

happen.

So,

if

you

look

at

our

domestic

shareholder

base,

it

has

now

gone

above

43%

in

a

very

quick

time.

So,

since
our
listing,
this
has
more
than
doubled
and
we
do
expect
this
to
cross
the
threshold
and
at
such
time,
we
can
convert
ourselves
to
an
inventory-led
model.

There
are
certain

benefits

both

on

the

numerator

side

as

well

as

certain

investments

that

happen

on

the

denominator ,

which

is

the

cash

flow

side.

So

that

accrual

will

happen

if

and

when

we

change

to

this

model.

Moderator:

Ladies

and

gentlemen,

we

will

now

take

one

last

question

from

the

line

of

Abhisek

Banerjee

from

ICICI

Securities.

Abhisek

Banerjee:

Congratulations

on

a

great

set

of

numbers.

So

one

question
is
that
today ,
there
was
an
article
which
came
out
where
one
of
your
competitors
claimed
that
their
order
numbers
are
almost
40%
higher
than
you
during
the
Diwali
season.

And
they

are
basically
saying
that
in
which
case,
there
is
no
way
that
you
can
be
higher
on
an
NOV
basis.
So
if
you
could
give
some
c
larity
on
that,
plus
if
you

would

have

any

data,

which

would

give

clarity

on

what

is

the

burn

rate

for

the

overall

segment,

these

two

data

points

will

be

very

helpful.

Sriharsha

Majety:

Harsha

here.

So

firstly ,

I

mean,
even
in
the
past,
when
we've
been
asked
along
this
line,
it's
easy
to
compare
with
a
publicly
listed
peer,
but
it's
very
hard
to
look
at
the
numbers
of
privately
listed

peers
and
you
can
understand
their
definitions
of
how
they're
calculating
everything
that
they're
suggesting.

So
that
just
makes
it
really ,
really
hard,
but
at
the
same
time,
volume
growth
and
getting
volume

growth

and

buying

it

in

orders

by

choosing

the

path

of,

let's

say,

very

poor

average

order

values

and

Contribution

is

a

choice,

but

it's

not

really

a

choice

we

want

to

make.

In
the
end,
we
are
playing
to
win
in
the
long
term
and
for
that
the
staying
power
happens
at
the
stages
of
the
category
only
if
you
are
consistently
making
progress
on

the

Contribution.

So

we

believe

that

--

I

mean,

we

do

not

know

at

least

how

to

operate

like

that,

maybe

at

very

poor

AOV

and

Contributions

because

that

we

definitely

believe

will
dent
our
staying
power
in
the
medium
term.

As
per
the
overall
spends
in
the
category ,
as
Amitesh
mentioned,
I
think
intensity
has
been
high.

I
think
there
are
a
bunch
of

players
in
the
category .
So
it
would
be
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Abhisek

Banerjee:

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brands.
Now
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on
this
NOV
to
GOV
ratio?

Page
18
of
19

Amitesh
Jha:
NOV
to
GOV
reduction
is
because,
obviously ,
the
non-grocery
mix
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and
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event.

I
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want
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trend.

Consumers
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come
back.

They're
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their
baskets
and

it
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happening.

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proportion
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Swiggy
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this
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trend
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increase.

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FMCG

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Abhisek

Banerjee:

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Amitesh

Jha:

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So,
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It

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We
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will
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The
quality
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Harsha
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We
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Moderator:
With
that,
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and

gentlemen,
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will
end
our
question-and-answer
session.

On
behalf
of
Swiggy
Limited,
that
concludes
this
conference.

Thank
you
all
for
joining
us.

You
may
now
disconnect
your
lines.

Call: Feb 2026

SWIGGY LIMITED

(formerly known as "Swiggy Private Limited" and "Bundl Technologies Private Limited") | CIN: L74110KA2013PLC096530

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REF: SWIGGY/SE/2025-26/92

February 04, 2026

To

The Deputy Manager

Department of Corporate Services

BSE Limited

PJ Towers, Dalal Street

Mumbai -400001

Scrip Code: 544285 To

The Manager

National Stock Exchange of India

Limited Exchange Plaza, Plot No. C/1, G Block Bandra-Kurla Complex, Bandra (E), Mumbai 400051

Symbol: SWIGGY

Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference Call for Analysts and Investors held on Thursday, January 29, 2026.

Ref: Disclosure pursuant to Regulation 30 read with Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015. Pursuant to the provisions of Regulation 30 read with

Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit

the transcript of the Earnings Conference Call for Analysts and Investors held on Thursday, January 29, 2026. The said transcript is enclosed herewith and has also been hosted on the website of the company. The link for accessing the transcript is provided below:

<https://www.swiggy.com/corporate/investor-relations/financial-results/>

This disclosure is being submitted in compliance with the aforementioned regulation and is for your information and records.

Thanking you, Yours faithfully,

For Swiggy Limited

Cauveri Sriram

Company Secretary & Compliance Officer

Swiggy Limited

Q3 FY26 Earnings Conference Call

January 29, 2026

MANAGEMENT :

SRIHARSHA MAJETY – MANAGING DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SWIGGY LIMITED

RAHUL BOTHRA – CHIEF FINANCIAL OFFICER – SWIGGY LIMITED

ROHIT KAPOOR – CHIEF EXECUTIVE OFFICER, FOOD MARKETPLACE – SWIGGY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Swiggy Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head of Investor Relations. Thank you, and over to you, sir.

Abhishek Agarwal: Thanks, operator. Hello, everyone, and welcome to the Third Quarter FY 2026 Earnings Conference for Swiggy. Our financial results and shareholder letters have been published on the exchanges, and the information pack has been placed in the Investor Relations section of our website www.swiggy.com.

We would like to inform you that the management may make certain comments on this call that one could deem forward-looking statements. Specifically, the financial guidance and pro forma information that we will provide on this call are management estimates based on certain assumptions and have not been subjected to any audit, review or examination procedures. Swiggy does not guarantee these statements and is not obliged to update them at any time.

Joining me on the call today are

Sriharsha Majety – MD and Group CEO, Rahul Bothra – our CFO, Rohit Kapoor – CEO of Food Martketplace, and Amitesh Jha – CEO of Instamart.

With this brief preamble, let us start the Q&A. Operator, you can please go ahead.

Moderator: First question is from the line of Vijit Jain from Citi.

Vijit Jain: My first question, as you scale up the business, can you talk a little bit about the sourcing advantages that could unlock at scale? Could you unlock additional margins as you could do better price negotiations with brands and sellers? And broadly speaking, your views on how your scale can drive better input costs into your quick commerce operations would be helpful. That's my first question.

Amitesh Jha: Sure. Yes. Hi. It's Amitesh here. The scale of operations, which effectively is measured in either GOV per store or the number of orders per store, will have an impact on the better utilization of our infra. So that's the first part that comes in. Now the scale of the movement for all the items that we sell, there is a bigger opportunity of monetization with the brands that we explored.

And we have also seen that over the last year as well, where the monetization opportunity has moved up as and when our scale of revenue with the brands have increased. So yes, these are the two parts in which we see that scale coming up, and it actually comes almost every quarter.

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Vijit Jain: Got it. My second question is, now that you have -- from a balance sheet point of view, you now have a cash balance of almost \$2 billion and I know that the working capital intensity of the business continues to rise. So in general, could you utilize the cash balance for better terms from brands and sellers as well? Is that a fair assessment to make? That's my second question. And then finally, if you could give me your views now on seeking IOCC? Thank you.

Rahul Bothra: Yes, sure. Hi. Rahul here. In terms of your question around your ability to pay faster to vendors and therefore get a higher margin, I think it's a combination of optimizing both on credit days as well as getting better margin structures, and its overall terms of trade that we agree with these brand partners of ours. So it's a continuum.

I don't think necessarily that because we have a higher cash balance, we will end up paying

faster. At the same time, I think there's both the top line in terms of the overall margin structure that has to improve as well as trade days that have to continue improving. On your question on IOCC, I think we continue to get closer with

every passing quarter. The

QIP also helped. Our overall allocation to the domestic investors was significantly higher compared to the foreign investors. We are currently at around roughly 47% in terms of our overall domestic shareholder base. And when we hit the majority mark, which should as we had said in the past, it will be an eventuality, we do expect to convert into an IOCC structure.

Vijit Jain: Got it. Thanks. And lastly, on the Food Delivery side, congratulations on solid all-around great results on the Food Delivery as well. My question is now Food Delivery in this quarter has grown above your guidance, marginally above, but still 21% Y-o-Y and you've had a pretty solid growth in Monthly Transacting Users ("MTUs") here as well.

And good to see that both contribution and adjusted EBITDA margins also expanded. My question is, you've kept your guidance unchanged though, on the growth rate at 18%-20%.

And I'm wondering, given the MTU growth is strong and some of these will improve in engagement, is -- do you feel more confident that you would probably comfortably exceed the lower end of the guidance? Thank you.

Rohit Kapoor: Hi. This is Rohit here. I think you're right. We've grown 20.5% on GOV and 22% on MTU.

The guidance remains at 18%-20%. I think the momentum is definitely there in terms of growth, and we'd like to watch it another quarter maybe before we become more sanguine in terms of what shape it's taking. But you're right, at least at the input level we are feeling more confident about hovering near the upper end of the range than the lower end of range here.

Moderator: The next question is from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: I wanted to check on the quick commerce business and the reiteration of the guidance for the contribution margin. So just wanted to check whether -- and you've talked about the competitive scenario changing a lot. So is this guidance sort of completely or largely dependent on what we do internally as a company? Or do you incorporate any change in competitive dynamics for this guidance to materialize?

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Amitesh Jha: No, we don't see any change in the guidance of the competitive environment. Whatever we have factored in is assuming the competitive environment remains the same, which is already extremely high. Just to give you an assessment on how we are looking at our approach on making sure that we hit our contribution margin guidance. One of the things is that there are structural improvements that we have, that have no bearing at all to what the competition is doing.

Some of them are scale-led as we already spoke about and some of them are ads led, which is dependent on something that we are already seeing. The remaining part, which is more discretionary, which has led to cart-level discounting as well as the investment that we do to make sure that we are being more competitive in the overall environment is quite discretionary. And what we are doing right now, what we have done elsewhere as well, whenever it is required, we will be investing. But on the balance of it, what we see is that there are clear opportunities for us to pull back investments from where we believe that they were inefficient, and we'll continue to do that. That's the reason we are choosing this as an opportunity to not go after the investment, which is non-conducive for our long-term growth and we'll continue to be at that particular path.

Jignanshu Gor: That's very helpful, Amitesh. My second question is on the balance sheet. So I'm trying to understand two numbers. One is that the capex seems high, despite that we've not added a lot of stores. So that's one, how do I square that circle?

And second is working capital infusion into the business also seems a little volatile. So how do we think of this number in the context of a 3P business model? So those two are my last questions

. Thanks.

Rahul Bothra: Yes. Rahul here. So in terms of the overall capex investments, it is twofold. One is in our darkstore infra expansion. The second is in our warehousing capacity expansion. In the recent time, as you observed the last couple of quarters, while the overall growth has been lower on the darkstore addition, on a 4-quarter basis, we have also substantially increased our footprint on the darkstore network.

Now talking about the quarter on hand if you look at our overall warehousing capacity and a lot of this warehousing capacity is also coming into Tier 2, Tier 3 towns where we expanded, putting in the infrastructure on warehousing helps us to reduce our middle mile, also helps us to replenish our stores faster and get closer to consumers.

Overall, if you look at the last 4 quarters, we have more than doubled our warehousing

capacity, which has been a key component of the capex spending. We do expect to have a little bit more spending on the capex side, especially on the warehousing piece. This is to structurally improve our supply chain efficiencies.

In terms of the working capital, again, as you rightly said, over the last couple of quarters, we've added roughly INR130 crores. This is, again, in line with our guidance where we had said that overall, on a DOH basis, this is not going to go up. So if you cumulate over the last

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couple of quarters, it's only been an INR 130 crores addition. While our overall say net order value on the Consumer businesses have gone up by close to 18%.

So this is again in line with our top line growth. We will continue to find efficiencies and work towards bettering our overall net working capital days, which you should see in the subsequent quarters.

Jignanshu Gor: Okay. So this working capital, just for my understanding and a small follow-up. How does that work? You need working capital at the darkstores, so more network needs more capital despite the inventory not being on our books?

Rahul Bothra: Yes. In the past I've mentioned that a lot of this gets stuck around the brand investment that they make in our platform, including advertising, including trade, support or consumer discounts that are funded by the brands and some of it also in our B2B business.

Moderator: Next question is from the line of Aditya Soman from CLSA.

Aditya Soman: So two questions, largely on quick commerce. So firstly, in terms of the guidance on contribution, how sacrosanct is that -- in a sense at what level of growth would you accept for the breakeven to happen? Because we've seen growth decelerate both sort of at least sequentially in this quarter and is actually meaningfully lower than your other competitor that reported numbers.

So from that perspective, with the cash balance that you have, how do you decide the balance between sort of growth and achieving that contribution breakeven? And then the second question on the same lines. We've seen sort of prices of late on Maxxsaver not being very different from just a standard app. Does that mean that at least that initiative on Maxxsaver seems to be a little bit on the back burner now as the focus on contribution margin improves?

Amitesh Jha: Yes. See, the way to think about it is that growth and contribution margin are separate parts, at least in our head. The way that we are looking at our business is growth has many reasons for not happening, one of the primary is obviously the irrationality in the market which has impacted both the listed players in this particular space.

We believe that irrationality will continue and will have a headwind on our growth, something that we have already factored in when we gave the contribution margin guidance as well. The other thing is what I told, there are 2 aspects of our contribution margin story.

First part will be about the structural margin improvement that we keep on going. And the second part is how much of the discretionary inv

estment that we want to do. One of the things

that we have taken up as a very clear output of all of this is that we are not going to throw good money at bad growth. That is something that we are fully committed to. And that, for us, is the reason why we will never compromise good growth for any good margin.

Yes, we may compromise bad growth and something that we are willing to do as well because we don't believe that is going to be a sustainable advantage in the future. That's the reason we believe that, yes, we'll have the right growth that we should be having for our ultimate goal of

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being the market leader is essentially addressed and also make sure that we are at the right contribution margin. On the Maxxsaver -- sorry, go ahead, you have a follow-up?

Aditya Soman: Yes, just a follow-up on that. I mean, for me, where I'm struggling a little bit is -- I mean, obviously, your growth compared with, let's say, Blinkit is a lot lower. And at the same time, we see the other competitors discount heavily. So in this sort of environment, when you say that your target is obviously becoming the market leader, how do you make that balance right between contribution?

I understand that there are structural elements to that improvement in margin, which you explained which I'm cognizant of. But obviously, a large part is also sort of discounting. So what I want to understand is, at what point does that take a back seat in a sense that you will say that, look, it's fine if we even do it in 2 quarters later, but for now competing for that customer is more relevant or that's not?

Amitesh Jha: Yes, absolutely. One of the things is very clear. If the ambition is real market leadership, it's never going to happen by spending tons of good money on honestly buying growth. We

believe that the irrationality of that growth is so high that it is leading to customers switching from one platform to the other without having any kind of loyalty.

What we look forward to as good growth is a customer that was sticky to the platform, who is going to come back again and again compared to whatever the other people are actually giving. What works in this case is the value proposition that you are giving to the end-consumer.

We believe that our assortment, our way of approaching what customers really require and making sure that we give that assortment, is the way to market leadership. If the question is, can we do more numbers just because we want to show higher OPD, yes, it can be easily done by actually putting money into what we call as Growth. We don't believe it is actually structural growth.

The right structural growth is putting investment into an area that is sustainable over the long run and that will really give you an opportunity to be the market leader rather than just saying that let me buy growth because it allows me to say that I have done a higher OPD. We believe that is the right path which we have always committed to, and we are essentially reiterating that commitment by saying that we'll be at contribution margin zero in the quarter of AMJ'26.

Aditya Soman: All right. Understood. Yes.

Amitesh Jha: Yes. On the Maxxsaver bit, I think that was another question. The habit building has been actually quite successful. The QND quarter was also kind of different because it is paid by a lot of what you call as non-grocery item sales as well. So the Maxxsaver slightly becomes irrelevant in this particular quarter.

Essentially, that said, we always keep on doing slight changes in the way our investment goes between Maxxsaver and non-Maxx. A part of that is also because of what we saw happening in this particular quarter. We reiterate our commitment to Maxxsaver to make sure that the people

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who are already used to buying a higher basket, giving the overall platform better profitability in terms of revenue per order. We are fully committed to that, and you will s

ee that happening

in this quarter and next as well.

Aditya Soman: And just a follow-up on that Maxxsaver point. I understand where you're coming from. But does this, in some ways, encourage sort of cart building behaviour, which, in effect, takes away that advantage of quick delivery in a sense that then people are building a cart over a period of time to make that order so that the relevance of quick delivery may not be so important. And then some of the sort of slotted delivery players also become competitors?

Amitesh Jha: See, the way to think about and this is something that we have spoken in multiple forums. The way to think about it is there is a customer mission when they say that they want to build a bigger basket. You have to make sure that the proposition that you give is appealing to them. That is the path that we have always followed in this particular thing.

Speed is important because I think one other thing that has happened because of advent of quick commerce, a lot of baskets that were earlier a part of what you would call as planned purchases are moving towards smaller baskets, though relatively still larger compared to the discretionary purchases that we have that will still remain.

So, we believe that the behavioural shift from having month-long planned purchase to week-long planned purchase will keep on happening and Maxxsaver actually addresses that. There is no way out of it. At some point of time, as I said earlier, everyone has to address that. And that is a way of making sure that all wallets of the consumers comes to us. So we are fully committed to it. And the other thing on Maxxsaver is also that the retention of Maxxsaver is actually similar or higher than what we see for non-Maxxsaver customers. So the belief on that is also very strong.

Moderator: Next question is from the line of Sudheer Guntupalli, from Kotak Mahindra.

Sudheer Guntupalli: Few questions. Your AOV both on gross and net basis has seen a strong increase Q-o-Q despite you actually experimenting with this cart breaking behaviour of no fee about INR299.

So how much of this AOV increase is structural? Is there any element of seasonality or mix shift, which has also contributed to this strong AOV increase, especially in this quarter?

Amitesh Jha: Yes. This quarter, because of the seasonality or the nature of the business, yes, it is a lot that. That said, structurally we are still moving up is the headline that I would still want to keep. But obviously, the amount of movement that you see in this quarter is heavily moved because of seasonality.

Sudheer Guntupalli: Sure, Amitesh. Second question is on the OPD metric. In this business, if we believe that OPD is a vanity metric anyways, why are we even responding to competition from unlisted players, especially on the cart downsizing or breaking behaviour, especially in the backdrop of other listed players choosing not to respond. So why not just focus on Maxxsaver and other initiatives where we seem to be doing well and that seems to be working for us?

Amitesh Jha: So I'll focus on maybe trying to address how does it impact our consumer base and why at some point of time, people respond and at some point of time, people don't respond. There are two kinds of customers that you can think of in any portfolio. One consumer is a sticky customer. You don't want that customer to go away for sure. Thankfully, that doesn't get impacted because of this.

And that is where Maxxsaver comes in play, all the other propositions presently. There are early users who are very important for us who are on the path towards becoming mature users and frequent users for us. It is important for us to make sure that the value prop to them is not getting diluted by irrationality in the market. That is done by everyone.

Everyone -- and if you look the way people have responded, either it could be because of the no fee construct that we took, e

ither it could be because of lowering the minimum order value.

All of that is something that happened. Now even in this thing, the way we approached our no fee construct was always to make sure what we spoke about is to make sure that the right consumer behaviour is being addressed.

That's the reason we didn't go to the INR 99, which would have been the easiest OPD vanity metric to go after. We didn't go there because we wanted to change the behaviour, and it is reflecting that. It is reflecting on the consumers who are more mature, actually growing faster than actually any other cohort and which basically shows that customers are becoming more sticky to our platform.

We believe such kinds of interventions now and then will always be required, and that is the reason why we want the flexibility in where we spend. That said, of course, I completely agree with you, OPD vanity metric that just goes on how much I can get from the same customer at INR 99 or even slightly higher load than that is absolutely not conducive to the way we are building our platform.

Sudheer Guntupalli: Fair enough. And you mentioned that almost -- in the investor letter, you mentioned that almost 90 basis points of contribution margin expansion was reinvested into this no fee of about INR299 campaign. So is it fair to assume that in the absence of this, the reported revenue and EBITDA would have been higher by around INR70-80 crores ? And an extension of this question, now that you are saying that this campaign has found limited success so far. Are we sort of pulling back on this thing?

Rahul Bothra: Rahul here. See, I think, yes, we had guided that we are going to improve by 260 basis points over the three quarters. And towards that, there are structural improvements that we absolutely banked. So 100 basis points improvement is something that we got in the previous quarter.

Some of it got reinvested, actually, more of it -- more than 100 basis got reinvested in some of these campaigns, which was also an experiment to test how are these new users being acquired. Are they going to remain sticky on the platform? And when we saw limited adoption and retention, we have decided to change some of these constructs. Now we do retain the flexibility to continue to invest behind the right experiments.

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I don't think we are going to give up the growth ambition that we have at the same time going after any kind of growth is something, which is not on the playbook anymore, at least not for us. So we want to remain focused and over the next two quarters, getting 250 basis points with some of these reversals as well as some of the investment choices that we're going to make. We think the commitment is very high to be able to do that.

Sudheer Guntupalli: Sure, Rahul. Just on the math, so the INR80-90 crores hit at both reported revenue line and EBITDA line would have been a fair assessment, right? If you were to contextualize that 100 bps of reversal?

Rahul Bothra: That's right. As I said, we don't want to give specific numbers on how much that initiative cost. But broadly, you're right that because we didn't show any high improvement in the contribution margin, most of the gains got reinvested and it would be in the zipcode of the number that you're mentioning.

Sudheer Guntupalli: Just a last question. GOV to NOV conversion that has come down by around 100 basis points from last quarter to this quarter. Is this a function of higher discounting from our balance sheet? Or is this because of the shift of mix away from grocery into consumer durables, etc., which also ties up with the seasonality thing that Amitesh was mentioning earlier?

Rahul Bothra: A large part of the shift is the seasonality because of it being a festive quarter, there are a lot more non-grocery selection that gets added. We do believe that it should not go significantly further from here, and with some of the initiatives on us bein

g able to monetize better, they should start inching up. Because also as we've seen our non-grocery has now crossed 30%. So we also don't see a significant headroom to continue expanding. We do believe that it will expand, but not at the same pace anymore. And some of the monetization initiatives will mean that the NOV-GOV ratio will start converging on the higher side.

Sudheer Guntupalli: Fair enough, Rahul. And just one clarification. So this is basically the shift of mix towards non-grocery. Basically, it's the difference between MRP prices and the actual sales prices that the brand might be doing. So it might not necessarily be because we are discounting on our end?

Rahul Bothra: That's right. It's the list price versus what the customer ultimately pays. And therefore, some of these have lower market operating prices compared to the list prices.

Moderator: Next question is from the line of Gaurav Rateria from Morgan Stanley.

Gaurav Rateria: My first question is on your contribution margin at the quick commerce business. It was really heartening to see 100 basis points of margin improvement. Is it the same pace at which one should assume organic margin expansion because of network operating leverage in the next two quarters? And along with that, there will be some benefit of reversal of some of the campaigns, which will lead you to breakeven. And what it really means in terms of percentage of stores that will be contribution margin positive, which is 25% as of now?

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Rahul Bothra: Yes. So Gaurav, on a reported basis, we haven't shown that improvement. As we have talked about it, there are structural levers that continue to move northward and therefore our ability to navigate to this contribution margin zero and then get into a positive territory remains high.

Gaurav Rateria: Got it. My second question is on your expansion. If you see, your space expansion was almost 100% Y-o-Y, which also coincides very much with the GOV growth. And the current pace of expansion is implying that the overall space will grow at 20%-25%, if this is the pace that continues over the next few quarters. So my question is how much improvement in throughput can really happen from a 12-month point of view?

I know that you have mentioned that you can go to 2x of GOV per store -- from a throughput perspective over a period of time. That is the kind of headroom that you have. But from a 12-month perspective, if the space is going to grow at 20%-25%, how much throughput really can improve, which will be the key driver behind the GOV growth? Thank you.

Rahul Bothra: Yes. See, we'll not give specific guidance, but over the last couple of quarters, you may have seen that our utilization has gone up about 5%. So we do believe that there's significant headroom. In the near-term, getting a 25%-30% increase in our throughput per store is a near-term target.

Now how quickly can we get there. Again, there's a combination of both AOV-led growth as well as volume growth. Again, within volume, there are certain cohorts that we are currently not participating in or not willing to participate in. So depending on how the market overall plays out, we do believe and our overall store strategy, the network is well laid out in terms of number of cities, also in terms of densification, speed of the network.

So we have all the right consumer inputs in place without having the need to necessarily add significantly more number of stores apart from densification, which we will continue to do. So you will see a certain pace of store additions. At the same time, the headroom remains large, and our ability to, therefore, demonstrate operating leverage is very, very high over the next 3-4 quarters.

Moderator: Next question is from the line of Sachin Salgaonkar from Bank of America.

Sachin Salgaonkar: My first question is on quick commerce. When we look at the revenue growth, it's lower as compared to the

last few quarters. When we look at absolute losses, it's actually higher. Now I do understand Amitesh's earlier comment that it's the irrational competition, which is leading to headwinds of growth.

So the question out there is, if you're not seeing growth, does it make sense to spend so much on marketing? And how far are we away from a point where EBITDA losses have peaked and going ahead, we should see the absolute amount of losses coming down?

Rahul Bothra: Yes. So, Sachin, I think we called this out that with the couple of quarters of guidance that we're giving on contribution margin, there's also the marketing intervention that you're rightly observing that we will like to take. So we are calling out that this would be the peak of the investments. And from here on, gradually, you will see that reduction happening, both on the

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contribution line as well as operating leverage being driven apart from rationalizing some of the marketing spending.

So these are some of the levers that are in our hand, and we are going to modulate this in terms of the overall aspiration on the kind of quality of growth or the quality of underlying growth that we are going after. So there is for us to be able to navigate some of these and rationalize them. The choices will be made. It's hard for me to then tell you that we don't want to go after continued good quality growth.

And wherever pockets of good quality growth will be seen, we will continue to invest. So we are not giving up our aspirations. At the same time, choosing some of the right quality of investments for the right kind of growth is something that we are committing ourselves to.

Sachin Salgaonkar: Rahul, basis this comment, is it fair to conclude that revenue growth could be a bit slower as long as irrational competition remains high, but losses going ahead should start going down on an EBITDA basis?

Rahul Bothra: Yes. As we said, slightly -- in terms of absolute guidance on growth is a little hard from where we stand considering all that's happening in the market. At the same time, our ability to navigate on the overall, say, burn profile, EBITDA as well as contribution margin remains high because a lot of these are inputs which we are in control of.

I think in terms of volume growth, some of this is market determined. At the same time, some of the cohorts adding more baskets, attach rates, and overall selection increase, helping us to continue to add a lot more consumer missions, that remains very high.

Abhishek Agarwal: And Sachin, on your question on adjusted revenue growth being lower, that's mainly because of the no fee construct.

Sachin Salgaonkar: Yes. But that's here to stay, right? That's what we are talking about as long as competition is high, that's here to stay?

Rahul Bothra: No. So as we have called that we are making some choices around changing or tweaking some of these investments. So you will see more of this with the days ahead. So that's not a permanent feature is what we want to call out.

Sachin Salgaonkar: Okay. My second question is, when I look at your GMV growth for the last four quarters and compare it with the revenue growth, revenue growth is lower than GMV growth. So in effect, the implied take rate has been coming down. Is this primarily driven by mix shift? And could this continue to come down going ahead?

Rahul Bothra: So yes, largely, it is mix. And in the latest quarter, it's also to do with some of the consumer side fees that we chose to give up. We are focused on continuing to improve the base margins.

And now that we believe the mix overall will start stabilizing, you should see the take rate starting to inch up.

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Sachin Salgaonkar: Got it. And lastly, any colour on competition on the ground in the last few months. I understand it's irrational, but is it coming down? Is it increasing? And basis that, given the cash balance what you have versus a qua

rtter back, any change of strategy from you guys?

Amitesh Jha: The competition that we started seeing in fact from October itself will essentially remain and it has remained at a similar level. We believe that it will remain at the same level. There are new entrants in the market who are also amping up the amount of money being spent on the consumer. And obviously, there are players who are existing in the market who are also at the same level.

We believe that in general, a lot of that is not leading to an overall healthy consumer growth as we essentially called it. The healthy consumer base, the way we define it, is consumers who come to quick commerce and stick to quick commerce for the right reasons, increasing their basket size and everything. Wherever we have seen a growth in orders for any of these platforms, the basket sizes have not increased. In fact, it has gone down by a lot. So yes, that's the reason we chose not to be in that particular space.

At the point where we believe that our proposition is working, our proposition of assortment, our proposition of availability, our proposition of making sure that we give assortment that people have not seen in other places are the things that are structurally going to make this movement as possible and make it also resistant in the future to any of these kind of activities that will keep on happening in a fast-growing market.

Sachin Salgaonkar: Got it. Amitesh, and a quick follow-up to what you mentioned. We've seen new entrants. But when you look at the value proposition of what a new entrant is bringing to consumers, do you see it largely a me-too kind of a value proposition where discounting is the only weapon being used? Or is there anything structural with what some of these new guys are doing or differentiated, which allows them to be a sort of a sustainable credible competitor in the medium term?

Amitesh Jha: I would be very worried if it was the case and would have come and said that, okay, for that, we need to really defend ourselves. Thankfully, we have not seen any of the new entrants playing that game. They are going after the vanity metric of orders, not on the orders that

really matter to the end consumer.

We believe there is a cycle that everyone has to go through. They will go through, and it will come back to the same proposition that the retention of the customers only happens where the core value proposition is at that level and which is what we are actually going after. So yes, I'm very less worried because of those reasons.

Moderator: Next question is from the line of Gaurav Malhotra from Axis Securities.

Gaurav Malhotra: I had a few questions. On this letting go of, say, the lower quality growth, so to speak, essentially, the newer users who are coming in for whatever reason, right, for discounting or whatever we are sort of okay to let go of that. At a time when the company is well capitalized, the penetration of quick commerce is still quite low, right? You rightly pointed out.

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Wouldn't it become more expensive for you to get the subscribers when things settle down because like you said, competition is not like settling down anytime soon? So how do we think about letting go of this growth now, but then having to possibly spend a lot more to gain the subscribers back later on?

Amitesh Jha: There are two cohorts, which are very important for mature customers and new customers.

Anybody who's infrequent on the platform are those who do what we call as multi-apping behaviour just based on the discount. Our investment in new users will remain, getting out, making sure that new customers come to our platform is something that we are fully committed to and we'll keep on doing that. Our investments to make them move from new user to matured user on our platform will be based on structural aspects.

And we believe that particular path is what we are still working on. In that, there will always

be some

fallouts or some customers who move out who are very discount seeker, we are absolutely okay to do that, to let that go because we believe in the end, ultimately, when they look at quick commerce, the only thing that will matter to them is what assortment they are getting, what availability and how far they get.

And which is where we believe that our proposition works better than any of the new players who are coming in. So yes, acquiring customers still remains a feasible priority, making sure that they move to a mature customer is also feasible priority, investing good money into a bad way of making sure they move to mature customer is not a priority at all because all of them will move out as soon as that money is actually pulled up, which everyone has to do at some point of time.

Gaurav Malhotra: Any sense on how has your market share sort of moved, say, in, say, Bangalore or any sort of a larger region if you are more comfortable with that say versus in North India? Any sense how you're seeing how the market share for you has been moving?

Amitesh Jha: We don't comment about market share movement. But what I will talk about is that, yes, large cities are still growing -- the cities that we are in are still going extremely fast. So the headroom in growth is still at the level that we had assumed essentially earlier. So yes, that commitment to the cities that we are in will always remain. Market share movement is something that we won't be commenting on.

Gaurav Malhotra: Got it. And just last one or two questions. Sorry, I'm harping a little bit on this market share. So in your shareholders' letter you have also mentioned that you are sort of rethinking about these waivers because they don't seem to be helping as much. But obviously, one competition is going with it.

The other listed player also did allude to being a little bit more aggressive in giving some sort of waivers starting during the Jan month. So what could change this current thought process of yours if you start sort of seeing market share shifts happening? Would that become sort of a trigger point for you?

Amitesh Jha: See, the way to think about it is that if we are losing customers, if our funnel from new user to matured user is significantly contracting, I would have agreed with you. And that is the reason

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we wanted to invest in the month of November, December and in January also to make sure that we see if it is happening or not.

It's very important to see what is the behaviour of the user when the market intensity is extremely high and which is what we did. We believe that we have learned a lot from that. And that is the reason why our confidence in moving back and making sure that we arrive at the right mix of where we spend and where we don't spend is there, which is what we have done. The last few months have been to figure out what works, what actually doesn't work. And now we are being on the path to make sure that wherever we didn't want to spend, we are not

spending. That market share movement, again, in order terms is not a consumer market share movement and that is what I want to call it out again and again. And that is what we are after.

Moderator: Next question is from Manish Poddar from Invesco Asset Management.

Manish Poddar: I'm just trying to understand a couple of things, again, probably which a lot of participants asked. So Amitesh sitting out, let's say, when I look at the journey, let's say last 2-3 quarters, and this is primarily for Q3, right? So a lot has been talked about competition. But if you look at the metrics, let's say, in terms of order growth, in terms of orders per store, in terms of losses, they are still probably not there, right?

This guidance of contribution margin breakeven by, let's say, Q1'FY27, like a delta swing of about INR20. You look at Food and QC both. I haven't seen that in both the players in the last so many quarters happen.

enig. So I'm just trying to think about sitting out as an investor, because there's no metric to gauge whether this is structural consumer, tactical consumer, good consumer, bad consumer? There's no metric to track consumer market share.

So how should one gain confidence on what you're trying to say whether 2 quarters out or let's say, 3-4 quarters out also, you'll become contribution breakeven? Other than just, let's say, the broader message because there are multiple lines which you can play in the P&L, right? And it's a functional market and market adoption.

So I'm just trying to gauge, and as one as to get some circle of confidence, there's no consumer metrics. How should one draw any confidence on that? I think that's the broader message which I want to understand? So thanks so much for this.

Amitesh Jha: No, absolutely. See, if you look at since the peak of the earlier cycle of investment, we have moved our contribution margin by a lot. In fact, the last quarter that we had, we had significantly improved and the path to contribution margin was also very clear at that point of time.

Now the reason why it moved was also because we were getting our structural cost, advertising revenue and the other wasteful expenditure in line with what our growth was essentially looking at. Now that particular path will go on, and we don't see a reason why that will move.

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So the way to look at that number is that there is an event that happened in this particular quarter, where their competition significantly increased. We invested a part or some of that money into understanding what is happening in that market and how should we respond. We figured out how we should actually respond. And then we are now looking back at the rightful expenditure across the board as well. So the quarterly movement of structural improvement in contribution margin is happening and will continue to happen as well.

Rahul Bothra: Yes. Just to add on Manish, Rahul here. So if you look between the March to September quarter of the previous calendar year, we actually added ~300 basis points. And as we said, we need to solve for 250 basis points over the next two quarters, so the confidence remains pretty high. And there are enough levers as you have also identified for us to be able to navigate that.

Manish Poddar: Rahul, actually, I'm sorry, I'm just trying to understand still because if you look at absolute numbers and not percentage numbers, contribution is in that zip code of INR200 crores still loss on a quarterly basis, that EBITDA number is still in that INR800-900 crores quarterly loss run rate. So percentages and there's AOV percentages and stuff like that.

So I'm just trying to look at the absolute number to move is a big task. I'm not trying to even hold you for Q1 or Q3. Where I'm trying to gauge or at least trying to get some confidence is there's some metric which you all can share, let's say, which gives us in terms of customer -- quality of customer, which you're talking about or market share in key cities, which at least gives some sort of confidence that if you're leaving some growth, which was not good growth, how should one differentiate?

Because otherwise, it's possible two more quarters down the line, because if you've seen the last 6 quarters since the listing, there have been a couple of times where you have earlier said that you'll breakeven out, they were goal posts, which got delayed. So I'm just trying to understand from metrics, not trying to hold it to any guidance.

I'm just trying to hold from any metrics, which can give us comfort sitting out and probably post -- probably next result, I'm just trying to get some confidence on that. I think if you look at absolute numbers, they are still at minus INR200 crores contribution and minus INR900 crores adjusted EBITDA from a quarter?

Rahul Bothra: Manish, one thing we can tell you is that when we get to zero, your

negative INR200 crores

contribution will become zero. So there will be this delta movement in terms of absolute cash flows that you will definitely see.

Now which lines we will touch is slightly competitively sensitive, so you will obviously understand why we can't give you that specific waterfall. But the fact that we have reiterated our guidance despite the competitive pressure that everybody is talking about. You should, therefore, rely on that. And obviously, the job is for us to execute on that. Do hold us accountable to that.

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Manish Poddar: Sorry, Rahul and Amitesh, it's not about the waterfall. It's more about, let's say, metrics, let in terms of consumer quality or cohort of consumers or market share by regions, which probably draws us comfort, let's say, in your core cities, you are doing well versus new cities. Some sort of color on that is what probably I am talking about. Not trying to triangulate a bridge for anything. That's what I am trying to get the broader message.

Rahul Bothra: See, we have given some specific numbers in the past, right? Our largest city is already contribution margin positive. A quarter of our network is already contribution margin positive, and that continues to get better and better. So beyond this, it will be honestly difficult for us to share specifics.

But we do want you to take away that there are sufficient levers which are in our control despite what's happening in the market. And therefore, the guidance hasn't changed. From the last quarter, I think all of us will agree that the intensity has gone up. And despite that, we are maintaining our guidance.

Moderator: Next question is from the line of Abhisek Banerjee from ICICI Securities.

Abhisek Banerjee: Just first of all, great performance on Food Delivery. There, I just wanted to understand one thing. So, on the growth part, obviously, you mentioned that you will want to watch out for another quarter before you talk on the sustainability of growth, but as far as the margin improvement is concerned, we saw that contribution margin improved by about 30 bps. And you have said that it has come from efficiency improvement. Now do you see further room for improvement there, especially in the context of gig workers talking about increasing their payouts, etc.?

Rahul Bothra: Sure. So I think our effort is to continue to increase the contribution margin. And you would have seen that despite some pressure on take rates because of the overall consumer side fee coming down, we have been able to grow our contribution margin by 30 basis points in the previous quarter. So from here on, our guidance of steady state remains solid.

We will get to 4.5%-5% of gross order value, and that will happen as a combination of both contribution margin as well as operating leverage, that we have demonstrated. So over the last four quarters, you may have observed that we've added 70 basis points on operating leverage, and you should continue to expect a large part of that to continue to happen over the next few quarters and then the balance will come through the contribution margin gains.

In terms of the gig economy question, I think, obviously, these are still work in progress in terms of the legislation overall developing. Whatever we have seen doesn't give us any shock element. There could be a small impact, but that would be a pass-through impact and therefore no impact on our P&L due to that. But we'll obviously know more when it's finally approved.

Abhisek Banerjee: So I was trying to understand whether you have managed to reduce your waiting times or whether there has been some sort of matching that you are doing? I mean what is driving this improvement? Can you give us some idea ?

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Rohit Kapoor: This is Rohit here. Just adding on to what Rahul said, if you look at the contribution margin, delivery cost reduction in it is just one component of 7 or 8 com

ponents which drive contribution margin.

And there the efficiencies will not come from reduction in earnings per hour of people, but more from ability to get the network to the higher productivity levels, which is, as you mentioned, intelligent batching, right, not in a ad hoc way, which we do to some extent already, and that modulates as per requirement of the density of orders, region, zones as well as the orders per hour.

So two messages. One, that it is not going to be driven by delivery costs only, but probably 6 or 7 factor line items, which we keep pulling northward. We don't, at this point in time, see risks on P&L from a delivery worker standpoint, I think we feel satisfied on that on two fronts. One is the legislation with the Central Government is -- the COS is largely positive in nature. Of course, we'll wait for the final details.

And second, as we see the earnings per hour and the benefit that we're offering, there is a lot

more to be done. It will continue to progress, but we don't see that as a negative pressure on the P&L so far. So contribution margin improvement in the medium term will continue. It will be guided to only one or two things where one is seasonality for the business. In certain quarters, you'll have seasonality. And second is when we want to make a selective investment into certain cohorts of acquiring customers, but longitudinally you can expect us to stay on track to the guidance we've given.

Moderator: Next question is from the line of Garima Mishra from Kotak Securities.

Garima Mishra: On the Instamart business, right, you added roughly 0.8 million MTUs this quarter, which was slightly lower than the 2Q addition. How do you expect this figure to move going forward?

And can this number be actually maintained at this 0.8 million level?

Amitesh Jha: Yes. See, the overall MTU that we are seeing is the kind of similar percentages that we were seeing essentially earlier. We don't give guidance in terms of what is the exact amount that we see. But just to give you a construct of how we are looking at it. It is a combination of how many new customers we acquire and how many we have retained. Our MTU in the Retained User ("RU") base is actually quite healthy and increasing.

Our New User ("NU") retention or the NU base is where the headwind is, which I spoke about earlier as well. The competition headwind addressed is there. We believe that competition still remains at the same place. A similar kind of movement keeps on happening. But the RU retention is something that we are looking at maintaining and increasing. And that will mean that the overall MTU addition will keep on being in the same ballpark.

Moderator: Next question is from the line of Ankur Rudra from JPMorgan.

Ankur Rudra: Just a question on the contribution margin discussion earlier. You've said that 25% of your stores are positive and the contribution margin per order actually worsened to INR19 per order

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this time. I'm just curious about two things. One, what percentage of the stores do you need to be positive to breakeven over the next 2 quarters?

And related, if growth slows down, as you've alluded to earlier in the call, maybe sequentially if your order volumes decline, given competitive intensity, etc., you want to give up your orders. Won't that hurt your throughput and hence, this target?

Rahul Bothra: Hi, Ankur. Rahul here. So, I think the store itself is not a determinant or a unit of our P&L, right? So while we talk in the sense of a store, what we really look at is a polygon. And more than half roughly of our business in terms of the polygon will have to be contribution margin positive for that to happen. Today, that number would be closer to 30%-35%.

So I think sequentially, as we continue to add the monetization layers as well as the cost coming through with better utilization, the journey of contribution margin and therefore, the poly

gons themselves becoming positive, will continue to happen.

Moderator: Next question is from the line of Nikhil Choudhary from Nuvama Wealth Management.

Nikhil Choudhary: Just wanted to probe your comment on cutting investment, especially on marketing. While I understand your decision to cut spend, especially on poor order quality or lower order quality, but why not redirect those investments towards new customer acquisition, especially at a time when competition is increasing. And we are already sitting on unused capacity as well as we now have a reinforced balance sheet?

Amitesh Jha: Yes. So our marketing investment will be on acquiring the new customers as well. There are other investments that we do for retention that also comes into marketing where the most of the movement in the marketing investments will happen. But the fundamentals of making sure that the new users are acquired at the right rate, it's important for the health of the business. If we don't do that, the future growth actually gets it. And that is a path that we have not taken earlier also. And we don't want to take it essentially in the future as well. So yes, new user investment will not get it in this.

Nikhil Choudhary: Got it, Amitesh. But, my question was more why not redirect those savings towards new user acquisition, especially when we have so much capacity?

Amitesh Jha: When you mean new user acquisition, would it -- if I'm assuming investments below contribution margin?

Rahul Bothra: Really if we look at the marginal utility of the dollars invested and the overall user and the kind of users that they're getting. So we are optimizing on that. So the idea is not to cut our new users additional growth, the idea is to look at optimizing that expenditure. So if that's your question.

Amitesh Jha: So new user acquisition comes in marketing and investment. The overall optimization for that still remains and we want to make sure that is not a number that we are going to tinker with.

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Moderator: Ladies and gentlemen, due to time constraints, we'll take the last question from the line of Kunal Vora from BNP Paribas Mutual Fund.

Kunal Vora: So can you talk about the path from contribution breakeven to adjusted EBITDA breakeven? How long it take and what will be the driver? Will it be continued expansion in contribution margin or is there a scope to lower marketing and other things?

Rahul Bothra: I think this is a question that we won't be able to answer today. I think the journey is very clear. We want to continue to show better operating leverage while getting to contribution margin positive. So even over the last 2-4 quarters, you may have seen that our EBITDA percentage of gross order value continues to go down. And I think it will be an appropriate time maybe a couple of quarters later for us to give you some sense on that. But for now, it's hard for us to give you specific guidance on the EBITDA breakeven.

Kunal Vora: So will it suffice to say that as we move from like minus 200 right now to breakeven, that will reflect in the EBITDA as well, declining to at least that extent?

Rahul Bothra: Absolutely. So that is something that we have already called out that this should be the peak of the investment. And roughly as we get to zero, INR200 crores gets unlocked immediately from the contribution line itself, apart from some of the interventions that we may choose to do below the contribution line as well.

Moderator: Thank you very much. Ladies and gentlemen, that will be the last question. On behalf of Swiggy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: May 2026

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REF: SWIGGY /SE/202 6-27/18
May 14, 2026

To
The Deputy Manager
Department of Corporate Services
BSE Limited
PJ Towers, Dalal Street
Mumbai -400001
Scrip Code: 544285 To
The Manager
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai 400051
Symbol: SWIGGY
Dear Sir/ Madam,
Sub: Transcript of the Earnings Conference Call for Analysts and Investors held on Friday, May 08, 2026.

Ref: Disclosure pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the Earnings Conference Call for Analysts and Investors held on Friday, May 08, 2026.

The said transcript is enclosed herewith and has also been hosted on the website of the company. The link for accessing the transcript is provided below:

<https://www.swiggy.com/corporate/investor-relations/financial-results/>

This disclosure is being submitted in compliance with the aforementioned regulations and is for your information and records.

Thanking you,

Yours faithfully,
For Swiggy Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Swiggy

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Moderator:

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to
you,
sir.
Sumant
Sharma:
Thank
you,
operator .
Hello,
everyone,
and
welcome
to
the
Q4
and
FY26
Earnings
Conference
Call
of
Swiggy
Limited.
Our
financial
results
and
shareholders'
letter
have
been
published
on

the
exchanges
and
the
information
pack
has
been
placed
in
the
Investor
Relations
section
of
our
website,
[www .swiggy .com](http://www.swiggy.com).

We
would
like
to
inform
you
that
the
management
may
make
certain
comments
on
this

call
that
one
could
deem
forward-looking
statements.
Specifically ,
the
financial
guidance
and
pro
forma
information
that
we
will
provide
on
this
call
are
management
estimates
based
on
certain
assumptions
and
have
not
been

subjected
to
any
audit,
review
or
examination
procedures.

Swiggy
does
not
guarantee
these
statements
and
is
not
obliged
to
update
them
at
any
time.

Joining
us
on
the
call
today
are

Sriharsha

Majety

–

MD

and

Group

CEO,

Rahul

Bothra

–

our

CFO,

Rohit

Kapoor

–

CEO

of

Food

Mar

ketplace,

and

Amitesh

Jha

–

CEO

of

Instamart.

With

this

brief

preamble,

let

us

start

the

Q&A.

Moderator ,

you

can

please

go

ahead.

Moderator:

Thank

you

very

much.

We

will

now

begin

with

the

question

and

answer

session.

The

first

question

is

from

the

line

of

Sachin

Salgaonkar
from
Bank
of
America.
Sachin
Salgaonkar:
The
first
question
is
about
some
of
the
comments
you
guys
mentioned
in
the
shareholders'
letter
about
doubling
down
on
differentiation.
Can
you
help
us
understand

3-4

areas

of

differentiation

for

you

guys

versus

competition?

Sriharsha

Majety:

Harsha

here.

Talking

about

a

few

examples

on

how

differentiation

can

look

like

in

the

category .

Even

in

the

shareholders'

letter ,

we

talked
about
one
such
example,
which
is
Noice
that
is
our
clean
label
brand.
Noice
operates
in
categories
such
as
bread,
eggs,
etc..
I
can
just
take
the
3-4
examples
with
what
we've

done

with

Noice

only.

In

the

case

of

eggs,

you

will

find

high

protein

eggs

that

are

coming

with

much

better

quality

feed

for

the

animals

that

just

makes

a

better

egg,

that

is
an
updated
version.
If
you
think
about
bread,
a
lot
more
freshly
baked
bread
with
much
lesser
preservatives
that
just
significantly
enhances
the
clean
quotient
of
the
product
and
the
taste
of

the
product
as
well.

So
these
are
maybe
some
examples
in
the
food
category .

But
even
outside
that,

I
think
there
are
some
explorations

that
we've

done
in

the
cookware
category
with

Tripoly,

where

we

worked

Page

2

of

17

on

expanding

the

category

very

differentially

through

some

interventions

we

made,

both

in

assortment

and

price,

to

grow

the

category .

You

will,

actually ,

in
the
next
couple
of
months,
see
a
host
of
such
examples
pop
up
across
the
Instamart
app.
But
the
broad
theme
is
Indians
are
largely
always
looking
for
upgrades.
That
is
the

theme
of
the
economy .
And
we
believe
that
there
is
an
opportunity
in
being
the
platform
that
can
democratize
their
aspiration
and
offer
more
and
more
access
to
consumers
across
a
host
of

categories.

Noice

is

one

route

to

maybe

give

access

to

great

quality

bread

or

eggs

to

our

consumers,

working

with

the

brand

to

open

up

something

in

the

Triply

category

and

an

attempt

to
upgrade
in
the
home
cooking
category
by
co-creating
a
better
version.
So
that
is
the
broad
theme
for
us.
Sachin
Salgaonkar:
Got
it,
Harsha.
So
just
from
what
I
understand,
the
area

of
differentiation
is
product
categories
or
SKUs
which
have
been
put
on
the
platform
versus
anything
on
speed
and
others.
And
out
there
is
it
possible
to
throw
some
numbers,
how
much
of

a
total
GOV
or
NOV
right
now
are
these
SKUs?
And
where
do
we
expect
that
proportion
to
be
as
a
percentage
of
NOV
in
terms
of
differentiated
offerings?
Sriharsha
Majety:
Unfortunately ,
at

this
point,
we
will
be
unable
to
share
a
lot
of
details.
As
we
mentioned,
it's
still
early ,
but
we
will
come
back
over
the
next
couple
of
quarters
as
we
have
more

to
show
on
this.
Also
one
specific
detail
that
I
want
to
add,
it
wasn't
clear
is,
this
is
not
a
strategy
that
is
exclusionary .
Even
as
we
mentioned
in
our
shareholders'
report,

we

will

continue

to

serve

all

core

related

needs

of

our

--

today's

users,

but

actually

amplify

the

upgrades

part

as

opposed

to

saying

we'll

only

do

the

upgrades.

Sachin

Salgaonkar:

Got

it.

And
directionally ,
I
understand
you
can't
give
exact
numbers,
but
when
we
directionally
think
about
it,
is
it
going
to
be
10%-20%
of
NOV
or
is
it
going
to
be
much,
much
higher?

Rahul

Bothra:

So

Sachin,

Rahul

here.

I

think

it

would

be

extremely

hard

for

us

considering

that

we

are

trying

to

create

a

differentiation

here.

I

think

ultimately ,

the

consumer

proposition

is

very

strong,
at
least
early
signs
that
we
have
seen
in
some
of
the
labels
that
we
have
launched
as
well
as
working
with
some
brand
partners,
we
are
seeing
pretty
good
uptake.

I
think
over
time,
what
really
helps
propositions
like
this
is
consumer
retention
and
frequency
increase
over
time.
And
that's
where
the
largest
benefit
of
these
propositions
will
come
through.
So
as
Harsha

mentioned,
in
a
couple
of
quarters,
we
will
give
you
some
more
color
in
terms
of
how
this
is
progressing
for
us.
But
early
signs
are
very,
very
encouraging.
Moderator:
The
next
question

is
from
the
line
of
Vijit
Jain
from
Citi.
Vijit
Jain:
A
couple
of
questions
from
my
side.
So
first,
with
this
private
label
and
with
Noice
that
you
spoke
about,
is
that

contribution

margin

positive

for

you

in

quick

commerce,

private

label

as

a

w

hole

or

specific

brands

within

that?

That's

the

first

question.

And

I'll

just

follow

up

with

one

more?

Page

3

of

Sriharsha

Majety:

On

the

first

question.

For

us,

as

we've

talked

about,

Noice

is

for

us

an

attempt

to

actually

build

on

the

differentiated

assortment

and

a

tool

for

us

to
improve
stickiness
and
repeats
and
engagement
on
the
platform.
It's
not
a
margin
maximizing
equation.
having
said
that
it
is
margin
positive.
Rahul
Bothra:
As
you
see,
it's
not
in
the
value

play,
right,
Vijit.
So
what
we
are
not
trying
to
do
is
think
of
this
as
another
commoditized
play
where
you
make
an
additional
couple
of
percentage
points
margins.
This
is
a
differentiated

offering.

This

could

be

of

even

higher

value

and

therefore,

more

contribution

margin.

And

across

categories

as

we

build

this

out,

we

will

definitely

want

to

accrete

our

overall

margin

structure

versus

doing

just

a

commoditized

play.

Vijit

Jain:

Understood.

My

next

question

is,

can

you

elaborate

a

little

bit

more

on

this

commentary

where

you

say

that

you've

repurposed

customer

incentives

away

from

direct

wallet

subsidies.

If

you

can

elaborate

on

that?

And

then

also,

I

see

that

marketing

spends

below

the

contribution

line

have

started

to

trickle

down

this

quarter .

Now

I

know

1Q

is

seasonally

strong.

Typically ,
you
see
higher
Monthly
Transacting
Users
(MTU)
additions
in
1Q.
So
how
should
one
think
about
both
how
you're
tracking
so
far
in
1Q
on
MTU
additions
in
quick
commerce
and
the

marketing

spends

below

contribution?

And

then

if

you

can

explain

that

commentary

on

repurposed

customer

incentives?

Amitesh

Jha:

Amitesh

here.

As

we

had

said

in

our

last

earnings

call

as

well,

there

are

multiple

ways

in

which

we

will

be

reaching

our

contribution

number .

One

is

the

repurpose

of

the

incentives

that

we

give

to

the

end

consumer

on

the

wallet.

We

rationalize

it,

we

don't

reduce

it.

And

in

the

way

that

it

happens

is

that

it

allows

for

better

retention

for

the

end

consumer

as

well.

And

that's

the

process

that

we

have

taken.

It

also

means

that

a

lot

of

time,

what

will

happen

is

a

high

frequency

customer

will

retain

better

and

that

is

the

process

that

we

have

initially

taken.

The

second

question

was

on

the

marketing

spends.

Vijit

Jain:

Marketing

spends

below

contribution

and

the

MTU

additions,

how

are

you

tracking

in

1Q?

Amitesh

Jha:

Yes.

See,

there

are

two

ways.

The

marketing

spends,

what

we

are

doing

is
commensurate
to
the
growth
that
we
are
looking
for.
The
way
we
looked
at
our
MTU
is
that
there
is
a
lot
of
consumer
base
that
we
have
that
we
need
to

focus
more
on
retention
and
repeat
on
the
platform
and
which
is
what
we
have
been
trying
to
do
over
the
last
couple
of
quarters
and
which
we
will
continue
to
do
over

the
next
couple
of
quarters
as
well.

That
said,
there
is
a
definite
marketing
spend
that
we
will
keep
on
going
on
the
new
consumer
base.

That
new
consumer
base
will
keep
on

increasing.

At

the

same

time,

our

MTU

will

still

face

slight

hea

dwind

on

the

base

that

are

low

AOV

and

low

frequency .

Vijit

Jain:

So

1Q,

does

that

mean

MTU

additions

might

slow?

Is

that

what

you

said?

If

you

can

clarify?

Amitesh

Jha:

No,

we

can't

necessarily

give

an

idea

on

what

will

be

the

forward-looking

assumption

on

this

number .

But

as

a

strategy ,

it
has
not
changed
in
the
way
that
we
are
looking.

Page
4
of
17

Vijit
Jain:
Understood.
And
one
last
question
from
my
side.
You
have
a
medium-term
guidance
here
now

of
INR1
trillion
in
quick
commerce.
And
I
think
you've
said
something
to
the
effect
that
you'll
get
to
around
INR500
billion,
double
the
current
pace
without
adding
too
many
stores.
So
in

general,
is
the
INR500
billion
to
INR1
trillion
journey ,
how
will
that
come
about?
Is
there
geographic
expansion
on
the
cards
beyond
FY27?
Is
that
how
one
should
read
those
comments
in
conjunction?

Rahul

Bothra:

Hi

Vijit,

Rahul

here.

So

I

think

what

we

are

really

drawing

out

the

medium-term

guidance

here

is

in

terms

of

the

size

of

the

business

that

we

have

built

and

where

we

see

this

going.

So

even

if

you

take

conservative

CAGR

estimates

of

say,

35%-50%

in

this

business,

we

can

potentially

get

to

INR1

lakh

crores

in

between

3.5

to

5

years,

right,
depending
on
how
the
overall
market
growth
really
plays
out.

So
for
us,
this
is
really
establishing
the
size
of
the
prize
that
we
are
going
after
and
also
establishing
the

overall
contribution
margin
pool
and
the
EBITDA
margin
pool
that
we
can
clearly
see
from
the
business
that
we
have
built,
along
with
the
reiteration
of
our
guidance
of
achieving
breakeven
in
the

current
quarter ,
and
we
would
have
moved
it
massively
by
close
to
5.5
percentage
points
over
the
last
year
itself.

And
perhaps
we
are
the
only
one
in
the
industry
who
have
moved

in,
in
such
a
short
time.
So
for
us,
these
are
the
choices
which
are
ahead
of
us.
Of
course,
growth
is
important.
And
we
don't
see
the
necessity
to
add
stores
necessarily

over

at

least

the

next

few

quarters

considering

the

current

utilization

that

we

have.

But

outside

of

this,

geographical

expansion

as

well

as

store

expansion

will

absolutely

be

critical

for

us

to

get

to
those
run
rates.
Sriharsha
Majety:
Harsha
here.
Just
build
on
this
answer
a
little
bit
more.
We've
also
given
this
ambition
for
what
we
want
in
the
medium
term
to
also
help

explain

any

decisions

that

we

will

be

making

because

this

is

the

framework

that

we've

used

in

the

past.

It

was

important

for

us

to

get

to

this

contribution

margin

zero

milestone

in

a
quick
enough
time
frame
for
us
to
be
able
to
feel
the
chances
of
the
ambition
becoming
stronger .
And
every
decision
that
we
take
financially
and
investment-wise,
it
is
all
going
to

be

judged

by,

does

it

get

us

closer

to

this

ambition

or

further

from

it.

Moderator:

The

next

question

is

from

the

line

of

Jignanshu

Gor

from

Bernstein.

Jignanshu

Gor:

My

question

is

on

Food

Delivery .

So

we've

had

phenomenal

growth

in

Food

Delivery .

So

one

just

clarificatio

n,

all

our

new

experiments

on

Food

Delivery ,

whether

it

is

Toing,

99,

etc.,

they

are

all

included

in
the
financials
for
Food
Delivery
and
both
growth
as
well
as
margins.
Is
that
fair?
Rohit
Kapoor:
Rohit
here.
Everything
that
you
read
about,
which
is
Bolt,
99
store,
EatRight,
those
are

all
included
in
our
core
Food
Delivery
platform
financials.
Toing
is
a
completely
different
business.
And
it
is
at
a
very
different
stage
of
testing
and
evolution.
That
is
not
in
the
Food

Delivery

that

comes

under

the

innovations

bucket

as

you

see.

Jignanshu

Gor:

Okay .

Fair.

All

right.

Going

ahead,

how

do

we

think

of

interplay

between

Toing

and

Food

Delivery ,

right?

We've

discussed

why

we
needed
different
apps.
I
think
that's
fair.
But
even
on
Page
5
of
17

Food
Delivery ,
we
have
99
store
and
other
parts,
which
are
creating
a
different
brand
identity
or

addressing

a

different

customer

profile,

right?

So

how

do

we

think

of

that?

And

are

we

seeing

a

shift

of

consumers

from

Swiggy

to

Toing?

Rohit

Kapoor:

Food

Delivery

is

a

10-year -old

phenomenon,

right.

We

know

the

business.

We

know

the

category .

It

caters

to

X

percent

of

India's

population,

which

is

roughly

like

10%

of

India's

total

population

on

an

ever

targeted

basis.

And

the

contours

of

that

are

more

predictable.

And

we

have

continued

to

guide

two

things

there.

One

is

a

medium-term

growth

of

18%

to

20%

and

an

EBITDA

margin

of

steady

state

5%.

Now
the
question
is
that
there
is
a
large
part
of
India,
which
has
never
tasted
Food
Delivery
or
does
it
very
infrequently .

The
question
is
what
is
the
right
model
for
us.

Toing
is
a
separate
app,
a
separate
business
at
this
point
in
time,
catering
to
opening
up
that
segment.
Now ,
early
days,
pre-PMF
clearly ,
we
are
seeing
some
green
shoots
of
optimism
there,

but
it's
too
early
to
say
that
this
is
a
definitive
model
and
any
such
model
will
also
evolve
as
we
go
along.

And
I
know
Food
Delivery
is
seen
as
a
unidimensional

characteristic.

But

if

you

think

of

other

industries,

even

e-commerce

and

quick

commerce

exists,

there's

some

overlap

of

customers,

but

they're

two

separate

businesses

in

their

own

rights.

So

we

don't

know

how

it

shapes

up,

honestly .

But

we

may

be

in

a

better

position

to

give

that

answer

in

a

couple

of

quarters

down

the

line.

Jignanshu

Gor:

That's

helpful.

And

last

one

small

question

on

quick

commerce.

I

think

we

added

0.5

million

MTUs

despite

not

adding

stores.

So

what

would

your

sort

of

view

be

on

what

drove

this

per

store

MTU

addition?

Amitesh

Jha:

We

don't
look
at
MTU
as
a
per
store
number .
MTU
is
an
overall
number
that
signifies
how
many
new
customers
we
are
getting
and
how
many
customers
of
those
are
retaining
with
us.

So

it

will

be

wrong

to

look

at

it

as

an

MTU

per

store

number .

You

should

look

at

it

as

an

absolute

and

a

percentage

on

the

overall

basis.

Rahul

Bothra:

If

I
may
just
double
click
on
this,
and
I
think
this
is
an
important
topic,
what
is
your
aspiration
of
sto
re
growth,
etc.
If
you
look
at
the
current
coverage
that
we

have
across
the
130
cities
that
we
are
operating
and
in
terms
of
the
last
mile
that
we
operate
and
the
speed
that
we
operate,
we
find
ourselves
well
distributed
in
these
geographies.

And
we
are
catering
to
greater
than
90%
of
the
demand.

So
store
addition
from
here
is
for
more
densification
or
a
choice
that
we
make
when
we
have
to
do
any
geographical

expansion.

So

for

now,

we

want

to

get

the

operating

leverage

from

additional

utilization

that

will

come

through

with

the

growth

that

we

have

experienced.

Moderator:

The

next

question

is

from

the

line

of
Aditya
Soman
from
CLSA
India.
Aditya
Soman:
So
just
two
questions.
Firstly ,
again,
on
Toing.
From
some
of
the
third-party
data,
we
are
seeing
that
the
Monthly
Active
Users
(MAU)
are
almost

as
much
as
one-third
of
the
main
Swiggy
app.
One,
would
that
data
be
accurate
in
terms
of
the
adoption
of
Toing?
And
second,
Page
6
of
17

if
that's
the

case,
then
would
a
significant
chunk
of
the
losses
in
platform
innovation
be
from
Toing
at
this
point?
Rahul
Bothra:
Rahul
here.
I
think
we
don't
measure
really
around
MAU.
I
think
for

us,
the
monthly
transacting
user
is
really
the
north
star
that
we
see.
And
honestly ,
a
number
of
downloads
or
a
number
of
app
opens
is
just
a
data
point.

And
as
Rohit

mentioned,

it's

very

early

days

in

Toing's

journey

to

be

able

to

establish

any

clear

metrics

there.

In

terms

of

the

platform

innovation,

this

was

the

quarter

that

we

also

shut

down

SNACC

operations.

A

large

part

of

the

cost

that

you

see

in

that

P&L

is

related

to

the

SNACC

operations

getting

closed.

Aditya

Soman:

No,

very

clear .

And

then

a

second

question

on

the

quick
commerce
side.
So
right
now,
we
are
seeing
a
slowdown
in
sort
of
overall
growth,
and
I
see
that
you've
made
the
choice
between
sort
of
growth
and
profitability .
But
in
terms

of
going
forward
in
a
year,
let's
say,
we
achieve
the
sort
of
contribution
breakeven,
then
how
do
you
see
the
path
to
accelerating
growth?
Would
that
mean
that
you
would
have
to

be

more

aggressive

on

pricing

again

or

do

you

think

the

pricing

right

now

in

the

market

is

just

at

an

irrational

level?

Amitesh

Jha:

See,

one

thing

that

we

have

reiterated

again

and
again
is
that
we
are
not
going
to
take
the
route
of
buying
growth.

It
is
something
that
we
had
committed
to
a
couple
of
quarters
back,
and
we'll
continue
to
do

that.

The

reason

why

we

go

to

contribution

margin

breakeven

is

that

obviously ,

it

makes

the

P&L

healthy ,

increases

our

staying

power

and

allows

us

to

invest

in

the

places

where

it

is

much
more
structural.

So
at
any
point
of
time,
the
focus
that
we
have
is
on
to
create
more
of
such
differentiation
and
bring
opportunities
associated
with
it.
The
growth
that
we

will

see,

the

one

thing

that

will

happen

after

we

reach

contribution

margin

breakeven

is

that

any

kind

of

headwind

that

we

had

created

because

we

had

to

reach

this

positive

contribution

growth

will

go

away ,

and

that

will

unlock

some

more

aspects

of

growth,

which

we

continue

to

foresee

happening

from

the

next

quarter

onwards.

Aditya

Soman:

Understood.

Just

to

follow

up

on

that.

Would

that

then

again

mean

that

the

losses

could

go

up

or

that

would

be

like

the

base

level

of

contribution

that

you'd

operate

with?

In

other

words,

is

it

a

proof

of

concept

that

you

can

reach

contribution

margin

breakeven

or

is

this

a

sustainable

level

of

contribution

margin

and

then

growth

will

come

with

improving

contribution

margin

from

there

?

Amitesh

Jha:

One

thing

that

we
have
committed
and
which
we
said
is
that
contribution
is
also
a
reflection
of
our
staying
power
in
this
particular
business.
So
the
investment
if
it
is
required
to
go
on
any

area,
that,
in
fact,
enhances
that
staying
power .

So
the
commitment
is
that
if
there
are
avenues
of
growth
that
require
investment,
we
will
keep
on
doing
that.
There
is
any
avenue

of
growth
that
dilutes
contribution
margin
without
having
any
advantage
on
the
business
that
we
are
building,
we
will
not
do
it.
So
buying
growth,
we
will
essentially
not
do,
which
will
basically

mean

that

we

don't

see

a

contribution

margin

dilution

happening

going

forward.

Page

7

of

17

Moderator:

Next

question

is

from

the

line

of

Ankur

Rudra

from

JPMor gan.

Ankur

Rudra:

Nice

to

see

the

acceleration

on

Food

Delivery .

I

want

to

start

there.

Thanks

for

the

comments

on

Toing.

I

wanted

to

understand

in

the

medium

term,

are

you

not

potentially

cannibalizing

the

main

opportunity

for
this
will
be
the
parent
food
app
as
so
far,
it
doesn't
seem
like
you're
adding
new
menus
and
new
restaurants,
which
is
potentially
reducing
your
fees,
delivery
fees
or
platform
fees

there?

Sriharsha

Majety:

As

Rohit

and

Rahul

have

already

mentioned,

it's

still

too

early

to

figure

out

what

is

going

to

happen,

when

will

it

happen,

etc.

I

do

think

that

it's

also

important

because

we

are

not

the

only

player .

There

are

folks

who

are

also

attempting

what

this

business

model

can

unlock

as

challenges

outside

the

category .

I

think

just

by

being

able

to
do
it
early ,
we
also
probably
have
an
opportunity
of
understanding
what
goes
on.
But
I
think
it's
too
early
to
comment
on
what
happens
in
the
medium
term.
Of
course,
the

idea

is

that

we

progress

and

pull

forward

only

if

it

feels

like

something

that

unlocks

incremental

growth.

Rohit

Kapoor:

I

think

just

to

add

one

thing

to

what

Harsha

said

is

if

you
look
at
Toing
and
what
the
proposition
is,
it
is
intended
to
open
up
a
set
of
users
who
are
best
case,
infrequent
on
the
Food
Delivery
system
as
it
exists
today .

So

hopefully ,

if

this

plays

out,

we

should

also

see

a

very

new

set

of

users

adopt

Food

Delivery

because

of

the

proposition

being

different.

Ankur

Rudra:

So

moving

to

the

quick

commerce

side,

I

wanted

to

double-click

on

the

medium-term

targets

a

bit.

You

talked

about

5x

growth

NOV

and

5%

kind

of

margin

in

the

medium

term,

which

probably

implies

50%-70%

or

if

you

look

at

this

on

a

3-4

year

basis,

is

that

number

one,

fair

to

expect?

And

two,

what

needs

to

happen

in

the

industry

structure

for

this

to

be

possible?

Rahul

Bothra:

So

as
you
rightly
said,
we
are
talking
of
the
medium
term
here.
And
if
you
think
of
the
medium
term
between,
say,
3-6
years
and
depending
on
how
the
category
growth
pans
out,

how

the

penetration

pans

out,

how

much

of,

say,

new

users

and

new

frequencies

does

the

category

get

to.

And

again,

the

number

of

players

that

are

participating.

I

think

a

lot

of

this
is,
therefore,
not
something
which
we
can
project
from
the
data
available
today .

However ,
the
journey
is
very
clear ,
right,
that
we
have
achieved
a
certain
scale
and
a
certain
profitability

in
this
business.
And
any
growth
from
here
on
is
going
to
be
good
growth,,
because
it's
going
to
add
to
the
contribution
pool
and
to
the
profitability
journey .
So
it's
very
hard

to
never
put
a
time
line
to
it.
But
as
I
said,
anywhere
between
35%
-50%
can
get
you
to
the
same
place
in
between
3.5
to
5
years.
Ankur
Rudra:
Got
it.

If

I

could

add

one

quick

follow-up

to

this.

In

the

more

near

term,

given

competitive

activity

continues

to

go

up,

are

you

happy

to

give

up

market

share

persistently

in

the

terms

of
profitability?
Sriharsha
Majety:
I
don't
think
we've
said
anything
about
being
comfortable
giving
up
market
share.
I
think
we
have
to
keep
making
choices
between
growth
and
profitability
to
get
closer
to

the
aspiration
Page
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of
17

that
we've
talked
about.
If
fighting
for
short-term
relevance
and
go
after
spending
in
places
that
will
hurt
us
later,
I
think
that
will
compromise
our

long-term
relevance.

So
honestly ,
it
is
a
balanced
act.

But
I
don't
think
there
is
any
commitment
to
go
and
lose
market
share.

I
think
it's
important
to
build
a
more
durable

business.

But

as

we've

mentioned,

even

more

growth

will

come

from

executing

on

the

clarity

on

positioning

that

we've

been

talking

about.

There

was

a

question

even

on

market

structure.

Honestly ,

we

do

not
know
yet
how
many
players
will
be
on
the
other
side
of
all
of
this
spending
and
overall
category
growth.
But
if
anything,
we've
learned
from
multiple
categories
like
modern
trade
or

telecom,

etc.,

I

think

whoever

got

clarity

earlier

is

the

one

that

is

still

standing

today .

So

we

just

want

to

be

clear

about

what

our

prize

is

and

keep

making

sure

that
the
strategy
speaks
to
that
medium-term
price.
Sometimes
it
may
have
to
be
these
painful
calls,
but
as
mentioned
early
and
as
Amitesh
has
also
talked
about,
hopefully ,
with
the
contribution
behind

us
and
some
parts
of
the
proposition
coming
together ,
we
want
to
get
back
on
the
growth
engine
and
start
making
investment
calls
accordingly .

Moderator:

The
next
question
is
from
the
line
of

Sachin
Salgaonkar
from
Bank
of
America.

Sachin
Salgaonkar:

I
had
a
couple
of
follow-up
questions.

Number
one,
Rahul,
you
did
mention
about
focusing
and
targeting
good
growth.

One
of
your
peers
is
talking

about

more

like

a

60%

NOV

CAGR

for

3

years.

And

Harsha

did

mention

in

the

last

question

answer ,

it's

also

about

maintaining

market

share

and

not

giving

market

share.

So

is

that

fair

to

assume

that

kind

of

a

growth

we

could

also

expect

from

Swiggy

while

the

focus

towards

profitability

sort

of

continues?

Sriharsha

Majety:

I

think

there

is

a

thing

about

short-term

market

share
and
long-term
market
share.
Even
if
you
look
at
the
category
around
today ,
there's
a
player
who's
probably
at
4%-5%
of
contribution.
We
have
our
own
guidance
of
getting
closer
to
zero

as

we've

talked

about.

There

are

a

bunch

of

players

in

the

-10%,

-15%.

So

maybe

only

talking

about

market

share

in

the

next

quarter

probably

takes

away

from

what's

going

to

play

out
over
the
next
few
years.

We
don't
have
a
stated
desire
to
lose
market
share.

We
believe
that
our
chances
to
improve
long-term
market
share
come
from
purposefully
balancing
this
path
between

growth
and
profitability .
Of
course,
crossing
a
big
side
of
the
fence
of
the
contribution
margin
breakeven
allows
us
to
see
growth
as
profitability .
And
we
hope
that
coupled
with
the
proposition,
and

with
everything
we've
learned
over
the
last
2-3
quarters,
gives
us
a
fighting
edge
again
as
we
invest
for
profitable
growth.
Sachin
Salgaonkar:
Got
it.
And
lastly ,
There
has
been
a
good
amount

of
expansion,
which
is
done
by
some
of
your
other
peers
also.
When
you
think
about
expanding
into,
let's
say,
eventually
Tier
2-3
cities,
what
are
your
thoughts
on
those
lines?
Amitesh
Jha:

See,
the
reason
that
we'll
expand
to
Tier
2-
3
cities
is
one,
as
we
said,
that
if
there
is
a
need
for
densification
because
we
are
getting
that
many
orders,
we
will

actually

do

that.

The

second

will

be

that

there

are

some

things

that

we

do

even

right

now,

even

in

the

last

two

quarters

as

Page

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of

17

well,

we

look
at
cities
that
are
more
likely
to
make
an
impact
based
on
the
kind
of
consumer
base
that
we
have.
That
level
of
expansion
will
happen,
though
it
will
be
smaller
based

on
the
number
that
we
have.

The
third
level
of
expansion
that
we
see
is
expanding
in
existing
cities
where
we
would
have
left
out
some
or
the
other
areas.
But
the
way

to
think
about
it
is
that
in
the
current
network
that
we
have,
there
is
a
headroom
for
orders,
which
is
good
enough
to
sustain
us
for
the
next
few
quarters.
Expansion
will

be

more

a

need

because

we

are

already

crossing

those

limits

in

only

certain

geographies

and

which

is

the

way

that

we'll

move

forward.

Moderator:

The

next

question

is

from

the

line

of

Gaurav

Malhotra

from

Axis

Capital.

Gaurav

Malhotra:

Just

a

couple

of

questions.

In

the

shareholders'

letter ,

and

I

think

so

this

question

was

raised

earlier

as

well,

you

have

mentioned

that

as

you

sort

of

will

achieve

contribution

margin

breakeven,

you

will

possibly

look

to

accelerate

growth.

So

does

that

mean

that

essentially

the

contribution

margin

breakeven

becomes

like

the

floor

and

anything

extra

you

sort

of
gain
from
there
will
be
then
reinvested
back
into
the
business,
at
least
in
the
medium
term.
Is
that
understanding
correct?
Amitesh
Jha:
Even
last
time
when
we
were
speaking
about
where

we

will

invest

and

where

we

will

not.

We

have

always

maintained

that

in

the

area

that

we

believe

investment

is

right,

we

will

keep

on

investing.

And

in

the

area

where

we

believe

that

it

is

buying

growth,

we

will

essentially

not

be

doing

it.

Medium

term,

we

will

keep

it

very,

very

calibrated.

Things

that

are

essentially

working

out,

we

will

go

behind

it

as

well.

There

is

not

a

need

for

us

to

necessarily

reinvest

contribution

margin

gains

going

forward.

But

if

we

believe

that

there

are

areas

where

it

will

make

sense

to

invest,

we
will
keep
on
doing
that.
So
it's
hard
for
me
to
give
guidance,
but
the
floor
assumption
remains
true.
And
that
means
that,
yes,
if
there
are
areas
where
the
growth
is

happening
without
specific
investment
needed,
we
will
be
on
that
path,
and
we'll
also
increase
our
contribution
margin.
Gaurav
Malhotra:
Understood.
Just
one
follow-up.
So
while
we
understand
that
it's
pretty
competitive
and

you
don't
want
to
chase
or
buy
growth.
But
given
that
there
are
multiple
players,
some
of
them
are
larger,
who
are
quite
aggressive,
there
are
some
newer
guys
who
are
becoming
more

aggressive.

In

that

regard,

if

you

were

to

sort

of

seek

some

market

share

and

hypothetically ,

if

this

competitive

intensity

sort

of

remains,

say,

for

another

3,

6,

9

months,

isn't

there

a

risk
that
some
of
your
users
who
are
sort
of
maybe
experimenting
there
to
other
platforms
will
basically
then
permanently
shift
and
hence,
to
regain
them
will
become
more
expensive
later
on?
Sriharsha

Majety:

Ultimately ,

as

we've

talked

about,

I

think

the

biggest

thing

for

us

to

solve

is

the

proposition,

and

that

is

the

only

structural

way

to

keep

users

engaged

and

sticky .

Otherwise,

we

will

have

to

gear

up

now.

And

again,

there

are

as

you

mentioned,

there

are

multiple

players

in

the

category .

And

it

is

not

clear

when

anyone

will

make

a

choice

saying

I'm

not
going
to
play
this
anymore.

So
we
want
to
start
building
already
with
clarity .

Some
of
them
may
also
just
be
forever
value-focused
players.

Page

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17

So
to

play

that

game

that

we

don't

have

any

right

to

win

does

not

strike

us

as

the

route.

If

we

were

indeed

like

a

value-focused

platform,

then

we

would

say,

let's

embrace

this

and
go
and
try
to
win
in
this
specific
part
of
the
market.
But
if
that
is
not
our
stated
strategy ,
then
I
don't
think
we
can
go
and
win
in
that
fashion.

For
us,
we
are
very
certain
that
working
on
our
proposition
is
the
only
durable
answer
for
long-term
growth.
Gaurav
Malhotra:
Understood.
Just
one
quick
question.
So,
there
was
an
improvement
in
NOV

to

GOV

in

quick

commerce

this

quarter .

How

much

was

this

related

to

you

sort

of

reducing

your

discounting?

And

how

much

was

it

just

some

mix

because

of

seasonality?

Rahul

Bothra:

Yes.

So,
one
of
the
factors
was
that
we
stopped
the
No
Fee
experiment
sometime
around
the
third
week
of
January .
So
that
gain
came
through.
So
roughly
half
of
the
gain
came
through

because
we
stopped
the
No
Fee
experiment.
The
other
one
is
more
structural
where
we
have
been
able
to
offer
lesser
incentives
to
our
customers
and
still
on
a
sequential
basis,
grow
faster .

Moderator:

The

next

question

is

from

the

line

of

Abhisek

Banerjee

from

ICICI

Securities.

Abhisek

Banerjee:

A

couple

of

quick

questions

from

me.

First

one

is

we

had

guidance

that

we

will

breakeven

at
the
EBITDA
level
in
four
quarters
from
contribution
breakeven.
So,
does
that
still
hold?
And
one
more
thing
is,
in
this
quarter ,
you've
spoken
about
the
contribution
margin
for
the
month
of

March.

Now

when

we

say

contribution

breakeven,

you

do

mean

for

the

full

quarter ,

right?

Rahul

Bothra:

So,

on

the

first

question,

Abhisek,

I

think

we

have

carefully

decided

not

to

speculate

on

when

EBITDA

profitability

will

come

through.

As

we

have

rightly

said

that

having

achieved

the

scale

that

we

have,

it's

also

good

to

harness

a

larger

share

of

the

growth

that

is

going

to
come
through.

And
again,
what
is
the
right
kind
of
growth,
right?

And
that's
where
we
will
continue
to
invest.

So,
I
think
EBITDA
profitability
will
be
a
choice
that
will
be

made
at
a
later
point
in
time
and
again,
depending
on
how
the
market
forces
play
out.
On
the
second
question,
yes,
you're
right.
This
is
for
the
entire
quarter
and
not
just

on

an

exit

basis.

Abhisek

Banerjee:

Okay .

So

given

you

will

be

contribution

breakeven.

Beyond

that,

at

the

nondirect

expenses,

things

like

new

user

acquisition

costs,

et

cetera,

how

should

one

model

that

in
going
forward,
especially
given
we
are
not
really
seeing
an
MTU
acceleration
to
the
level
that
one
would
have
kind
of
hoped
for
elevated
levels
of
customer
acquisition
spends?
Amitesh
Jha:
The

new
user
acquisition
is
something
that
we
will
continue
to
do.
It's
a
part
of
our
growth
engine.
And
obviously ,
one
of
the
more
important
aspect
that
we
look
at
and
something
that

you
will
see
coming
from
us
going
forward
as
well
is
the
retention
of
that
particular
user
base
as
well.

So
yes,
the
MTU
growth,
a
big
chunk
of
that
will
come

from
the
new
user
that
we
acquire
and
we
retain.

As
I
had
said,
there
is
a
chunk
of
users
that
also
go
out
of
the
platform.

Part
of
that
is
because
of

competitive

intensity .

And

those

users

typically

have

lower

frequency

and

lower

AOV

as

well,

and

it

is

something

that

we

are

also

comfortable

with

because

we

want

to

retain

more

consumers

who

are

more
long
term
on
the
platform
as
well.
Page
11
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17

Abhisek
Banerjee:
So,
I
was
trying
to
understand
whether
the
overall
customer
acquisition
spends
will
remain
at
this
level

also.

But

I

kind

of

understand

that

the

MTU

numbers

that

you

are

talking

about

is

not

the

gross

addition.

It's

rather

the

net

MTU

addition

and

probably

churn

rates

are

sligh

tly

higher .

But

if

you

can

guide

on

the

overall

expenses

also,

that

will

be

helpful.

Amitesh

Jha:

We

won't

be

able

to

guide

on

the

gross

versus

net.

The

number

that

we

have

is
net
of
both
acquisition
as
well
as
retention.

The
commitment
that
we
have
is
that,
yes,
it's
a
growth
industry .

We
will
continue
to
invest
in
acquiring
a
new
consumer
base.

We

will

continue

to

make

sure

that

the

efficiency

of

this

acquisition

is

also

better .

More

and

more

our

proposition

lands,

we

believe

those

acquisition

numbers

will

go

up.

We

are

already

seeing

that

happen

even

right

now.

You

would

see

that

in

the

kind

of

investments

we

are

making

and

the

growth

that

we

are

seeing.

We

believe

that,

that

specific

trajectory

of

higher

or

acquisition

going

on

the

level

that

we

want

with

a

spend

that

is

more

efficient

will

continue

to

happen.

Moderator:

The

next

question

is

from

the

line

of

Vivek

Maheshwari

from

Jefferies

India.

Vivek

Maheshwari:

A

few

questions.

First,

on

the

Food

Delivery

side,

this

recent

increase

in

commercial

gas

prices,

do

you

think

there

could

be

some

impact

on

volumes

in

the

near

term

because

of

this
issue
for
aggregators?
Rohit
Kapoor:
I
think
the
LPG
crisis
started
sometime
in
the
first
week
of
March.
And
there
was
an
impact
on
the
restaurant
industry
as
we
reported
in
the

media
in
terms
of
availability
of
cylinders,
etc.
But
two
things,
one,
we've
seen
a
slight
bit
of
price
increase
because
of
that,
which
the
restaurant
industry
has
taken.
We
can
see
that

on
our
platform,
which
is
not
significant
and
it's
less
than
0.5%.
So
that
did
probably
offset
some
bit
of
the
cost
pressure.

From
our
standpoint,
I
think
we
were
able
to

navigate
this
throughout
for
our
support
to
restaurants
in
terms
of
increased
analytics,
increased
ability
for
them
to
just
spread
out
the
demand.
And
also,
I
think
our
supply
configuration
to
the
consumer

to
be
able
to
access
lookalike
restaurants,
right.

So
both
in
terms
of
the
growth
as
well
as
the
profitability
side,
we
were
able
to
navigate
this
in
the
month
of
March.
And

since
then,
the
situation
has
continued
to
ease
out
as
two
things
have
happened,
probably
the
supply
has
become
better .
And
the
restaurant
industry
is
also
like
all
Indian
entrepreneurs
do
quite
quickly

to
find
alternatives,
whether
it's
electrification,
whether
it
is
alternate
sources
of
supply
as
well
as
just
the
supply
situation
stabilizing
itself
somewhat.
Vivek
Maheshwari:
Got
it.
Moving
to
quick
commerce.
One
thing,

Rahul,
that
you
mentioned
about
the
NOV ,
GOV
bit
and
what
has
contributed
to
that
increase
in
NOV .
But
when
I
look
at
your
take
rate
as
a
percentage
of
NOV ,
that
number

is
flat
on
a
quarter -on-quarter
basis.
Why
would
that
be
the
case?
And
sorry ,
if
it's
a
naive
question?
Rahul
Bothra:
No,
it's
50
basis
points
pickup
if
you
look
at
our
take

rate,
Vivek.
Page
12
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17

Vivek
Maheshwari:
So
that's
on
GOV .
But
when
I
look
at
it
on
an
NOV
basis,
that
number
is
flat.
It's
at,
I

think,
19.2%.

Rahul

Bothra:

So,

as

I

said,

there's

obviously

things

that

we

do

on

the

consumer

side

and

then

things

that

we

do

on

the

merchant

side,

which

is

a

combination

of

the

take

rate.

So

a

large

part

of

this

increase

has

been

on

the

consumer

side

because

we

have

as

platforms

given

lesser

incentives.

We

have

also

started

to

monetize

on

the

delivery

fee

side.

So
these
are
the
things
that
have
impacted
the
NOV ,
GOV .

And
it's
a
structural
move
for
us.
Because
as
we
have
said,
we
are
not
participating
in
some
of
the
lower

AOV
orders
and
the
consumers
who
generally
attach
themselves
to
lower
basket
sizes.
So
that's
a
choice
that
we
have
made.
And
as
we
have
also
written,
we
have
halved
the
mix
of

these
low
AOV
orders
over
the
last
year,
which
has
also
helped
in
the
overall
ratio
increase.
Vivek
Maheshwari:
Got
it.
And
lastly ,
while
we
have
discussed
quite
a
bit
on
the
contribution

margin.

But

when

we

look

at

overheads

in

Quick

Commerce

business,

those

are

running

at

about

INR710-715

crores

at

least

for

the

last

two

quarters.

Now

from

here

to,

let's

say,

a

journey

to
breakeven
whenever
that
happens,
what
will
be
the
driver
for
this?

It
should
either
be
a
mix
of
like
higher
take
rate,
operating
leverage
and
maybe
if
there
is
some
inefficiency
in

this
line
item
or
anything
that
you
can
optimize
on.
But
this
INR700
crore
plus
number
is
still
very,
very
high,
right?
That
will
still
translate
into
INR2,800
crores
of
full
year
EBITDA

loss.

How

do

you

think

about

the

journey

to

breakeven

in

the

next

few

years

or

whenever?

Rahul

Bothra:

Vivek,

see,

while,

yes,

the

absolute

number

is

at

around

INR700

crores

zip

code,

a
large
part
of
this
is
marketing
spending.
And
as
you
are
aware,
today ,
we
are
seeing
heightened
levels
of
spending
across
various
platforms,
which
has
meant
that
there
is
a
certain
amount

of
inflation
on
the
customer
acquisition
cost.

We
have
seen
this
even
in
the
Food
Delivery
business
when
the
market
structure
matures,
we
see
significant
operating
leverage
coming
out
of
some
of

these
spending
ways.
As
a
platform,
we
actually
have
reduced
our
absolute
spending
while
continuing
to
get
user
penetration.
So
it's
going
to
be
a
combination
of
scale
as
well
as
efficiencies
getting

unlocked

on

the

marketing

spending

side.

Vivek

Maheshwari:

In

the

context

of

the

two

new

competitors

or

the

horizontals

who

have

come

into

the

space,

on

the

marketing

spends

we

could

be

here

for

a

longer

period,

right?

Is

that

a

fair

understanding,

which

means

that

this

overhead

line

may

take

quite

some

time

before

starting

to

drift

down?

Rahul

Bothra:

It's

going

to

be

extremely

hard
to
guesstimate
that,
where
does
the
market
structure
evolve,
how
competitive
does
it
get
before
it
settles
down.
I
think
we
have
the
levers
to
continue
to
extract
efficiencies
on
the
other

lines

and

not

just

the

marketing

line.

So

you

will

see

continuous

operating

leverage

now

that

any

growth

is

going

to

deliver

contribution

dollars

to

t

he

P&L.

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17

Moderator:

The
next
question
is
from
the
line
of
Gaurav
Rateria
from
Morgan
Stanley .

Gaurav

Rateria:

My
first
question
is
on
understanding
the
trends
around
the
retention
ratio
in
the
quick
commerce
business

for

your

MTUs.

At

the

peak,

we

were

adding

3

million

consumers

a

quarter .

Right

now,

we

are

adding

0.5

million.

And

our

marketing

spend

largely

would

have

remained

intact.

So,

it

appears

that
the
gross
addition
would
have
remained
largely
the
same
and
the
retention
ratio
would
have
come
down
for
existing
users.
Is
there
any
metric
to
get
a
comfort
on
how
the
retention

ratio

has

changed

in

the

last

couple

of

quarters?

Any

repeat

business

percentage

now

versus

about

a

year

back?

Rahul

Bothra:

One

of

the

things

that

we

have

decided

to

do

is

really

churn
out
some
of
these
low
AOV
customers
who
have
alternative
platform
choices
today ,
from
whom
they
are
getting
serviced.
So,
there's
an
active
churn
that
we
are
seeing
in
that
segment
of

the
users.
At
the
same
time,
the
cohorts
that
we
care
about,
which
are
the
high
spenders,
higher
frequency
ones,
those
continuously
are
seeing
upticks.

I
think
a
couple
of
quarters
back,

we

had

shared

the

GOV

retention

for

these

acquired

users,

and

we

will

share

that

periodically

going

forward.

But

a

large

part

of

that

user

growth

reduction

that

you

have

seen

is

the

users

that

we

have

deliberately

churned

out

from

the

platform.

Gaurav

Rateria:

Fair

enough.

My

second

question

is

on

the

NOV

growth.

If

you

look

at

this

year

heavy

lifting

was

done

from

the
AOVs
with
all
the
initiatives.
And
maybe
now
normalize.
And
therefore,
next
year
growth
would
be
driven
more
from
an
order
growth
perspective.
And
the
current
competitive
market,
what
we
are
seeing

in
the
order
growth
in
the
last
two
quarters,
as
an
example,
on
a
sequential
basis
would
kind
of
be
a
right
reflection
of
the
growth
in
the
coming
quarter
as
well.

So,

is
it
fair
to
say
that
from
a
next
year
growth
perspective,
keeping
where
our
contribution
margin
targets
in
mind,
the
order
growth
will
be
a
right
reflection,
AOVs
have
largely
normalized
and

the
current
level
of
growth
that
we
are
seeing
is
the
right
reflection
of
the
growth?
Sriharsha
Majety:
Harsha
here.
I
wouldn't
read
too
much
into
Orders
Per
Day
(OPD)
growth
in
the

last
year
and
therefore,
extrapolating
it
into
the
next
year.
As
we've
talked
about
in
the
letter
as
well,
this
year
is
an
unusual
one.
There
are
6-7
players
on
the
anvil,
and

we've
paced
the
most
in
contribution
over
the
last
4-5
quarters.

The
overall
climb
from
here
is
going
to
be
a
different
climb
from
what
we
have
gone
through
in
the
last

four
quarters. There
are
so
many
things
that
are
changing
that
I
don't
think
there's
much
value
to
be
gotten
by
looking
at
what
happened
in
the
last
3-4
quarters
because
the
context
is

very

different.

Gaurav

Rateria:

Okay .

I

was

just

trying

to

figure

out

that

growth

for

next

year,

but

I

understand

that

you

will

not

give

a

forward-looking

statement.

So

I

was

just

trying

to
understand
the
mix
or
the
Page
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qualitative
aspects
of
it,
but
fair
enough.
My
last
question
is
on
the
steady-state
margin
that
you
talked
about
in
quick
commerce

on

a

medium-term

basis.

And

you

also

shared

very

interesting

data

on

the

utilization

of

the

stores

at

40%

kind

of

number .

So

what's

the

right

utilization

rate

required

for

you

to

get

to
that
hit
the
steady-state
margin?
Rahul
Bothra:
No,
it's
a
function
of
the
maturity
of
the
stores.
So
for
example,
whenever
a
store
hits
close
to
80%-85%
capacity ,
we
end
up
densifying

that
particular
area,
and
we
open
another
store
there.
So,
depending
on
when
we
achieve
those
scale
and
what
is
the
utilization
of
those
respective
stores,
I
think
the
store
additions
will
continue

basis
that
utilization,
which
typically
happens
at
around
80%-90%.

Moderator:

The
next
question
is
from
the
line
of
Ashwin
Mehta
from
Ambit
Capital.

Ashwin

Mehta:

So,
the
first
question
is
we
talked
about

breakeven

next

quarter ,

which

is

a

swing

of

almost

180

bps

in

terms

of

your

contribution

margin.

Now

that's

higher

than

what

we

have

done

over

the

last

eight

quarters.

So,

what

are

the
big
drivers
for
a
massive
swing?
Would
it
be
discount
reduction?
Are
there
other
factors
which
are
at
play?
Rahul
Bothra:
We
have
called
out
in
the
letter ,
so
while
180
basis

points
was
the
average
for
the
quarter ,
we
exited
the
month
of
March
with
110
basis
points.
And
this
was,
as
we
had
mentioned,
there
were
certain
experiments
that
we
were
running
on

the
monetization
side
that
we
have
reversed.

And
therefore,
on
an
exit
basis,
we
got
a
better
pickup.

So
the
journey
itself
is
more
like
100
basis
points
versus
180
basis
points.

And
now
that
April
is
behind
us,
we
are
pretty
confident
of
being
able
to
achieve
that..
Just
to
complete,
I
think
there
is
monetization,
there's
advertising,
there's
operating
leverage.
You've
seen
sequential

volume

growth

continuing

to

pick

up.

So

these

are

the

levers

that

are

available.

Ashwin

Mehta:

We

saw

at

an

entity

level,

advertising

promotions

fall

by

almost

8%

sequentially .

Our,

fixed

costs

in

the
quick
commerce
business
have
not
fallen.
So
is
it
some
other
business
where
there
has
been
rationalization?
Or
is
it
something
else?
Rahul
Bothra:
No,
I
think
we
don't
specifically
share
this

number

across

the

business

units.

But

as

I

mentioned

to

you

directionally

there

are

categories

that

are

at

a

mature

stage

which

give

us

more

operating

leverage

at

lesser

CAC

on

that

spending.

Ashwin

Mehta:

The

last

question

is

in

terms

of

capex.

So

we

didn't

see

much

of

a

dark

store

addition

or

our

area

of

the

dark

store

has

also

not

gone

up

materially ,

but
the
capex
is
at
around
INR195
crores,
more
or
less
similar
over
the
last
two
quarters.
So
what
are
the
areas
where
this
capex
is
going
?
Rahul
Bothra:
Largely
on
the
warehousing

investment.

As

we

have

overall

increased

the

geographical

footprint,

there

are

these

Tier

2

markets

where

we

see

the

need

to

open

warehousing,

which

helps

us

in

also

reducing

our

middle

mile

as

well
as
serviceability
to
those
cities.

So,
most
of
these
investments
have
been
made
in
the
warehousing
part
of
the
business,
which
again
gives
us
structural
capability
to
continue
growing
for
the

future.

A

lot

of

that

expansion

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in

the

phase

is

now

behind

us.

So,

as

we

also

mentioned

that

we

expect

the

capex

numbers

to

significantly

come

down

from
the
last
couple
of
years.
Ashwin
Mehta:
And
just
one
small
question,
if
I
can
squeeze
in.
What
is
our
non-grocery
share
in
the
quick
commerce
side?
I
think
you
used
to

disclose

that

earlier .

Rahul

Bothra:

Yes.

So,

we

will

continue

to

periodically

disclose

that.

So

we

hit

the

early

30s.

We

expect

this

number

to

be

somewhere

in

the

range

of

30%-40%

because

beyond

that,

we

still

want

to

regain

the

benefits

of

being

on

a

high-frequency

platform.

So

the

numbers

are

near

about

30%.

Moderator:

The

next

question

is

from

the

line

of

Prateek

Maheshwari

from

HSBC

Securities.

Prateek

Maheshwari:

My

question

was

more

on

the

quick

commerce

midterm

guidance.

So

as

you

said,

the

guidance

is

for

INR1

lakh

crore

in

NOV

in

probably

3

to

6

years.

I

actually

wanted

to

understand

the

drivers

in

terms

of

the

NOV ,

user

data

and

frequency .

So

frequency

for

sure

has

fallen

for

you

guys

to

2.8x

versus

what

you

guys

were

doing,
probably
it
was
30%
higher .

But
let's
say,
if
I
even
think
about
3.5-3.6x,
the
number
of
users
that
you
would
need
at
the
current
state
of
NOV
would
be
somewhere

between

45-50

million.

And

if

we

look

at

the

largest

player

in

the

market,

their

guidance

is

also

to

reach

in

a

way,

if

you

convert

their

guidance

also

to

reach

a

similar

size
of
the
user
base.

So,
two
questions
here.

One
is,
this
is
what
you
want
to
imply
for
the
positioning
relative
to
the
peer?

And
also,
how
this
was
based
on

the
user
additions
of
0.5
million
or
1
million,,
this
would
take
a
really
long
time,
right,
considering
even
if
the
industry
consolidated
from
seven
to
three
players.
So
I
just
wanted
to

understand

from

you

on

these

points.

Amitesh

Jha:

One

of

the

ways

to

think

about

growth

is

exactly

in

the

terms

which

you

spoke

about,

how

many

users

we

add,

how

many

times

they
typically
transact
and
what
is
the
NOV
of
those
users.
We
believe
that
the
movement
will
happen,
obviously ,
one
part
on
the
frequency
as
well.

The
frequency
that
we
are
at
right

now

is

the

right

frequency

to

do

medium-term

planning

and

there

is

a

movement

that

we

expect

to

happen

on

NOV

as

well.

That

will

also

drive

some

part

of

that

particular

growth.

But
as
you
rightly
mentioned,
the
majority
of
that
number
will
come
from
the
acquired
customers
that
we
have.
Now
we
spoke
about
this
number ,
and
I
think
one
of
the
other

callers

spoke

about

the

net

versus

gross.

The

headwind

that

we

have

on

our

MTU

growth

now

is

right

now

specifically

related

to

removal

of

the

consumer

base

that

transacts

very

infrequently

with

our
platform.

You
will
see
that
movement
happen
when
that
particular
consumer
base
will
be
low
enough,
where
our
acquisition
will
allow
for
overall
number
to
be
driven
up
as
well.
We
believe

that
churn
will
be
another
two
quarters.

And
after
that,
you
will
see
a
healthy
movement
on
our
MTU
numbers
as
well.

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Prateek
Maheshwari:
Still,
it
seems

the
acceleration
required
is
quite
steep.
And
you
said
that
probably
you
guys
after
the
breakeven
target,
will
try
to
do
activities
around
it.
So
just
wanted
to
understand,
does
the
guidance
tie

into

anything

of

such

sort.

Because

it

seems

that

organically

the

target

is

very

high,

around

45

million

users.

Just

wanted

to

understand

that

Second

thing,

just

wanted

to

understand

since

you

guys

have
given
the
top
dark
stores
in
every
geography
reach
3%
-5%
of
contribution
margins.
And
Blinkit
had
reached
about
breakeven
EBITDA
margins
at
4%
contribution.
So
are
you
profitable
in
those
dark

stores

and

even

in

your

top

city?

So

those

two

questions,

if

you

can

expand

on.

Rahul

Bothra:

Absolutely ,

right.

So

our

top

city,

for

example,

is

already

operating

at

3%

positive

CM.

And
at
the
city
level,
it's
already
breaking
even
at
an
EBITDA
level.
And
on
your
question
on
the
MTU,
I
think
as
I
had
called
out,
this
is
a
net
addition
that

you
have
seen,
which
has
been
also
driven
partly
by
some
of
the
changes
that
we
have
done
to
our
proposition
around
the
lower
AOV
users.

So
I
think
we
will
continue

to
be
relevant.
And
as
we
discussed,
right,
the
differentiation
that
we
are
creating
on
the
platform
will
attract
a
certain
set
of
users
and
user
growth.
And
it
is
important.
I
think

both

frequency ,

AOV

as

well

as

the

MTU

is

going

to

be

an

important

criteria

in

our

overall

growth

journey .

It's

very

hard

to

give

you

specific

numbers

right

now.

But

directionally ,

we

do

want

to

continue

to

acquire

a

lot

more

users

than

the

current

run

rate.

Moderator:

Ladies

and

gentlemen,

we'll

take

the

last

question

from

the

line

of

Aditya

Suresh

from

Macquarie

Group.

Aditya

Suresh:

Just

one

question.

If

I

look

at

your

cash

flow

statement,

despite

the

improvement

in

margin

in

Food

Delivery

and

reduction

of

losses

in

Quick

Commerce,

the

absolute

kind

of

negative

number

in

cash

from

operations

remains

elevated.

Free

cash

flow

annualized

is

about,

say,

negative

\$400

million

so,

I

just

wanted

your

thoughts

on

that

scale

of

loss?

Rahul

Bothra:

Yes.

so,

there

are

a

couple

of

things.

One

is

on

capex,

we

have

already

said

that

we

have

seen

heightened

levels

of

investment

over

the

last

4-8

quarters,

which

will

start

to

moderate

as

we

are
behind
on
the
overall
warehousing
investments
that
we
have
done.
Some
of
the
working
capital
changes
are
cyclical,
and
you
should
expect
us
to
sequentially
improve
that
in
the
coming
year.

Moderator:

Ladies
and
gentlemen,
we'll
take
that
as
the
last
question.

On
behalf
of
Swiggy
Limited,
that
concludes
this
conference.

Thank
you
for
joining
us,
and
you
may
now
disconnect
your
lines.

Thank
you.

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